

12. FINANCIAL INFORMATION**12.1 HISTORICAL FINANCIAL INFORMATION**

Our audited consolidated financial statements throughout the FYEs 2023 to 2026 have been prepared in accordance with MFRSs and IFRSs. Our audited consolidated financial statements for the financial years under review were not subject to any audit qualifications.

The historical financial information presented in this section should be read in conjunction with the "Management's Discussion and Analysis of Financial Condition and Results of Operations" and the Accountants' Report set out in Sections 12.2 and 13 of this Prospectus, respectively.

12.1.1 Historical financial information**(i) Historical consolidated statements of profit or loss and other comprehensive income**

The following table sets out a summary of our historical audited consolidated statements of profit or loss and other comprehensive income for the FYEs 2023 to 2026:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Revenue	16,035	31,468	42,966	97,661
Cost of sales	(11,376)	(21,015)	(31,406)	(74,045)
GP	4,659	10,453	11,560	23,616
Other income	96	62	118	116
Administrative expenses	(2,478)	(4,326)	(4,236)	(10,908)
Other expenses	(183)	(43)	(87)	(120)
Net loss on impairment of financial assets	(236)	(1,465)	(30)	(89)
Finance income	30	52	69	9
Finance costs	(283)	(456)	(624)	(991)
PBT	1,605	4,277	6,770	11,633
Tax expense	(335)	(1,065)	(1,611)	(3,419)
PAT	1,270	3,212	5,159	8,214
Other comprehensive income				
Item that is or may be reclassified subsequently to profit or loss				
Exchange difference on translation of foreign operation	(1)	(1)	2	-
Total comprehensive income for the financial years, net of tax	1,269	3,211	5,161	8,214
PAT attributable to:				
- Owners of the Company	1,264	3,025	4,730	8,214
- Non-controlling interests	6	187	429	-
	1,270	3,212	5,159	8,214
Total comprehensive income attributable to:				
- Owners of the Company	1,263	3,024	4,732	8,214
- Non-controlling interests	6	187	429	-
	1,269	3,211	5,161	8,214

12. FINANCIAL INFORMATION (CONT'D)

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
EBIT ⁽¹⁾	1,858	4,681	7,325	12,615
EBITDA ⁽¹⁾	2,537	5,656	8,843	14,380
GP margin (%) ⁽²⁾	29.1	33.2	26.9	24.2
PBT margin (%) ⁽³⁾	10.0	13.6	15.8	11.9
PAT margin (%) ⁽⁴⁾	7.9	10.2	12.0	8.4
Effective tax rate (%) ⁽⁵⁾	20.9	24.9	23.8	29.4
Basic and diluted EPS (sen) ⁽⁶⁾	0.36	0.87	1.36	2.37

Notes:

(1) EBIT and EBITDA are calculated as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
PAT	1,270	3,212	5,159	8,214
Less:				
Finance income	(30)	(52)	(69)	(9)
Add:				
Finance costs	283	456	624	991
Tax expense	335	1,065	1,611	3,419
EBIT	1,858	4,681	7,325	12,615
Add:				
Depreciation	679	975	1,518	1,765
EBITDA	2,537	5,656	8,843	14,380

(2) GP margin is calculated based on GP divided by revenue.

(3) PBT margin is calculated based on PBT divided by revenue.

(4) PAT margin is calculated based on PAT divided by revenue.

(5) Effective tax rate is calculated based on tax expense divided by PBT.

(6) Basic and diluted EPS is calculated based on PAT attributable to the owners of the Company for the financial year divided by enlarged share capital of 346,900,000 Shares upon Listing. There are no potential dilutive securities in issue during FYEs 2023 to 2026.

12. FINANCIAL INFORMATION (CONT'D)**(ii) Historical consolidated statements of financial position**

The following table sets out our historical consolidated statements of financial position as at 31 March 2023, 2024, 2025 and 2026:

	Audited			
	As at 31 March			
	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000
ASSETS				
Non-current assets				
Property, plant and equipment ⁽¹⁾	6,792	7,919	13,118	13,521
Investment property ⁽²⁾	450	439	428	417
Other investment ⁽³⁾	585	560	-	-
Other receivable ⁽⁴⁾	-	-	54	57
Deferred tax assets	-	296	156	101
Total non-current assets	7,827	9,214	13,756	14,096
Current assets⁽⁵⁾				
Trade receivables	6,051	7,981	7,840	14,404
Contract assets ⁽⁶⁾	705	1,302	5,369	10,500
Other receivables ⁽⁷⁾	165	802	323	1,983
Amount due from a shareholder ⁽⁸⁾	-	1,029	-	-
Tax recoverable	370	327	660	372
Fixed deposits with a licenced bank	60	60	60	-
Cash and bank balances	851	1,011	2,814	7,069
Total current assets	8,202	12,512	17,066	34,328
TOTAL ASSETS	16,029	21,726	30,822	48,424
EQUITY AND LIABILITIES				
EQUITY				
Share capital	1	1	200	200
Invested equity	350	-	-	-
Reserves	(1)	(2)	-	-
Retained earnings	7,494	9,669	12,879	21,093
	7,844	9,668	13,079	21,293
Non-controlling interests	2	251	-	-
TOTAL EQUITY	7,846	9,919	13,079	21,293
LIABILITIES				
Non-current liabilities				
Loans and borrowings ⁽⁹⁾	3,691	3,597	5,444	7,333
Lease liabilities	833	1,231	1,835	1,764
Deferred tax liabilities	72	56	102	218
Total non-current liabilities	4,596	4,884	7,381	9,315
Current liabilities				
Loans and borrowings ⁽⁹⁾	1,229	1,977	2,438	5,657
Lease liabilities	571	690	965	883
Trade payables	657	1,538	3,294	4,288
Contract liabilities ⁽¹⁰⁾	-	-	547	-
Other payables ⁽¹¹⁾	695	1,947	1,398	4,742
Amount due to shareholders ⁽¹²⁾	44	105	112	-
Amount due to Directors ⁽¹²⁾	313	251	1,086	-
Tax payable	78	415	522	2,246
Total current liabilities	3,587	6,923	10,362	17,816
TOTAL LIABILITIES	8,183	11,807	17,743	27,131
TOTAL EQUITY AND LIABILITIES	16,029	21,726	30,822	48,424

12. FINANCIAL INFORMATION (CONT'D)**Notes:**

- (1) Property, plant and equipment increased by RM5.20 million from RM7.92 million as at 31 March 2024 to RM13.12 million as at 31 March 2025 mainly due to the purchase of the Pasir Gudang warehouse of RM1.58 million, acquisition of 27 new units of power regulators of RM2.07 million as well as purchase of 7 units of motor vehicles of RM0.56 million. Property, plant and equipment further increased to RM13.52 million as at 31 March 2026 mainly due to the setup cost of RM0.38 million for our Seremban headquarters as well as RM1.51 million for purchase of 2 units of phased array ultrasonic testing machine, 1 unit of flange facing machine and other machinery for our operation use.
- (2) A freehold 3-storey shop office located at Sitiawan, Perak. As at the LPD, the property is rented to a non-related party.
- (3) Redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots. The redeemable convertible preference shares were redeemed at cost during FYE 2025.
- (4) Other receivable consist of a refundable insurance premium of keyman insurance.
- (5) Our Group may procure materials for fabrication of pipe spools and structures, as well as rotating equipment and instrumentations, or these supplies may be supplied by the main contractor. Where mechanical units are required to complete the systems, these are generally procured by the main contractor.

Based on the above, materials for fabrication are delivered directly to the respective project site, or at a designated work area within the respective project site. The materials are not recognised as inventory, because our Group does not maintain any stocks and only orders the materials as and when required for the projects.
- (6) Contract assets arise when work has been performed for a project but we are unable to issue the billing as at the financial year end due to pending acceptance of the work by our customer. The amount will be classified as trade receivables upon issuance of billing to our customer.
- (7) Other receivables increased by RM1.66 million in FYE 2026 compared to FYE 2025, mainly due to the prepayment of RM1.63 million for expenses relating to initial public offering ("IPO") incurred during the financial year. These costs were paid in advance and are recognised as prepayments in preparation for our Group's Listing.
- (8) Being advances to a shareholder for his personal use. All outstanding amounts have been repaid as at the LPD. Moving forward, our Group will not enter into such transactions.
- (9) Our Group's total borrowings increased from RM5.57 million in FYE 2024 to RM7.88 million in FYE 2025 mainly to finance our Group's working capital requirements for the increase in purchases of materials and subcontractor services.
- (10) Contract liabilities arise when advances are received from our customer for a project but the work has yet to be performed and as such, we are unable to issue billing as at the financial year end and recognise it as revenue.
- (11) Other payables mainly comprise salaries and statutory contributions payable, which increased progressively from FYE 2023 to FYE 2026 due to increase in number of employees and salary adjustments. The increase in other payables in FYE 2024 was also due to a dividend payable of RM0.65 million. In FYE 2026, the further increase in other payables was also due to the IPO expenses payable.
- (12) Being advances from shareholders and Directors, which were in cash and for working capital purposes. All outstanding amounts have been repaid as at the LPD. Moving forward, our Group will not enter into such transactions. Kindly refer to Section 10.2(ii)(b) of this Prospectus for more details.

12. FINANCIAL INFORMATION (CONT'D)**(iii) Historical consolidated statements of cash flows**

The following table sets out our audited consolidated statements of cash flows for the FYEs 2023 to 2026:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Cash flows from operating activities				
PBT	1,605	4,277	6,770	11,633
Adjustments for:				
Allowance for expected credit loss ("ECL") on:				
- contract assets	-	335	-	61
- trade receivables	236	1,203	68	75
Bad debts written off	132	15	-	-
Deposit forfeited	-	-	24	-
Depreciation of property, plant and equipment	668	964	1,507	1,754
Depreciation of investment property	11	11	11	11
Fair value (gain)/loss of other investment	(85)	25	60	-
Finance costs	283	456	624	991
Finance income	(30)	(52)	(69)	(9)
Gain on disposal of a subsidiary	-	-	(54)	-
Loss/(gain) on disposal of property, plant and equipment	49	-	(2)	-
Gain on early termination of lease contracts	-	-	(11)	(17)
Property, plant and equipment written off	-	-	*-	118
Rental concession	-	-	(4)	-
Reversal of ECL on trade receivables	-	(73)	(38)	(47)
Trade payable written-off	-	(53)	(6)	-
Operating profit before working capital changes	2,869	7,108	8,880	14,570
<u>Changes in working capital:</u>				
Receivables	(1,895)	(3,711)	494	(8,252)
Payables	491	1,535	1,863	4,338
Contract balances	(705)	(932)	(3,520)	(5,739)
Cash generated from operations	760	4,000	7,717	4,917
Interest received	-	1	2	4
Interest paid	(36)	(92)	(132)	(162)
Tax paid	(613)	(1,153)	(1,701)	(1,500)
Tax refunded	-	157	50	263
Net cash from operating activities	111	2,913	5,936	3,522
Cash flows from investing activities				
Acquisition of property, plant and equipment	(210)	(810)	(3,401)	(1,436)
Acquisition of subsidiaries from common control shareholders	(400)	(350)	-	-
Interest received	30	51	65	2
Net cash outflows from disposal of a subsidiary	-	-	*-	-
Placement of other investment	(500)	-	-	-
Proceed from disposal of property, plant and equipment	19	-	86	-
Redemption of other investment	-	-	500	-

12. FINANCIAL INFORMATION (CONT'D)

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Withdrawal of fixed deposits with tenure more than 3 months	-	-	-	60
Net cash used in investing activities	(1,061)	(1,109)	(2,750)	(1,374)
Cash flows from financing activities				
Advance from/(Repayment to) Directors	285	(63)	846	(1,086)
Repayment from/(Advance to) a shareholder	109	(968)	(922)	(112)
Dividend paid	-	(200)	(650)	-
Interest paid	(247)	(364)	(472)	(829)
Issuance of shares	1	-	-	-
Drawdown of term loans	686	450	800	3,150
Repayments of term loans	(198)	(432)	(583)	(704)
Drawdowns of banker's acceptances	940	955	-	-
Repayments of banker's acceptances	(580)	(1,315)	-	-
Drawdowns of invoice financing	-	-	2,621	6,072
Repayments of invoice financing	-	-	(1,098)	(5,638)
Repayments of lease liabilities	(431)	(765)	(966)	(976)
Subscription of shares in a subsidiary by NCI	*-	62	-	-
Net cash from/(used in) financing activities	565	(2,640)	(424)	(123)
Net (decrease)/increase in cash and cash equivalents	(385)	(836)	2,762	2,025
Effect of exchange translation differences	-	-	3	-
Cash and cash equivalents at beginning of the financial years	769	384	(452)	2,313
Cash and cash equivalents at end of the financial years	384	(452)	2,313	4,338
Cash and cash equivalents at end of the financial years comprise:				
Cash and bank balances	851	1,011	2,814	7,069
Fixed deposit with a licensed bank	60	60	60	-
Bank overdrafts	(467)	(1,463)	(501)	(2,731)
	444	(392)	2,373	4,338
Less: Fixed deposit more than 3 months	(60)	(60)	(60)	-
	384	(452)	2,313	4,338

Note:

* Representing less than RM1,000.00.

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12. FINANCIAL INFORMATION (CONT'D)

12.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion and segmental analysis should be read together with the Accountants' Report and related notes as set out in Section 13 of this Prospectus.

12.2.1 Overview of our operations

(i) Principal activities

We are a mechanical service provider, with core expertise in piping systems engineering and related specialised services such as heat treatments, flange management and NDT services. Our mechanical engineering services primarily serves the oil and gas, petrochemical, utility and manufacturing industries. We are also involved in civil engineering projects to construct industrial and ancillary facilities.

Please refer to Section 7 of this Prospectus for our Group's detailed business overview.

(ii) Revenue

Revenue from short-term contracts or projects is recognised at a point in time when services have been performed and accepted by the customers, net of discounts.

Revenue from long-term contracts or projects is recognised over time when control over the asset has been transferred to the customers. Revenue from long-term contracts or projects is measured at the transaction price agreed under the respective project contracts. Revenue is recognised over the period of the contracts or projects using the input method, which measures progress towards the complete satisfaction of performance obligations based on the costs incurred for work performed to date.

(iii) Significant accounting policies

Our significant accounting policies information are summarised in Note 2(d) of the Accountants' Report set out in Section 13 of this Prospectus. There are no significant accounting policies that are peculiar to our Group. There were no material changes to our accounting policies during FYEs 2023 to 2026.

(iv) Recent developments

There were no other significant events subsequent to our audited consolidated financial statements for FYE 2026.

(v) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during FYEs 2023 to 2026. In addition, our audited consolidated financial statements for the FYEs 2023 to 2026 were not subject to any audit qualifications.

(vi) Significant factors affecting our business

Section 9 of this Prospectus details the risk factors relating to our business and the industry in which we operate. Some of these risk factors have an impact on our revenue and financial performance. The main factors which affect revenues and profits include but are not limited to the following:

12. FINANCIAL INFORMATION (CONT'D)**(a) The project-based nature of our Group's business may result in the fluctuation of our sales and result in uncertainties of our overall financial performance**

Our mechanical engineering services and civil engineering projects are conducted on a project basis, secured through purchase orders or contracts, whereby the number of orders and contracts secured vary from year-to-year and the value of each order and contract varies from one another, depending on factors such as type of services required and project duration. The project-based nature of our Group's business may lead to fluctuation of our sales and result in uncertainties of our overall financial performance.

The future revenue and profitability of our Group will therefore depend on our ability to continuously secure new purchase orders and contracts from our existing or new customers (i.e. contractors and industrial end-users) where we mainly serve as subcontractor. There is no assurance that our revenue or profit will remain at similar levels each year as it depends on the number and value of purchase orders and contracts secured, as well as timing of delivery which is subject to customer's site readiness.

(b) We are dependent on 3 of our major customers, namely Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd), Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd

Collectively, Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) and Ilmiah Perdana Sdn Bhd contributed 45.9% of our Group's total revenue in FYE 2024; Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd contributed 54.5% of our Group's revenue in FYE 2025; and Samsung E&A Malaysia Sdn Bhd and Fumiko Sdn Bhd contributed 43.3% of our Group's revenue in FYE 2026. Further, Samsung E&A Malaysia Sdn Bhd was recorded as one of our top 5 major customers for 3 consecutive FYEs during the Financial Years Under Review, while Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd were each recorded as one of our top 5 major customers for 2 consecutive FYEs during the Financial Years Under Review. Accordingly, with such significant contributions to our Group's revenue, we are dependent on Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd.

During the Financial Years Under Review, we have not encountered any issues arising from our past and ongoing projects with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd. Nevertheless, there is no assurance that we will not encounter any issues arising from our contracts with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd in future which may adversely affect our financial performance and business operations.

(c) We are exposed to risk of delays, substandard performance and disputes relating to certain works outsourced to subcontractors

We outsource the installation and commissioning of electrical and instrumentation works, surface finishing works (e.g. blasting and painting works for pipe spools and pipe structures), servicing of control valves, and installation of scaffolding to facilitate installation activities to subcontractors for our provision of mechanical engineering services. As and when required, we may also outsource installation, welding and fabrication works to third party subcontractors to speed up the completion of work required for our provision of mechanical engineering services. Further, as at the LPD, we engage subcontractors to execute the construction works for all our civil engineering projects to construct industrial and ancillary facilities. Our subcontractor costs accounted for approximately 24.7%, 25.2%, 58.4% and 86.8% of our total purchases during the Financial Years Under Review.

12. FINANCIAL INFORMATION (CONT'D)

There is no assurance that the quality of work performed by our subcontractors as well as the completion timeline will consistently and satisfactorily meet the standards and requirements set out by our Group or our customers at all times. Moreover, our subcontractors may experience operational or financial disruptions that could affect their ability to fulfil their obligations, potentially delaying or compromising the completion of our Group's projects. For the Financial Years Under Review, we have not encountered incidents where our subcontractors failed to fulfil their obligations or that they are unable to satisfactorily meet the standards and requirements set out by our customers.

(d) We are exposed to risks of claims from customers due to defective or unsatisfactory works as well as uncollectible retention sums

Any identification of defects or dissatisfaction expressed by our customers in relation to our works may give rise to claims against our Group. Such claims may require us to undertake additional rectification or remediation works, which could result in increased costs to our Group.

In addition, it is an industry practice where our Group may be required to submit a retention sum, up to a maximum of 10.0% or 5.0% of the contract sum awarded, as a security to our customer to safeguard and guarantee our performance towards the completion of projects for provision of mechanical engineering services and civil engineering projects respectively. Further, based on the terms of the contract, our customer may be entitled to retain up to 10.0% of the contract sum awarded as a retention sum, for projects for provision of mechanical engineering services. Similarly, based on the terms of the contract, our customer may be entitled to retain 10.0% of each progress billing, as retention sum, up to a maximum of 5.0% of the contract sum awarded, for civil engineering projects. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of projects and rectification of defects during the defect liability period. For projects for provision of mechanical engineering services, our customer will release the retention sum to us once the defect liability period or any additional period following expiry of defect liability period, as specified in the contract, is completed. For civil engineering projects, once the work is completed, our customer will issue CPC and after receiving complete documentation from us, our customer will release the retention sum to us. If our customers do not release the retention sum or require us to write off such amounts, our financial performance may be adversely affected.

For the Financial Years Under Review, we have not received or encountered any major complaints from our customers in relation to defective and unsatisfactory works which require our Group to incur significant rectification or remedial costs, as well as incidents where our customers fail to release the retention sum to our Group. However, there is no assurance that we would not experience any claims or failure to collect all retention sum in full in the future, or that these incidents would not adversely impact our financial performance.

(e) We are exposed to credit risk and default payment by customers

We generally grant our customers credit periods ranging from 30 to 60 days. There can be no guarantee that our customers will be able to fulfil their payment obligations within our credit terms and that we will not encounter any collection issues. In the event of delay or default in payment by our customers, our operating cash flows or financial results may be adversely affected. Our average trade receivables turnover period for the Financial Years Under Review were 128 days, 85 days, 62 days and 34 days respectively. For FYEs 2023 to 2025, our average trade receivables turnover period exceeded the normal credit period provided to our customers. For FYE 2026, our average trade receivables turnover period was within the normal credit period provided to our customers.

12. FINANCIAL INFORMATION (CONT'D)

Please refer to Section 12.2.8 of this Prospectus for further details on our net loss on impairment of financial assets.

For the Financial Years Under Review, our net loss on impairment of financial assets and bad debts written off did not materially impact our Group's financial performance. Nevertheless, there can be no assurance that we will be able to collect our trade receivables in full or on a timely basis. Any delay or failure in receiving payments from our customers in the future may result in trade receivables being written off as bad debts, which could adversely impact our financial performance.

(f) We are exposed to risk of labour shortages due to our reliance on the availability of labour and skilled workers for our provision of mechanical engineering services

We rely on the availability of labour for our provision of mechanical engineering services. As at the LPD, our site administrative, operations and fabrication department comprises 343 employees, which constitutes 94.2% of our total workforce. Amongst our employees, 252 are skilled workers (i.e. 6 engineers, 44 certified welders, 149 skilled installers and 53 technicians). In particular, we rely on the technical knowledge and skills of our skilled workers such as engineers, certified welders, skilled installers and technicians to carry out our mechanical engineering services.

Further, we also rely on contract employees for our site administrative, operations and fabrication activities. As at the LPD, of the 343 employees in our site administrative, operations and fabrication department, contract employees account for 279 employees or 81.3% of the department. The contract duration for our contract employees ranges from 1 to 2 years.

For the FYE 2025 and FYE 2026, our Group faced a shortage of in-house labour, comprising skilled workers and contract employees, as there was an increase in number and size of projects being implemented concurrently. As such, we utilised a higher number of subcontractors to complete our projects which resulted in a decrease in our GP margin. The use of subcontractors will generally yield a lower GP margin as compared to the use of in-house labour. Save for the above, for the Financial Years Under Review and up to the LPD, we have not encountered any difficulties in the recruitment of skilled workers and contract employees.

(g) Our financial performance and business operations are exposed to risk of price volatility and availability of supplies used in the provision of our services

The supplies used in the provision of our mechanical engineering services include raw materials such as steel. For the Financial Years Under Review, our purchases of raw materials comprising steel accounted for 31.1%, 1.5%, 0.1% and 2.5% of our total purchases respectively. The procurement of steel is dependent on project requirements. For FYE 2024 to 2026, steel utilised for our projects was mainly supplied by our customers and as such, our steel purchase contribution was minimal. We are exposed to price fluctuation of steel as steel is a global commodity. Any increase in the prices of steel could result in substantial increase in our costs. Should we fail to pass the increase in cost to our customers in a timely manner, our financial performance may be adversely impacted. Further, any shortages in our overall supplies may adversely impact our business operations. If we were to undertake a project where the procurement of steel is undertaken by us, our financial performance may be adversely affected by price fluctuations of steel and vice versa.

12. FINANCIAL INFORMATION (CONT'D)

For the Financial Years Under Review, we have not encountered any incident of a major fluctuation in the price of steel, or shortages of supplies, which had materially adversely impacted our financial performance and business operations respectively. Nevertheless, there is no assurance that such incident will not occur in the future and that our business operations or financial performance will not be adversely affected.

12.2.2 Segment analysis by revenue**(i) Revenue by business activities**

The table below sets out the breakdown of our total revenue by business activities:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Mechanical engineering services	15,330	95.6	18,890	60.0	27,586	64.2	73,745	75.5
- Piping system engineering	12,543	78.2	14,517	46.1	23,399	54.5	66,110	67.7
- Specialised services	2,787	17.4	4,373	13.9	4,187	9.7	7,635	7.8
Civil engineering projects	705	4.4	12,578	40.0	15,380	35.8	23,916	24.5
	16,035	100.0	31,468	100.0	42,966	100.0	97,661	100.0

(ii) Commentary on revenue**(a) Comparison between FYE 2023 and FYE 2024**

Our total revenue increased by RM15.43 million or 96.2% from RM16.04 million in FYE 2023 to RM31.47 million in FYE 2024 as follows:

Mechanical engineering services

Revenue from mechanical engineering services increased by RM3.56 million or 23.2% from RM15.33 million in FYE 2023 to RM18.89 million in FYE 2024 as follows:

Piping system engineering

Revenue from piping system engineering increased by RM1.98 million from RM12.54 million in FYE 2023 to RM14.52 million in FYE 2024, an increase of 15.8%, mainly due to (i) commencement of Sarawak Methanol Project and SMDS Plant Project and (ii) higher revenue recognised in FYE 2024 for GES Klang Terminal Project. The revenue from piping system engineering in FYE 2024 were mainly attributed to the following projects:

- Revenue of RM9.04 million in FYE 2024 (FYE 2023: RM Nil) from 2 new customers in the petrochemicals industry (1 of which was Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd)) ("**Samsung**"), our major customer in FYE 2024 and 2025). The revenue was derived from the Sarawak Methanol Project in Bintulu, Sarawak. As at FYE 2024, the project was at its initial to mid-stage and approximately 57.9% of the total contract value has been recognised as at FYE 2024;
- Revenue of RM3.33 million in FYE 2024 (FYE 2023: RM2.33 million) from a new customer, GES Klang Terminal Sdn Bhd (formerly known as GPS Klang Terminal Sdn Bhd) (our major customer in FYEs 2023 and 2024) in

12. FINANCIAL INFORMATION (CONT'D)

the oil and gas industry. The revenue was derived from the GES Klang Terminal Project in Port Klang, Selangor. As at FYE 2023 and FYE 2024, the project was at its mid-stage and approximately 71.9% of the total contract value has been recognised as at FYE 2024; and

- Revenue of RM1.77 million in FYE 2024 (FYE 2023: RM Nil) from an existing customer, PEC (M) Sdn Bhd (our major customer in FYE 2024) in the petrochemicals industry. The revenue was derived from the SMDS Plant Project in Bintulu, Sarawak. The project commenced and completed within FYE 2024.

Specialised services

Revenue from specialised services increased by RM1.58 million from RM2.79 million in FYE 2023 to RM4.37 million in FYE 2024, a growth of 56.6%. The revenue from specialised services were mainly attributed to the following projects:

- Revenue of RM1.57 million in FYE 2024 (FYE 2023: RM0.11 million) from an existing customer, Equator Engineering Sdn Bhd (our major customer in FYE 2025) in the petrochemicals industry. The revenue was derived from the Sarawak Methanol Project in Bintulu, Sarawak. As at FYE 2023 and FYE 2024, the project was at its initial stage and near-completion stage respectively, and approximately 98.5% of the total contract value has been recognised as at FYE 2024;
- Revenue of RM0.77 million in FYE 2024 (FYE 2023: RM0.11 million) from an existing customer in the oil and gas industry. The revenue was derived from a tank rejuvenation project in Sungai Udang, Melaka. As at FYE 2023, the project was at its initial stage while as at FYE 2024, the project was at its near-completion stage, and approximately 96.0% of the total contract value has been recognised as at FYE 2024; and
- Revenue of RM0.36 million in FYE 2024 (FYE 2023: RM0.66 million) from an existing customer in the oil and gas industry. The revenue was derived from a tank maintenance project in Pengerang, Johor. As at FYE 2023, the project was at its mid-stage, while as at FYE 2024, the project was at its near-completion stage and approximately 99.3% of the total contract value has been recognised as at FYE 2024.

Civil engineering projects

Revenue from civil engineering projects increased by RM11.87 million or 1,671.8% from RM0.71 million in FYE 2023 to RM12.58 million in FYE 2024, mainly due to (i) higher revenue recognised in FYE 2024 for Project Papar in Papar, Sabah which commenced in FYE 2023 and (ii) commencement of Project Muar in Muar, Johor in FYE 2024. The revenue from civil engineering projects were mainly attributed to the following projects:

- Revenue of RM5.98 million in FYE 2024 (FYE 2023: RM0.71 million) from a new customer, Bintang Kejora Sdn Bhd (our major customer in FYE 2024) in the construction industry for the construction of the Syariah Subordinate Court in Papar, Sabah (Project Papar). As at FYE 2023, the project was at its initial stage, while as at FYE 2024, the project has been mutually terminated.

12. FINANCIAL INFORMATION (CONT'D)

The full contract sum for this project secured by our Group in 2022 amounted to RM16.52 million, where we billed a total RM6.69 million and collected RM5.18 million. Due to a dispute concerning the construction costs between our Group and the main contractor, the contract between our Group and the main contractor was mutually terminated in January 2024. No additional costs or compensation was sought from us. As a result, impairment was made for the remaining sum of RM1.51 million, which was not collectible during FYE 2024. Kindly refer to Section 12.2.8 for details of the impairment of financial assets; and

- Revenue of RM6.42 million in FYE 2024 (FYE 2023: RM Nil) from a new customer, Ilmiah Perdana Sdn Bhd (our major customer in FYEs 2024 and 2025) in the construction industry for the construction of a solid waste transfer station in Muar, Johor (Project Muar). As at FYE 2024, the project was at its initial stage and approximately 30.5% of the total contract value has been recognised as at FYE 2024.

(b) Comparison between FYE 2024 and FYE 2025

Our total revenue increased by RM11.50 million or 36.5% from RM31.47 million in FYE 2024 to RM42.97 million in FYE 2025 as follows:

Mechanical engineering services

Revenue from mechanical engineering services increased by RM8.70 million or 46.0% from RM18.89 million in FYE 2024 to RM27.59 million in FYE 2025 as follows:

Piping system engineering

Revenue from piping system engineering increased by RM8.88 million from RM14.52 million in FYE 2024 to RM23.40 million in FYE 2025, an increase of 61.2%, mainly due to commencement of:

- Project Basil from Fumiko Sdn Bhd (our new customers in FYE 2025) and HQC Engineering Malaysia Sdn Bhd (our existing customers); and
- Sarawak OGP Project from Samsung and Equator Engineering Sdn Bhd (both our existing customers).

The revenue from piping system engineering were mainly attributed to the following projects:

- Revenue of RM10.17 million in FYE 2025 (FYE 2024: RM Nil) from a new customer, Fumiko Sdn Bhd and an existing customer, HQC Engineering Malaysia Sdn Bhd (our major customers in FYE 2025 and 2023, respectively) in the petrochemicals industry. The revenue was derived from the Project Basil in Kuantan, Pahang. As at FYE 2025, the project was at its initial stage and approximately 34.0% of the total contract value has been recognised as at FYE 2025;
- Revenue of RM5.98 million in FYE 2025 (FYE 2024: RM9.04 million) from 4 existing customers in the petrochemicals industry (2 of which were Samsung and Equator Engineering Sdn Bhd, our major customer in FYE 2024 and 2025). The revenue was derived from the Sarawak Methanol Project in Bintulu, Sarawak. As at FYE 2024 and FYE 2025, the project was at its mid-stage and near-completion stage respectively, and approximately 96.2% of the total contract value has been recognised as at FYE 2025; and

12. FINANCIAL INFORMATION (CONT'D)

- Revenue of RM2.36 million in FYE 2025 (FYE 2024: RM Nil) from 2 existing customers, Samsung and Equator Engineering Sdn Bhd (our major customers in FYE 2024 and 2025, respectively) in the oil and gas industry. The revenue was derived from the Sarawak OGP Project in Bintulu, Sarawak. As at FYE 2025, the project was at its initial stage and approximately 16.0% of the total contract value has been recognised as at FYE 2025.

Specialised services

Revenue from specialised services decreased by RM0.18 million from RM4.37 million in FYE 2024 to RM4.19 million in FYE 2025, a decrease of 4.1%. The revenue from specialised services were mainly attributed to the following projects:

- Revenue of RM2.90 million in FYE 2025 (FYE 2024: RM Nil) from an existing customer, Equator Engineering Sdn Bhd (our major customer in FYE 2025) in the oil and gas industry. The revenue was derived from the Sarawak OGP Project in Bintulu, Sarawak. As at FYE 2025, the project was at its initial stage and approximately 92.3% of the total contract value has been recognised as at FYE 2025; and
- Revenue of RM0.24 million in FYE 2025 (FYE 2024: RM0.10 million) from 2 existing customers and 1 new customer in the oil and gas industry. The revenue derived from a liquefied natural gas (LNG) production facility project in Bintulu, Sarawak. As at FYE 2024, the project was at its initial stage, while as at FYE 2025, the project was at its mid-stage, and approximately 36.8% of the total contract value has been recognised as at FYE 2025.

Civil engineering projects

Revenue for civil engineering projects increased by RM2.80 million or 22.3% from RM12.58 million in FYE 2024 to RM15.38 million in FYE 2025, mainly due to (i) higher revenue recognised in FYE 2025 for Project Muar which commenced in FYE 2024 and (ii) commencement of Project Mersing in FYE 2025. The revenue from civil engineering projects were mainly attributed to the following projects:

- Revenue of RM8.97 million in FYE 2025 (FYE 2024: RM6.42 million) from an existing customer, Ilmiah Perdana Sdn Bhd (our major customer in FYEs 2024 and 2025) in the construction industry for the Project Muar in Muar, Johor. As at FYE 2024, the project was at its initial stage, while as at FYE 2025, the project was at its mid-stage, and approximately 73.0% of the total contract value has been recognised as at FYE 2025; and
- Revenue of RM5.42 million in FYE 2025 (FYE 2024: RM Nil) from a new customer, Impak Sensasi Sdn Bhd (our major customer in FYE 2025) in the construction industry for the construction and upgrading of staff quarters for the Jabatan Kebajikan Rakyat ("JKM") Institution at Desa Bina Diri, Mersing, Johor (Project Mersing). As at FYE 2025, the project was at its initial stage and approximately 29.1% of the total contract value has been recognised as at FYE 2025.

12. FINANCIAL INFORMATION (CONT'D)**(c) Comparison between FYE 2025 and FYE 2026**

Our total revenue increased by RM54.69 million or 127.3%, from RM42.97 million in FYE 2025 to RM97.66 million in FYE 2026 as follows:

Mechanical engineering services

Revenue from mechanical engineering services increased by RM46.16 million or 167.3%, from RM27.59 million in FYE 2025 to RM73.75 million in FYE 2026 as follows:

Piping system engineering

Revenue from piping system engineering increased by RM42.71 million from RM23.40 million in FYE 2025 to RM66.11 million in FYE 2026, an increase of 182.5% mainly due to (i) higher revenue recognised in FYE 2026 for Project Basil in Kuantan and (ii) commencement of Project Tankr and Project Brex. The revenue from piping system engineering in FYE 2026 were mainly attributed to the following projects:

- Revenue of RM30.57 million in FYE 2026 (FYE 2025: RM10.17 million) from 2 existing customers, Fumiko Sdn Bhd (our major customers in FYE 2025 and 2026) and HQC Engineering Malaysia Sdn Bhd (our major customers in FYE 2023 and 2026, respectively) in the petrochemicals industry. The revenue was derived from the Project Basil in Kuantan, Pahang. As at FYE 2025 and FYE 2026, the project was at its initial stage and mid to near-completion stage respectively, and approximately 75.0% of the total contract value has been recognised as at FYE 2026;
- Revenue of RM18.58 million in FYE 2026 (FYE 2025: RM2.20 million) from existing customers, Samsung (our major customer in FYE 2024, 2025 and 2026, respectively) in the oil and gas industry. The revenue was derived from the Sarawak OGP Project in Bintulu, Sarawak. As at FYE 2025 and FYE 2026, the project was at its initial stage and mid-stage respectively, and approximately 68.2% of the total contract value has been recognised as at FYE 2026;
- Revenue of RM7.52 million in FYE 2026 (FYE 2025: RM0.40 million) from an existing customer, Toyo Kanetsu (Malaysia) Sdn Bhd (our major customer in FYE 2026) in the oil and gas industry. The revenue was derived from the Project Tankr in Kemaman, Terengganu. As at FYE 2026, the project was at its mid to near-completion stage and approximately 75.7% of the total contract value has been recognised as at FYE 2026; and
- Revenue of RM5.67 million in FYE 2026 (FYE 2025: RM0.24 million) from an existing customer, Aluminium Company of Malaysia Berhad in the manufacturing facilities industries. The revenue was derived from the Project Brex in Klang, Selangor. As at FYE 2025 and FYE 2026, the project was at its initial stage and near-completion stage respectively, and approximately 84.3% of the total contract value has been recognised as at FYE 2026.

12. FINANCIAL INFORMATION (CONT'D)**Specialised services**

Revenue from specialised services also increased by RM3.45 million or 82.3%, from RM4.19 million in FYE 2025 to RM7.64 million in FYE 2026. The revenue from specialised services were mainly attributed to the following projects:

- Revenue of RM2.52 million in FYE 2026 (FYE 2025: RM2.90 million) from an existing customer, Equator Engineering Sdn Bhd (our major customer in FYE 2025) in the oil and gas industry. The revenue was derived from the Sarawak OGP Project in Bintulu, Sarawak. As at FYE 2025 and FYE 2026, the project was at its initial stage and near-completion stage respectively, and approximately 94.9% of the total contract value has been recognised as at FYE 2026; and
- Revenue of RM1.01 million in FYE 2026 (FYE 2025: RM Nil) from a new customer, NAEC (Malaysia) Sdn Bhd, in the petrochemicals industry. The revenue derived from the Project LHD/HHD Underground Piping Replacement in Pengerang, Johor. As at FYE 2026, the project was at its near-completion stage, and approximately 99.8% of the total contract value has been recognised as at FYE 2026.

Civil engineering projects

Revenue from civil engineering projects increased by RM8.54 million or 55.5%, from RM15.38 million in FYE 2025 to RM23.92 million in FYE 2026. The increase was driven by progress on existing projects, Project Muar and Project Mersing. The revenue from civil engineering projects were mainly attributed to the following projects:

- Revenue of RM5.36 million in FYE 2026 (FYE 2025: RM8.97 million) from an existing customer, Ilmiah Perdana Sdn Bhd (our major customer in FYEs 2024 and 2025) in the construction industry for the Project Muar in Muar, Johor. As at FYE 2025 and FYE 2026, the project was at its mid-stage and near-completion stage respectively, and approximately 98.4% of the total contract value has been recognised as at FYE 2026; and
- Revenue of RM16.24 million in FYE 2026 (FYE 2025: RM5.42 million) from an existing customer, Impak Sensasi Sdn Bhd (our major customer in FYE 2025 and 2026) in the construction industry for the construction and upgrading of staff quarters for the JKM Institution at Desa Bina Diri, Mersing, Johor (Project Mersing). As at FYE 2025 and FYE 2026, the project was at its initial stage and near-completion stage respectively, and approximately 92.4% of the total contract value has been recognised as at FYE 2026.

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12. FINANCIAL INFORMATION (CONT'D)**12.2.3 Segmental analysis by cost of sales****(i) Cost of sales by compositions**

The table below sets out the breakdown of our cost of sales by compositions:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Labour costs ⁽¹⁾	4,882	43.0	8,836	42.0	11,879	37.9	27,301	36.9
Subcontractor costs ⁽²⁾	1,286	11.3	3,306	15.7	10,975	34.9	33,566	45.3
Materials, tools and consumables ⁽³⁾	3,543	31.1	6,184	29.5	5,321	16.9	8,663	11.7
Machinery and equipment costs ⁽⁴⁾	1,174	10.3	1,926	9.2	1,876	6.0	3,161	4.3
Other costs ⁽⁵⁾	491	4.3	763	3.6	1,355	4.3	1,354	1.8
	11,376	100.0	21,015	100.0	31,406	100.0	74,045	100.0

Notes:**(1) Labour costs**

Labour costs comprise salaries, allowances, employee contribution plans, and related expenses for both permanent and contractual employees engaged in project execution, including mechanical engineering services and civil engineering projects.

(2) Subcontractor costs for services, materials and equipment

Subcontractor costs for services, materials and equipment relate to outsourced services, equipment, and related project execution support.

(3) Material, tools and consumables

Material, tools and consumables include raw materials, equipment parts, and consumables required for project delivery.

(4) Machinery and equipment costs

Machinery and equipment costs include rental and maintenance of machinery and equipment used in operations as well as depreciation.

(5) Other costs

Other costs comprise miscellaneous project-related expenses such as transportation, insurance and rental of workshop.

12. FINANCIAL INFORMATION (CONT'D)**(ii) Cost of sales by business activities**

The table below sets out the breakdown of our cost of sales by business activities:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Mechanical engineering services	10,640	93.5	11,814	56.2	18,670	59.4	54,374	73.4
- Piping system engineering	9,251	81.3	9,726	46.3	16,335	52.0	49,772	67.2
- Specialised services	1,389	12.2	2,088	9.9	2,335	7.4	4,602	6.2
Civil engineering projects	736	6.5	9,201	43.8	12,736	40.6	19,671	26.6
	11,376	100.0	21,015	100.0	31,406	100.0	74,045	100.0

12.2.4 Segmental analysis by GP and GP margin**(i) GP and GP margin by business activities**

	FYE 2023			FYE 2024			FYE 2025			FYE 2026		
	GP	% of total GP	GP margin	GP	% of total GP	GP margin	GP	% of total GP	GP margin	GP	% of total GP	GP margin
		RM'000	%		RM'000	%		RM'000	%		RM'000	%
Mechanical engineering services	4,690	100.7	30.6	7,076	67.7	37.5	8,916	77.1	32.3	19,371	82.0	26.0
- Piping system engineering	3,292	70.7	26.2	4,791	45.8	33.0	7,064	61.1	30.2	16,338	69.2	24.7
- Specialised services	1,398	30.0	50.1	2,285	21.9	52.3	1,852	16.0	44.2	3,033	12.8	39.7
Civil engineering projects	(31)	(0.7)	(4.4)	3,377	32.3	26.8	2,644	22.9	17.2	4,245	18.0	17.7
	4,659	100.0	29.1	10,453	100.0	33.2	11,560	100.0	26.9	23,616	100.0	24.2

(ii) Commentary on cost of sales, GP and GP margin**(a) Comparison between FYE 2023 and FYE 2024**

Our cost of sales increased by RM9.64 million or 84.7% from RM11.38 million in FYE 2023 to RM21.02 million in FYE 2024, which was lower than our revenue growth rate of 96.2% in FYE 2024. As such, our GP increased by RM5.79 million from RM4.66 million in FYE 2023 to RM10.45 million in FYE 2024, which represents an increase of 124.2%. We recorded an increase in GP margin from 29.1% in FYE 2023 to 33.2% in FYE 2024.

Mechanical engineering services

Cost of sales from mechanical engineering services increased by RM1.17 million or 11.0% from RM10.64 million in FYE 2023 to RM11.81 million in FYE 2024, which was lower than our revenue growth rate of 23.2% in FYE 2024. As such, GP from mechanical engineering services increased by RM2.39 million or 51.0% from RM4.69 million in FYE 2023 to RM7.08 million in FYE 2024 as follows:

12. FINANCIAL INFORMATION (CONT'D)**Piping system engineering**

Cost of sales from piping system engineering increased by RM0.48 million or 5.2% from RM9.25 million in FYE 2023 to RM9.73 million in FYE 2024, which was lower than the revenue growth rate of 15.8% in FYE 2024. As such, GP from piping system engineering increased by RM1.50 million from RM3.29 million in FYE 2023 to RM4.79 million in FYE 2024, a growth of 45.6%. The GP from piping system engineering were mainly attributed to the following projects:

- GP of RM2.80 million in FYE 2024 (FYE 2023: RM1.85 million) from the Sarawak Methanol Project in Bintulu, Sarawak;
- GP of RM1.00 million in FYE 2024 (FYE 2023: RM1.64 million) from the GES Klang Terminal Project at Port Klang, Selangor; and
- GP of RM0.48 million in FYE 2024 (FYE 2023: RM Nil) from the SMDS Project in Bintulu, Sarawak.

The GP margin for piping system engineering increased from 26.2% in FYE 2023 to 33.0% in FYE 2024, as we managed to secure better contract value for piping system engineering projects, and due to a higher number of projects involving piping contracts in which we secured higher GP margin. The projects secured are generally smaller in size and hence, there will be less competition as most players will rather focus on large projects with longer contract duration, higher overall contract payout although with lower margins. In this respect, due to the lower competition in small projects, the Group has been able to secure small projects at higher margins.

Specialised services

Cost of sales from specialised services increased by RM0.70 million or 50.3% from RM1.39 million in FYE 2023 to RM2.09 million in FYE 2024, which was lower than the revenue growth rate of 56.6% in FYE 2024. As such, GP from specialised services increased by RM0.89 million from RM1.40 million in FYE 2023 to RM2.29 million in FYE 2024, representing a strong growth of 63.6%. The GP from specialised services were mainly attributed to the following projects:

- GP of RM0.73 million in FYE 2024 (FYE 2023: RM 0.05 million) from the Sarawak Methanol Project in Bintulu, Sarawak;
- GP of RM0.36 million in FYE 2024 (FYE 2023: RM0.79 million) from a tank rejuvenation project in Sungai Udang, Melaka; and
- GP of RM0.17 million in FYE 2024 (FYE 2023: RM0.44 million) from a tank maintenance project in Pengerang, Johor.

We recorded a stable GP margin for specialised services of 52.3% in FYE 2024 and 50.1% in FYE 2023.

Civil engineering projects

Cost of sales from civil engineering projects increased by RM8.47 million or 1,144.6% from RM0.74 million in FYE 2023 to RM9.20 million in FYE 2024, which was lower than the revenue growth rate of 1,671.8% in FYE 2024. As such, GP from civil engineering projects increased by RM3.41 million from a gross loss of RM0.03 million in FYE 2023 to a GP of RM3.38 million in FYE 2024.

12. FINANCIAL INFORMATION (CONT'D)

The GP from civil engineering projects were mainly attributed to the following projects:

- GP of RM1.58 million (FYE 2023: gross loss of RM0.03 million) from the Project Papar in Papar, Sabah.
- GP of RM1.62 million (FYE 2023: RM Nil) from the Project Muar in Muar, Johor.

In contrast, in FYE 2023 our Group had only incurred preliminary costs while remaining on standby for project commencement, which resulted in a gross loss and gross loss margin for civil engineering projects. In FYE 2024, we recorded a GP margin of 26.8%, which is mainly due to the contribution from 2 projects mentioned above.

(b) Comparison between FYE 2024 and FYE 2025

Our cost of sales increased by RM10.39 million or 49.4% from RM21.02 million in FYE 2024 to RM31.41 million in FYE 2025, which was higher than our revenue growth rate of 36.5% in FYE 2025. Our GP increased by RM1.11 million from RM10.45 million in FYE 2024 to RM11.56 million in FYE 2025, a growth of 10.6%. However, GP margin declined from 33.2% in FYE 2024 to 26.9% in FYE 2025.

Mechanical engineering services

Our cost of sales from mechanical engineering services increased by RM6.86 million or 58.0% from RM11.81 million in FYE 2024 to RM18.67 million in FYE 2025, which was higher than our revenue growth rate of 46.0% in FYE 2025. GP from mechanical engineering services increased by RM1.84 million or 26.0% from RM7.08 million in FYE 2024 to RM8.92 million in FYE 2025 as follows:

Piping system engineering

Our cost of sales from piping system engineering services increased by RM6.61 million or 67.9% from RM9.73 million in FYE 2024 to RM16.34 million in FYE 2025, which was higher than our revenue growth rate of 61.2% in FYE 2025. GP from piping system engineering increased by RM2.27 million from RM4.79 million in FYE 2024 to RM7.06 million in FYE 2025, representing a growth of 47.4%. The GP from piping system engineering were mainly attributed to the following projects:

- GP of RM2.24 million in FYE 2025 (FYE 2024: RM Nil) from the Project Basil in Kuantan, Pahang; and
- GP of RM1.38 million in FYE 2025 (FYE 2024: RM2.80 million) from the Sarawak Methanol Project in Bintulu, Sarawak; and
- GP of RM0.52 million in FYE 2025 (FYE 2024: RM Nil) from the Sarawak OGP Project in Bintulu, Sarawak.

Our GP margin for piping system engineering declined from 33.0% in FYE 2024 to 30.2% in FYE 2025. As there was an increase in number and size of projects being implemented concurrently, we faced a shortage in internal manpower (notwithstanding that we had employed 150 and 256 site employees in FYE 2024 and FYE 2025, respectively) and had utilised a higher number of subcontractors to complete our projects. The use of subcontractors will generally yield a lower GP margin as compared to the use of internal manpower. This resulted in a decrease in GP margin.

12. FINANCIAL INFORMATION (CONT'D)

For small projects, there will be less competition as most players will rather focus on large projects with longer contract duration, higher overall contract payout although with lower margins. In this respect, due to the lower competition in small projects, the Group has been able to secure small projects at higher margins. As for large projects, it is generally highly publicised and will receive a higher number of tenders from participants. In view of the higher competition due to higher number of companies participating in the tenders, the margins are generally lower as compared to small projects. Large projects generally also have longer durations as well.

Specialised services

Our cost of sales from specialised services increased slightly by RM0.25 million or 12.0% from RM2.09 million in FYE 2024 to RM2.34 million in FYE 2025, despite the decrease of revenue by 4.1% in FYE 2025. GP from specialised services decreased by RM0.44 million from RM2.29 million in FYE 2024 to RM1.85 million in FYE 2025, representing a decrease of 19.2%. The GP from specialised services were mainly attributed to the following projects:

- GP of RM1.28 million in FYE 2025 (FYE 2024: RM Nil) from the Sarawak OGP Project in Bintulu, Sarawak; and
- GP of RM0.10 million in FYE 2025 (FYE 2024: RM0.04 million) from a liquefied natural gas (LNG) production facility project in Bintulu, Sarawak.

Our GP margin for specialised services declined from 52.3% in FYE 2024 to 44.2% in FYE 2025. During the FYE 2025, we had increased the use of subcontractors to carry out specialised services as we had reserved most of our internal manpower to carry out projects under piping system engineering. The use of subcontractors will generally yield a lower GP margin as compared to the use of internal manpower.

Civil engineering projects

Our cost of sales from civil engineering projects increased by RM3.54 million or 38.5% from RM9.20 million in FYE 2024 to RM12.74 million in FYE 2025, which was higher than our revenue growth rate of 22.3% in FYE 2025. As such, GP from civil engineering projects declined by RM0.74 million from RM3.38 million in FYE 2024 to RM2.64 million in FYE 2025, a decrease of 21.9%. The GP from civil engineering projects were mainly attributed to the following projects:

- GP of RM1.83 million in FYE 2025 (FYE 2024: RM1.62 million) from the Project Muar in Muar, Johor; and
- GP of RM0.80 million in FYE 2025 (FYE 2024: RM Nil) from the Project Mersing in Mersing, Johor.

Our GP margin for civil engineering projects decreased from 26.8% to 17.2%, mainly due to the lower GP margin secured for Project Mersing as compared to Project Muar, which has a higher GP margin. Project Mersing was tendered at a lower GP margin as the scope of work is relatively straight forward as it involved the construction of and upgrading of staff quarters at Mersing, Johor as compared to construction of a solid waste transfer station in Muar, Johor (Project Muar). As a result, the lower GP margin from Project Mersing reduced the overall GP margin for civil engineering projects segment.

12. FINANCIAL INFORMATION (CONT'D)**(c) Comparison between FYE 2025 and FYE 2026**

Our cost of sales increased by RM42.64 million or 135.8%, from RM31.41 million in FYE 2025 to RM74.05 million in FYE 2026, which was higher than our revenue growth rate of 127.3% in FYE 2026. Our GP increased by RM12.06 million from RM11.56 million in FYE 2025 to RM23.62 million in FYE 2026, a growth of 104.3%. However, GP margin declined from 26.9% in FYE 2025 to 24.2% in FYE 2026.

Mechanical engineering services

Our cost of sales from mechanical engineering services increased by RM35.70 million or 191.2%, from RM18.67 million in FYE 2025 to RM54.37 million in FYE 2026, which was higher than our revenue growth rate of 167.3%. GP from mechanical engineering services increased by RM10.45 million or 117.2%, from RM8.92 million in FYE 2025 to RM19.37 million in FYE 2026, as follows:

Piping system engineering

Our cost of sales from piping system engineering services increased by RM33.43 million or 204.6%, from RM16.34 million in FYE 2025 to RM49.77 million in FYE 2026, which was higher than our revenue growth rate of 182.5%. GP from piping engineering system increased by RM9.28 million from RM7.06 million in FYE 2025 to RM16.34 in FYE 2026, representing a growth of 131.4%. The GP from piping system engineering were mainly attributed to the following projects:

- GP of RM6.50 million in FYE 2026 (FYE 2025: RM2.24 million) from the Project Basil in Kuantan, Pahang;
- GP of RM3.97 million in FYE 2026 (FYE 2025: RM0.52 million) from the Sarawak OGP Project in Bintulu, Sarawak;
- GP of RM1.99 million in FYE 2026 (FYE 2025: RM0.11 million) from the Project Tankr in Kemaman, Terengganu; and
- GP of RM1.51 million in FYE 2026 (FYE 2025: RM0.06 million) from the Project Brex in Klang, Selangor.

The GP margin for piping system engineering decreased from 30.2% in FYE 2025 to 24.7% in FYE 2026, attributable to the following:

- (i) we had increased the usage of subcontractors in order to complete our project deliverables on time. We further recorded increase in labour cost due to increase in hiring of labour. Despite an increase in employees in FYE 2026 as compared to FYE 2025, we continued to utilise subcontractors due to the increase in number and size of piping system engineering projects being implemented concurrently. The increase is reflected in the total revenue from piping system engineering in FYE 2026 which increased by 182.5% from RM23.40 million in FYE 2025 to RM66.11 million in FYE 2026; and
- (ii) larger projects (i.e. Project Basil and Sarawak OGP Project) generally yield lower GP margins and are carried out in a longer duration as compared to small projects.

12. FINANCIAL INFORMATION (CONT'D)**Specialised services**

Our cost of sales from specialised services increased by RM2.26 million or 96.6%, from RM2.34 million in FYE 2025 to RM4.60 million in FYE 2026, which was higher than the revenue growth of 82.3%. The GP increased by RM1.18 million from RM1.85 million in FYE 2025 to RM3.03 million in FYE 2026.

The GP from specialised services were mainly attributed to the following projects:

- GP of RM0.95 million in FYE 2026 (FYE 2025: RM1.28 million) from the Sarawak OGP Project in Bintulu, Sarawak; and
- GP of RM0.38 million in FYE 2026 (FYE 2025: RM Nil) from Project LHD/HHD Underground Piping Replacement in Pengerang, Johor.

Our GP margin for specialised services decreased from 44.2% in FYE 2025 to 39.7% in FYE 2026 as we had increased the use of subcontractors to carry out specialised services as we had reserved most of our internal manpower to carry out projects under piping system engineering. The use of subcontractors will generally yield a lower GP margin as compared to the use of internal manpower.

Civil engineering projects

Our cost of sales from civil engineering projects increased by RM6.93 million or 54.4%, from RM12.74 million in FYE 2025 to RM19.67 million in FYE 2026, which was lower than our revenue growth of 55.5%. As such, our GP increased by RM1.61 million from RM2.64 million in FYE 2025 to RM4.25 million in FYE 2026.

The GP from civil engineering projects were mainly attributed to the following projects:

- GP of RM0.99 million in FYE 2026 (FYE 2025: RM1.83 million) from the Project Muar in Muar, Johor; and
- GP of RM2.44 million in FYE 2026 (FYE 2025: RM0.80 million) from the Project Mersing in Mersing, Johor.

Our GP margin for civil engineering projects remain consistent at 17.2% in FYE 2025 and 17.7% in FYE 2026.

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12. FINANCIAL INFORMATION (CONT'D)**12.2.5 Other income**

The breakdown of our other income is as follows:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Fair value gain on other investment	85	88.6	-	-	-	-	-	-
Gain on disposal of a subsidiary	-	-	-	-	54	45.8	-	-
Gain on disposal of property, plant and equipment	-	-	-	-	2	1.7	-	-
Gain on early termination of lease contracts	-	-	-	-	11	9.3	17	14.7
Realised gain on foreign exchange	*-	-	-	-	*-	-	-	-
Rental income:								
- investment property	8	8.3	7	11.3	4	3.4	12	10.3
- motor vehicle	-	-	1	1.6	35	29.8	80	69.0
Trade payables written-off	-	-	52	83.9	6	5.0	-	-
Others ⁽¹⁾	3	3.1	2	3.2	6	5.0	7	6.0
	96	100.0	62	100.0	118	100.0	116	100.0

Notes:

* Representing less than RM1,000.00.

⁽¹⁾ Comprise of credit card rebates, deposit forfeited from tenant and discount received from non-trade suppliers.

Comparison between FYE 2023 and FYE 2024

In FYE 2023, our Group recorded a fair value gain of RM0.09 million on our other investment. We subscribed to redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots. The total subscription consideration was RM0.50 million. The fair value gain of RM0.09 million was recorded pursuant to MFRS 13 – Fair Value Measurement.

In FYE 2024, other income decreased by 35.4% or RM0.04 million as compared to the preceding financial year (FYE 2023: RM0.10 million; FYE 2024: RM0.06 million). This was due to the absence of the fair value gain on other investment. The decrease in other income is offset by the trade payables written-off of RM0.05 million as we were unable to contact the supplier and hence, unable to repay this amount.

Comparison between FYE 2024 and FYE 2025

In FYE 2025, other income increased by 90.3% or RM0.06 million as compared to the preceding financial year (FYE 2024: RM0.06 million; FYE 2025: RM0.12 million). The increase was mainly due to:

- (i) increase in rental income of RM0.03 million resulting from the rental of a motor vehicle to our customer for their operations; and
- (ii) gain on disposal of a subsidiary RM0.05 million. We had completed the disposal of 80.0% equity interest in Continuity Engineering Pte Ltd (formerly known as Pioneer Heat Engineering Pte Ltd), a Singapore company which was set up to undertake

12. FINANCIAL INFORMATION (CONT'D)

provision of mechanical engineering services in Singapore. However, the company did not secure any projects and has remained dormant since incorporation. The 80.0% equity interest was disposed to the minority shareholder of Continuity Engineering Pte Ltd for a total disposal consideration of SGD80.00.

Comparison between FYE 2025 and FYE 2026

In FYE 2026, other income remained consistent at RM0.12 million as compared to the preceding financial year (FYE 2025: RM0.12 million).

12.2.6 Administrative expenses

The breakdown of our administrative expenses is as follows:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff cost ⁽¹⁾	770	31.1	1,229	28.4	861	20.3	5,277	48.4
Directors' remuneration	707	28.5	1,234	28.5	1,091	25.8	1,284	11.7
Depreciation	101	4.1	241	5.6	375	8.9	541	5.0
Professional fees ⁽²⁾	195	7.9	247	5.7	462	10.9	1,649	15.1
Authorities related expenses ⁽³⁾	65	2.6	190	4.4	80	1.9	75	0.7
Insurance	58	2.3	173	4.0	129	3.0	206	1.9
Travelling expenses	267	10.8	266	6.1	313	7.4	563	5.2
Sales and marketing expenses	122	4.9	306	7.1	149	3.5	251	2.3
Office supplies and stationery	18	0.7	35	0.8	56	1.3	54	0.5
Maintenance of motor vehicle	71	2.9	118	2.7	174	4.1	307	2.8
Upkeep and maintenance of office	66	2.7	163	3.8	406	9.6	573	5.3
Utility	36	1.5	61	1.4	95	2.2	70	0.6
Bank charges	1	<0.1	38	0.9	36	0.8	32	0.3
Others	1	<0.1	25	0.6	9	0.2	26	0.2
	2,478	100.0	4,326	100.0	4,236	100.0	10,908	100.0

Notes:

- (1) Includes salaries, bonuses, incentives, allowances, employees' provident fund contributions, allowances, benefits and staff related expenses.
- (2) Including fees paid to company secretaries, auditors, lawyers, tax agent and other professional consultants.
- (3) Including filing fees, licence fees, stamp duties, subscription fees and other miscellaneous expenses paid to the authorities.

12. FINANCIAL INFORMATION (CONT'D)**Comparison between FYE 2023 and FYE 2024**

In FYE 2024, administrative expenses increased by 74.6% or RM1.85 million as compared to the preceding financial year (FYE 2023: RM2.48 million; FYE 2024: RM4.33 million). The increase was mainly due to the following:

- (i) increase in Directors' remuneration of RM0.53 million due to the annual increment of Directors' salaries and bonuses paid. This is in line with the improvement in our financial performance;
- (ii) increase in staff cost of RM0.46 million due to the annual salary increments and bonuses for the existing employees as well as the recruitment of additional new employees to cater for the expansion of our business operations (FYE 2023: 16 employees; FYE 2024: 17 employees).

During FYE 2024, we paid 2 rounds of bonuses to our employees comprising (a) bonuses for the calendar year 2022 paid in May 2023 (prior to Gawai Dayak Festival) and (b) bonuses for the calendar year 2023 paid in January 2024 (prior to Chinese New Year). Our Group has consistently paid bonuses to our staff (including Directors) on an annual basis (based on calendar year). Bonuses are normally paid prior to festive seasons and will depend on our financial performance; and

- (iii) increase in depreciation of RM0.14 million after acquisition of 2 units of motor vehicles, 4 units of hydraulic excavators and 3 units of flange facing machines for operational use.

Comparison between FYE 2024 and FYE 2025

In FYE 2025, administrative expenses decreased by 2.1% or RM0.09 million as compared to the preceding financial year (FYE 2024: RM4.33 million; FYE 2025: RM4.24 million). The decrease was mainly attributable to the following:

- (i) reduction in Directors' remuneration of RM0.42 million due to (a) the resignation of 1 director from PHCDSB as we had acquired the remaining 25.0% equity interest in PHCDSB and (b) disposal of 80.0% equity interest in Continuity Engineering Pte Ltd (formerly known as Pioneer Heat Engineering Pte Ltd); and
- (ii) absence of bonus paid during FYE 2025 as we paid the bonus for calendar year 2024 in June 2025 (for Gawai Dayak Festival), which falls on the subsequent FYE 2026. Our Group has consistently paid bonuses to our staff (including Directors) on an annual basis (based on calendar year). Bonuses are normally paid prior to festive seasons and will depend on our financial performance.

This was partially offset by the following:

- (i) increase in the upkeep and maintenance of office of RM0.25 million due to the setting up of new Bintulu warehouse to support our projects;
- (ii) increase in depreciation of RM0.14 million arising from acquisition of 7 units of motor vehicles and 27 units of power regulators for operational use; and
- (iii) increase in professional fees of RM0.21 million, mainly due to higher legal fees and stamping costs incurred for new banking facilities.

12. FINANCIAL INFORMATION (CONT'D)**Comparison between FYE 2025 and FYE 2026**

In FYE 2026, administrative expenses increased by 157.3% or RM6.67 million as compared to the preceding financial year (FYE 2025: RM4.24 million; FYE 2026: RM10.91 million). The increase was mainly due to the following:

- (i) increase in staff costs of RM4.41 million arising from higher headcount (FYE 2026: 47 employees; FYE 2025: 21 employees). The increase was mainly due to the hiring of our new Financial Controller, Tee Shi Ying as well as the hiring of additional administrative staff for both our headquarters and site offices to support the expansion of our Group's operations, salary adjustments in line with the growth in business activities as well as the bonus for calendar year 2024 paid in June 2025 which falls under FYE 2026. During FYE 2025, no bonuses were paid;
- (ii) increase in professional fee of RM1.19 million, mainly due to listing-related professional and marketing fees incurred for our Company's IPO exercise; and
- (iii) increase in directors' remuneration of RM0.19 million due to revision in directors' remuneration in line with the growth in business activities and bonus paid.

12.2.7 Other expenses

The breakdown of other expenses is as follows:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Fair value loss on other investment	-	-	25	58.1	60	69.0	-	-
Realised loss on foreign exchange	2	1.1	3	7.0	3	3.4	2	1.7
Bad debts written off	(1)132	72.1	15	34.9	-	-	-	-
Loss on disposal of property, plant and equipment	49	26.8	-	-	-	-	-	-
Property, plant and equipment written off	-	-	-	-	*-	-	118	98.3
Deposit forfeited	-	-	-	-	24	27.6	-	-
	183	100.0	43	100.0	87	100.0	120	100.0

Notes:

* Representing less than RM1,000.00.

- (1) Comprise of bad debts written off for a customer in oil and gas industry for piping systems engineering services carried out in 2018. The said customer had ceased its operations and we were unable to locate or contact the customer. Based on this, the amount was written off.

Comparison between FYE 2023 and FYE 2024

In FYE 2024, other expenses decreased by RM0.14 million as compared to the preceding financial year (FYE 2023: RM0.18 million; FYE 2024: RM0.04 million). The decrease was mainly due to the lower bad debts written off by RM0.12 million as well as absence of loss on disposal of property, plant and equipment during FYE 2024. In FYE 2024, our Group also recognised a fair value loss of RM0.03 million on our other investment (redeemable preference shares in an unquoted company), pursuant to a fair value assessment performed in accordance with the requirements of MFRS 13 - Fair Value Measurement. The other investment comprised redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots, with a total subscription consideration of RM0.50 million.

12. FINANCIAL INFORMATION (CONT'D)

Comparison between FYE 2024 and FYE 2025

In FYE 2025, other expenses increased by RM0.05 million as compared to the preceding financial year (FYE 2024: RM0.04 million; FYE 2025: RM0.09 million). The increase was mainly due to a higher fair value loss of RM0.06 million on other investment and a deposit forfeited of RM0.02 million. The fair value loss on other investment was recognised due to the early redemption of redeemable convertible preference shares in an unquoted company. The investment was subsequently derecognised upon the redemption at cost during FYE 2025, and accordingly, no further gain or loss was recognised.

Comparison between FYE 2025 and FYE 2026

In FYE 2026, other expenses increased by RM0.03 million as compared to the preceding financial year (FYE 2025: RM0.09 million; FYE 2026: RM0.12 million). The increase was mainly due to the write-off of property, plant and equipment ("**PPE**") amounting to RM0.12 million during FYE 2026, arising from assets disposed of or written off as a result of our Group's office relocation to the new Seremban headquarters in August 2025. The increase was partially offset by the absence of fair value loss on other investment in FYE 2026.

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12. FINANCIAL INFORMATION (CONT'D)**12.2.8 Net loss on impairment of financial assets**

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Allowance for ECL on ⁽¹⁾ :								
- contract assets	-	-	335	22.9	-	-	61	68.5
- trade receivables ⁽²⁾	236	100.0	1,203	82.1	68	226.7	75	84.3
Reversal of ECL on trade receivables ⁽²⁾	-	-	(73)	(5.0)	(38)	(126.7)	(47)	(52.8)
	236	100.0	1,465	100.0	30	100.0	89	100.0

Notes:

- (1) Our Group uses a provision matrix to calculate ECL for receivables. The provision rates are based on number of days past due. The provision matrix is initially based on our Group's historical observed default rates. The historical observed default rates are updated and changes in the forward-looking estimates are analysed.
- (2) Comprise the recognition and reversal of ECL on trade receivables. In accordance with MFRS 9, an impairment analysis is performed at each reporting date for ECL on trade receivables as well as for individually impaired trade receivables.

Comparison between FYE 2023 and FYE 2024

Net loss on impairment financial assets increased from RM0.24 million in FYE 2023 to RM1.47 million in FYE 2024 mainly due to the termination of the construction of the Syariah Subordinate Court in Papar, Sabah (Project Papar).

The full contract sum for this project secured by our Group in 2022 amounted to RM16.52 million, where we billed a total RM6.69 million and collected RM5.18 million. Due to a dispute concerning the construction costs between our Group and the main contractor (i.e. Bintang Kejora Sdn Bhd), the contract between our Group and the main contractor was mutually terminated in January 2024. No additional costs or compensation was sought from us. As a result, the remaining sum of RM1.51 million, which was not collectible where we recorded allowance for ECL on contract assets of RM0.34 million and trade receivables of RM1.17 million. In addition, we also recorded additional allowance for ECL on trade receivables amounting to RM0.03 million, following an impairment analysis performed for trade receivables as at the financial year end, in accordance with MFRS 9 - Financial Instruments.

The reversal of ECL on trade receivables of RM0.07 million was recognised following an impairment analysis performed for trade receivables as at the financial year end, in accordance with MFRS 9 - Financial Instruments.

Comparison between FYE 2024 and FYE 2025

In FYE 2025, our Group recorded net loss on impairment financial assets amounting to RM0.03 million (FYE 2024: RM1.47 million), all of which were made pursuant to an impairment analysis performed for trade receivables as at the financial year end, in accordance to the requirements of MFRS 9 - Financial Instruments.

12. FINANCIAL INFORMATION (CONT'D)**Comparison between FYE 2025 and FYE 2026**

In FYE 2026, our Group recorded net loss on impairment financial assets amounting to RM0.09 million (FYE 2025: RM0.03 million), the increase was mainly due to recognition of allowance for ECL on the contract assets amounting RM0.06 million and additional allowance for ECL on trade receivables amounting to RM0.03 million. These provisions were recognised following an impairment assessment performed at the financial year end, in accordance with the requirements of MFRS 9 – Financial Instruments.

12.2.9 Finance income

The breakdown of our finance income is as follows:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Finance income from:								
- Bank interest received	*-	-	1	1.9	2	2.9	4	44.5
- Dividend income from other investment	30	100.0	50	96.2	55	79.7	-	-
- Interest income from fixed deposit	*-	-	1	1.9	2	2.9	2	22.2
- Unwinding interest	-	-	-	-	2	2.9	3	33.3
- Third party	-	-	-	-	8	11.6	-	-
	30	100.0	52	100.0	69	100.0	9	100.0

Note:

* Representing less than RM1,000.00.

Comparison between FYE 2023 and FYE 2024

In FYE 2024, we recorded an increase in finance income by 73.3% or RM0.02 million as compared to the preceding financial year which was mostly contributed from the dividend income received from our investment in redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots (FYE 2023: RM0.03 million; FYE 2024: RM0.05 million).

Comparison between FYE 2024 and FYE 2025

In FYE 2025, we recorded an increase in finance income by 32.7% or RM0.02 million as compared to the preceding financial year which was mostly contributed from the dividend income received from our investment in redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots (FYE 2024: RM0.05 million; FYE 2025: RM0.06 million).

Comparison between FYE 2025 and FYE 2026

In FYE 2026, we recorded a decrease in finance income by 87.0% or RM0.06 million as compared to the preceding financial year. The decrease was mainly due to the absence of dividend income received from our investment in redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots, which had contributed to finance income in FYE 2025.

12. FINANCIAL INFORMATION (CONT'D)**12.2.10 Finance costs**

The breakdown of our finance costs is as follows:

	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest expenses on:								
- Banker's acceptances	8	2.8	27	5.9	-	-	-	-
- Bank overdrafts	36	12.7	92	20.2	132	21.2	162	16.3
- Invoice financing	-	-	-	-	50	8.0	103	10.4
- Lease liabilities	52	18.4	91	20.0	158	25.3	212	21.4
- Loss on unwinding discount of other receivables ⁽¹⁾	-	-	-	-	20	3.2	-	-
- Term loans	187	66.1	242	53.1	264	42.3	514	51.9
- Director	-	-	4	0.8	-	-	-	-
	283	100.0	456	100.0	624	100.0	991	100.0

Note:

- (1) Being finance cost from the loss on unwinding discount of other receivables, which relates to a refundable premium paid for an insurance policy expiring in August 2029. In accordance with MFRS 9, the refundable portion of the premium is currently recognised as other receivables at its present value upon initial recognition. The difference between the total premium paid and the present value of the refundable amount represents the loss on unwinding discount of other receivables, which was recognised as finance cost in FYE 2025. Subsequently, the said discount will be gradually unwound over the tenure of the policy using the effective interest method. The corresponding amount was recognised as finance income (i.e. unwinding interest disclosed in Section 12.2.9 of this Prospectus) and added to the carrying amounts of other receivables.

Comparison between FYE 2023 and FYE 2024

In FYE 2024, we recorded an increase in finance costs by 58.6% or RM0.17 million as compared to the preceding financial year (FYE 2023: RM0.29 million; FYE 2024: RM0.46 million). The increase was mainly due to:

- (i) increase in interest charged on bank overdrafts of RM0.05 million as we utilised higher bank overdrafts during FYE 2024 to finance our working capital;
- (ii) increase in interest charged on lease liabilities of RM0.04 million due to the acquisition of 2 units of motor vehicles and 4 units of hydraulic excavators for our operations; and
- (iii) increase in interest charged on term loan of RM0.06 million mainly attributable to the drawdown of a new term loan to finance our working capital for Project Papar and Project Muar which resulted in the increase in our Group's average effective interest rates during the year.

Comparison between FYE 2024 and FYE 2025

In FYE 2025, we recorded an increase in finance costs by 34.8% or RM0.16 million as compared to the preceding financial year (FYE 2024: RM0.46 million; FYE 2025: RM0.62 million). The increase was mainly due to:

12. FINANCIAL INFORMATION (CONT'D)

- (i) increase in interest charged on bank overdrafts of RM0.04 million as we utilised higher bank overdrafts during FYE 2025 to finance our working capital; and
- (ii) increase in interest charged on lease liabilities of RM0.07 million due to the acquisition of 7 units of motor vehicles for our operations.

Comparison between FYE 2025 and FYE 2026

In FYE 2026, we recorded an increase in finance costs by 59.7% or RM0.37 million as compared to the preceding financial year (FYE 2025: RM0.62 million; FYE 2026: RM0.99 million). The increase was mainly due to:

- (i) increase in interest charged on term loan of RM0.25 million mainly attributable to the drawdown of a new term loan to finance our working capital;
- (ii) increase in interest charged on lease liabilities of RM0.05 million due to the acquisition of 2 units of phased array ultrasonic testing machine, 1 unit of flange facing machine, and 3 units of motor vehicles for our operations; and
- (iii) increase in interest charged on invoice financing of RM0.05 million which was drawdown for payments to our suppliers.

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12. FINANCIAL INFORMATION (CONT'D)**12.2.11 Tax expenses, PBT and PAT**

The following table sets out the comparison between the statutory tax rates and our effective tax rates for the financial years under review:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	%	%	%	%
Statutory tax rate:				
- on the first RM150,000	15	15	15	⁽¹⁾ 15
- RM150,001 to RM600,000	17	17	17	⁽¹⁾ 17
- balance of chargeable income	24	24	24	24
Tax expense (RM'000)	335	1,065	1,611	3,419
Effective tax rate	20.9	24.9	23.8	29.4

The following table sets out the PBT, PBT margin, PAT and PAT margin for the financial years under review:

	FYE 2023	FYE 2024	FYE 2025	FYE 2026
PBT (RM'000)	1,605	4,277	6,770	11,633
PBT margin (%)	10.0	13.6	15.8	11.9
PAT (RM'000)	1,270	3,212	5,159	8,214
PAT margin (%)	7.9	10.2	12.0	8.4

Note:

- ⁽¹⁾ Save for BESB with flat tax rate of 24.0% as BESB has achieved gross business income of more than RM50.00 million in FYE 2026 and is therefore no longer eligible for the small and medium-sized enterprise tax rate.

Comparison between FYE 2023 and FYE 2024

Our tax expenses increased by 214.7% or RM0.73 million to RM1.07 million for FYE 2024 (FYE 2023: RM0.34 million), mainly due to higher PBT recorded for FYE 2024.

Our PBT increased by 166.5% or RM2.67 million and our PBT margin improved from 10.0% in FYE 2023 to 13.6% in FYE 2024. This was mainly due to the lower proportion of administrative expenses against revenue of 13.7% in FYE 2024 as compared to 15.5% in FYE 2023. Correspondingly, our PAT increased by 152.9% or RM1.94 million in FYE 2024 and our PAT margin improved from 7.9% in FYE 2023 to 10.2% in FYE 2024.

Our effective tax rate increased from 20.9% in FYE 2023 to 24.9% in FYE 2024, mainly due to adjustment for non-deductible expenses, such as increase in allowance for ECL.

Comparison between FYE 2024 and FYE 2025

Our tax expenses increased by 50.5% or RM0.54 million to RM1.61 million for FYE 2025 (FYE 2024: RM1.07 million), mainly due to higher PBT recorded for FYE 2025.

Our PBT increased by 58.3% or RM2.49 million and our PBT margin improved from 13.6% in FYE 2024 to 15.8% in FYE 2025. This was mainly due to the lower proportion of administrative expenses against revenue of 9.9% in FYE 2025 as compared to 13.7% in FYE 2024. Correspondingly, our PAT increased by 60.6% or RM1.95 million in FYE 2025 and our PAT margin improved from 10.2% in FYE 2024 to 12.0% in FYE 2025.

12. FINANCIAL INFORMATION (CONT'D)

Our effective tax rate decreased from 24.9% in FYE 2024 to 23.8% in FYE 2025 due to the absence of material non-deductible expenses, being the allowance for ECL recorded in FYE 2024.

Comparison between FYE 2025 and FYE 2026

Our tax expenses increased by 112.4% or RM1.81 million to RM3.42 million for FYE 2026 (FYE 2025: RM1.61 million), mainly due to higher PBT recorded for FYE 2026.

Our PBT increased by 71.8% or RM4.86 million from RM6.77 million to RM11.63 million in FYE 2026. However, our PBT margin decreased from 15.8% in FYE 2025 to 11.9% in FYE 2026, mainly due to a lower GP margin, which decreased from 26.9% to 24.2%.

Correspondingly, our PAT increased by 59.1% or RM3.05 million from RM5.16 million in FYE 2025 to RM8.21 million in FYE 2026. Nevertheless, our PAT margin decreased from 12.0% in FYE 2025 to 8.4% in FYE 2026, primarily due to lower PBT margin and higher tax expenses incurred during the financial year.

Our effective tax rate increased from 23.8% in FYE 2025 to 29.4% in FYE 2026 due to the higher proportion of non-deductible expenses such as depreciation of PPE, IPO related expenses and selling and marketing expenses.

12.2.12 Review of cash flows

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Net cash from operating activities	111	2,913	5,936	3,522
Net cash used in investing activities	(1,061)	(1,109)	(2,750)	(1,374)
Net cash from/(used in) financing activities	565	(2,640)	(424)	(123)
Net (decrease)/increase in cash and cash equivalents	(385)	(836)	2,762	2,025
Effect of exchange translation differences	-	-	3	-
Cash and cash equivalents at beginning of the financial year	769	384	(452)	2,313
Cash and cash equivalents at end of the financial year ⁽¹⁾	384	(452)	2,313	4,338

Note:

⁽¹⁾ The components of our cash and cash equivalents are set out as below:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Cash and bank balances	851	1,011	2,814	7,069
Fixed deposit with licensed banks	60	60	60	-
Bank overdrafts	(467)	(1,463)	(501)	(2,731)
	444	(392)	2,373	4,338
Less: Fixed deposit more than 3 months	(60)	(60)	(60)	-
	384	(452)	2,313	4,338

12. FINANCIAL INFORMATION (CONT'D)**(i) Net cash from operating activities****FYE 2023**

For FYE 2023, our Group recorded a net cash from operating activities of RM0.11 million after taking consideration our operating profit of RM2.87 million and the following working capital changes:

- (a) increase of RM1.89 million in receivables mainly due to increase in billings issued to customers;
- (b) increase of RM0.71 million in contract assets mainly due to an increase in unbilled progress payments for work orders that were completed towards the end of FYE 2023;
- (c) increase of RM0.49 million in payables mainly due to increase in purchases of materials and subcontractor services; and
- (d) income tax of RM0.61 million paid to Inland Revenue Board.

FYE 2024

For FYE 2024, our Group recorded a net cash from operating activities of RM2.91 million after taking into consideration our operating profit of RM7.11 million and the following working capital changes:

- (a) increase of RM3.70 million in receivables was mainly due to increase in billings issued to customers;
- (b) increase of RM0.93 million in contract assets mainly due to an increase in unbilled progress payments for work orders that were completed towards the end of FYE 2024;
- (c) increase of RM1.53 million in payables mainly due to the increase in purchases of materials and subcontractor services; and
- (d) income tax of RM1.15 million paid to Inland Revenue Board.

FYE 2025

For FYE 2025, our Group recorded a net cash from operating activities of RM5.94 million after taking into consideration our operating profit of RM8.88 million:

- (a) increase of RM0.49 million in receivables mainly due to increase in billings issued to customers;
- (b) increase of RM3.52 million in contract assets mainly due to an increase in unbilled progress payments for work orders that were completed towards the end of FYE 2025;
- (c) increase of RM 1.86 million in payables mainly due to the increase in purchases of materials and subcontractor services; and
- (d) income tax of RM1.70 million paid to Inland Revenue Board.

12. FINANCIAL INFORMATION (CONT'D)**FYE 2026**

For FYE 2026, our Group recorded a net cash from operating activities of RM3.52 million after taking into consideration our operating profit of RM14.57 million:

- (a) increase of RM8.25 million in receivables mainly due to increase in billings issued to customers;
- (b) increase of RM5.74 million in contract assets mainly due to an increase in unbilled progress payments for work orders that were completed towards the end of FYE 2026;
- (c) increase of RM4.34 million in payables mainly due to the increase in purchases of materials and subcontractor services; and
- (d) income tax of RM1.50 million paid to Inland Revenue Board.

(ii) Net cash from investing activities**FYE 2023**

For FYE 2023, our Group recorded a net cash used in investing activities of RM1.06 million, mainly attributable to the following:

- (a) purchase of PPE of RM0.21 million, mainly comprising 4 units of motor vehicles for our operations;
- (b) acquisition of additional equity interest in our subsidiaries of RM0.40 million comprising 10.0% equity interest in BESB for RM0.10 million and 100.0% equity interest in PHTSB for RM0.30 million; and
- (c) investment in redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots for RM0.50 million.

FYE 2024

For FYE 2024, our Group recorded a net cash used in investing activities of RM1.11 million, mainly attributable to the following:

- (a) purchase of PPE of RM0.81 million, mainly comprising 2 units of motor vehicles, 4 units of hydraulic excavators and 3 units of flange facing machines for our operations; and
- (b) acquisition of equity interest in our subsidiary of RM0.35 million comprising 100.0% equity interest in PTSB.

FYE 2025

For FYE 2025, our Group recorded a net cash used in investing activities of RM2.75 million, mainly attributable to the purchases of PPE of RM3.40 million, mainly comprising purchase of Pasir Gudang warehouse, 27 units of power regulators as well as 7 units of motor vehicles for our operations.

The cash outflow was partially offset by redemption of our investment in redeemable convertible preference shares in a company involved in the provision of automation solutions and smart delivery robots for RM0.50 million.

12. FINANCIAL INFORMATION (CONT'D)**FYE 2026**

For FYE 2026, our Group recorded a net cash used in investing activities of RM1.37 million, mainly attributable to the purchases of PPE of RM1.44 million, mainly comprising purchase of 2 units of phased array ultrasonic testing machine, 1 unit of flange facing machine, and 3 units of motor vehicles for our operations.

(iii) Net cash from financing activities**FYE 2023**

For FYE 2023, our Group recorded a net cash from financing activities of RM0.57 million, mainly attributable to the drawdown of term loan of RM1.63 million for our Group's working capital purposes.

The above cash inflows were offset by repayments of term loans of RM0.78 million and lease liabilities of RM0.43 million.

FYE 2024

For FYE 2024, our Group recorded a net cash used in financing activities of RM2.64 million, mainly attributable to the following:

- (a) repayment of term loans of RM0.43 million, banker's acceptances of RM1.32 million and lease liabilities of RM0.77 million;
- (b) interest payment of RM0.36 million;
- (c) dividend paid to shareholders of RM0.20 million; and
- (d) advances to shareholders of RM0.97 million.

The above cash outflows were offset by the following:

- (a) drawdown of term loan of RM0.45 million for our Group's working capital purposes; and
- (b) drawdown of banker's acceptances of RM0.96 million for payments to our suppliers.

FYE 2025

For FYE 2025, our Group recorded a net cash used in financing activities of RM0.42 million, mainly attributable to the following:

- (a) drawdown of term loan of RM0.80 million for our Group's working capital purposes;
- (b) drawdown of invoice financing of RM2.62 million for payments to our suppliers; and
- (c) advances from Directors of RM0.85 million.

The above cash inflows were offset by the following:

- (a) repayment of term loans RM0.58 million, invoice financing of RM1.10 million and lease liabilities of RM0.97 million;

12. FINANCIAL INFORMATION (CONT'D)

- (b) interest payment of RM0.47 million;
- (c) dividend paid to shareholders of RM0.65 million; and
- (d) advances to shareholders of RM0.92 million.

FYE 2026

For FYE 2026, our Group recorded a net cash used in financing activities of RM0.12 million, mainly attributable to the following:

- (a) repayment of term loans of RM0.70 million, invoice financing of RM5.64 million and lease liabilities of RM0.98 million; and
- (b) repayment of advances to Directors of RM1.09 million and a shareholder of RM0.11 million.

The above cash outflows were offset by the following:

- (a) drawdown of term loan of RM3.15 million for our Group's working capital purposes; and
- (b) drawdown of invoice financing of RM6.07 million for payments to our suppliers.

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12. FINANCIAL INFORMATION (CONT'D)**12.3 LIQUIDITY AND CAPITAL RESOURCES**

Our business has been financed by both internal and external sources of funds. Our internal sources of fund comprise cash generated from our business operations and shareholders' equity, while our external sources were mainly banking facilities from financial institutions and advances from our shareholders and Directors. These funds were used for our business operations and growth.

The decision to utilise either internally generated funds or borrowings for our business operations depends on, amongst others, our cash and bank balances, expected cash inflows, future working capital requirements, future capital expenditure requirements, and the interest rates on borrowings. We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

Our Board confirms that we will have sufficient working capital to meet our present and foreseeable requirements for a period of 12 months from the date of this Prospectus, taking into consideration the following:

- (i) Our cash and bank balances of RM4.94 million as at the LPD;
- (ii) Our expected future cash flows from operations;
- (iii) Our total banking facilities (excluding hire purchase) as at the LPD of RM20.15 million, of which RM3.78 million has not been utilised; and
- (iv) Our pro forma gearing level of 0.39 times, based on our pro forma consolidated statements of financial position as at 31 March 2026 after the IPO and utilisation of proceeds.

At this juncture, we do not foresee any circumstances which may materially affect our liquidity.

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12. FINANCIAL INFORMATION (CONT'D)

12.4 BORROWINGS

As at 31 March 2026, our Group's total borrowings and lease liabilities, excluding lease liabilities for right-of-use assets (workshop, office and warehouse rental) were RM15.38 million, as follows:

Purpose	Tenure	Interest rate % per annum	31 March 2026 As at RM'000
Interest bearing short-term borrowings, payable within 1 year:			
Term loans	To finance the acquisition of our properties and for working capital purposes	36 to 300 installments	971
Lease liabilities	To finance the purchase of motor vehicles and plant machinery	3 – 5 years	790
Bank overdrafts	For working capital purposes	On demand	2,731
Invoice financing	For working capital purposes	31 to 119 days	1,955
		Sub-total	6,447
Interest bearing long-term borrowings, payable after 1 year:			
Term loans	To finance the acquisition of our properties and for working capital purposes	36 to 300 installments	7,333
Lease liabilities	To finance the purchase of motor vehicles and plant machinery	3 – 5 years	1,602
		Sub-total	8,935
		Total borrowings	15,382
Pro forma gearing (times)			
Before the Public Issue ⁽¹⁾			0.72
After the Public Issue and utilisation of proceeds ⁽²⁾			0.39

12. FINANCIAL INFORMATION (CONT'D)**Notes:**

- (1) Computed based on our pro forma consolidated statements of financial position before IPO and utilisation of proceeds.
- (2) Computed based on our pro forma consolidated statements of financial position after the IPO and utilisation of proceeds.

Our bank borrowings and hire purchases carry the following interest rates for the Financial Years Under Review:

	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	% per annum			
Term loans	3.4 - 7.3	4.1 - 12.3	4.1 - 12.3	3.9 - 12.0
Bank overdrafts	1.2 - 10.3	6.6 - 8.5	6.9 - 8.5	6.6 - 8.5
Banker's acceptances	5.7 - 6.8	6.6 - 6.7	-	-
Invoice financing	-	-	4.9 - 6.9	3.4 - 6.8
Lease liabilities (hire purchases)	2.1 - 4.0	2.1 - 7.9	2.1 - 7.9	2.1 - 7.9

As at the LPD, we do not have any borrowings which are non-interest bearing and/or in foreign currency.

We have not defaulted on payments of principal sums and/or interests in respect of any of our borrowings throughout the Financial Years Under Review and up to the LPD.

As at the LPD, our Group is not in breach of any terms and conditions or covenants associated with the credit arrangement or bank loan, which can materially affect our financial position and results or business operations or the investments by holders of our securities. We did not encounter any seasonality in our borrowings trend, and there are no restrictions on our committed borrowing facilities i.e., our bankers.

For FYEs 2023 to 2026, we have not experienced any clawback or reduction in the facilities limit granted to us by our lenders.

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12. FINANCIAL INFORMATION (CONT'D)**12.5 TYPES OF FINANCIAL INSTRUMENTS, TREASURY POLICIES AND OBJECTIVES**

As at the LPD, save as disclosed in Section 12.4 above, we do not have nor utilise any other financial instruments. We finance our operations with our existing cash and bank balances, cash generated from our operations and external sources of funds. The external sources of funds consist of banking facilities from financial institutions and advances from our shareholders and Directors. The principal usages of these bank borrowings are for performance bonds, purchase of properties and to finance our working capital, hire purchases for motor vehicles, machinery and equipment.

Save for our lease liabilities and invoice financing which carry fixed interest rates, other borrowings bear variable interest rates based on the bank's base lending rate plus or minus a rate, which varies depending on the different types of bank facilities.

12.6 MATERIAL CAPITAL COMMITMENTS

As at the LPD, save as disclosed below, we do not have any other material capital commitments:

	To be funded from proceeds of our IPO	To be funded internally generated funds and/or bank borrowings	Total
	RM'000	RM'000	RM'000
Approved but not contracted for:			
Construction costs for New Sendayan HQ	4,000	3,420	7,420
Purchase of machinery and equipment ⁽¹⁾	4,005	-	4,005
	8,005	3,420	11,425

Note:

- ⁽¹⁾ Purchase of machinery and equipment for our New Sendayan HQ and New Sarawak Office as well as for our Pasir Gudang warehouse. Kindly refer to Sections 4.10 Note (2) and 7.7.3 of this Prospectus for further details.

We plan to meet our capital commitments through IPO proceeds as disclosed in Section 4.10 of this Prospectus, bank borrowings and/or internally generated funds.

Save as disclosed above, as at the LPD, we do not have other material capital commitments incurred or known to be incurred by us that may have a material adverse effect on our results of operations and financial condition.

12.7 MATERIAL LITIGATION AND CONTINGENT LIABILITIES

We are not engaged in any governmental, legal, or arbitration proceedings, either as plaintiff or defendant, including those relating to bankruptcy, receivership or similar proceedings, which has a material effect on our financial position, and there are no proceedings pending or threatened, or any fact likely to give rise to any proceeding, which might materially or adversely affect our position or business in the 12 months immediately preceding the date of this Prospectus.

As at the LPD, there are no material contingent liabilities incurred by our Group, which upon becoming enforceable may have a material effect on our business, financial results or position.

12. FINANCIAL INFORMATION (CONT'D)**12.8 KEY FINANCIAL RATIOS**

The key financial ratios of our Group for FYEs 2023 to 2026 are as follows:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Trade receivable turnover (days) ⁽¹⁾	128	85	62	34
Trade payable turnover (days) ⁽²⁾	12	19	28	19
Current ratio (times) ⁽³⁾	2.29	1.81	1.65	1.93
Gearing ratio (times) ⁽⁴⁾	0.75	0.73	0.76	0.72

Notes:

- (1) Computed based on the average trade receivables (excluding retention sum) over revenue multiplied by 365 days.
- (2) Computed based on the average trade payables over cost of sales multiplied by 365 days.
- (3) Computed based on current assets over current liabilities as at year end for each of the FYEs 2023 to 2026.
- (4) Computed based on the total interest-bearing debt (including lease liabilities) over total equity as at year end for each of the FYEs 2023 to 2026.

12.8.1 Trade receivables turnover

Our average trade receivables turnover period (in days) for FYE 2023 to FYE 2026 is stated as below:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Opening trade receivables*	4,688	6,524	8,135	6,375
Closing trade receivables*	6,524	8,135	6,375	12,129
Average net trade receivables*	5,606	7,330	7,255	9,252
Revenue	16,035	31,468	42,966	97,661
Average trade receivables turnover period (days)	128	85	62	34

Note:

* Excluding retention sum.

Our trade receivables comprise amount receivable net of impairment loss on trade receivables. The normal credit periods granted by our Group ranged from 30 days to 60 days from the date of our invoice. Our credit terms to customers are assessed and approved on a case-by-case basis.

Our Group established policies on credit control to monitor and minimise the exposure of default of the trade receivables involving comprehensive credit evaluations, setting up appropriate credit limits, ensuring the services are provided to customers with good credit history, and regular review of customers' outstanding balances and payment trends. Our Group considers the risk of material loss in the event of non-performance by the customers to be unlikely.

12. FINANCIAL INFORMATION (CONT'D)

As our Group did not hold any collateral, the maximum exposure to credit risk arising from receivables is represented by the carrying amounts in the statement of financial position. Our Group uses ageing analysis to monitor the recoverability and credit quality of the trade receivables on a regular and an ongoing basis. There were no changes to our credit policies and procedures from FYE 2023 to 2026.

Our average trade receivables turnover period for FYE 2023 to FYE 2026 was 128 days, 85 days, 62 days and 34 days respectively. The average trade receivables turnover period for FYE 2023 to 2025 are higher than our normal credit term granted to our customers, while the average trade receivables turnover period for FYE 2026 was within the normal credit periods granted by our Group. Nevertheless, our trade receivables turnover period is within the industry range of between 5 days to 191 days. The average trade receivables turnover period of the industry is 79 days. The industry range and average is derived from the range of trade receivables turnover of the key industry players listed in the IMR Report, based on the respective latest available financial reports.

The higher trade receivables turnover period for FYE 2023, which is higher than our normal credit term granted to our customers was mainly due to slower collections from customers coupled with lower revenue base in FYE 2023 as compared to subsequent years.

For the FYE 2024, our average trade receivables turnover period improved from 128 days for FYE 2023 to 85 days for FYE 2024, mainly attributable to the improvement in collection monitoring.

Our average trade receivables turnover period further improved from 85 days for FYE 2024 to 62 days for FYE 2025, mainly attributable to the continuous effects of our credit control team.

Our average trade receivables turnover period further improved from 62 days for FYE 2025 to 34 days for FYE 2026, mainly attributable to the sustained improvement in collection efficiency and tighter credit control measures.

For the Financial Years Under Review, approximately 30.4%, 25.4% and 21.5% of trade receivables as at 31 March 2026 were due from our top 5 trade customers.

Management has taken reasonable steps to ensure that receivables that are neither past due nor impaired are measured at their realisable value. A significant portion of these receivables are regular customers in FYE 2026 that have been transacting with our Group. We use ageing analysis to monitor the recoverability and credit quality of the receivables on a regular and an ongoing basis. Any past due receivables having significant balances, which are deemed to have higher credit risk, are monitored individually.

The ageing analysis of our trade receivables (excluding retention sum) as at 31 March 2026 is as follows:

	Gross trade receivables as at 31 March 2026		Collection from 1 April 2026 to LPD	Balance trade receivables as at the LPD
	RM'000	Percentage of gross trade receivables	RM'000	RM'000
	(a)	(a)/total of (a)	(b)	(c) = (a) – (b)
Neither past due nor impaired	10,159	83.8	10,030	129

12. FINANCIAL INFORMATION (CONT'D)

	Gross trade receivables as at 31 March 2026		Collection from 1 April 2026 to LPD	Balance trade receivables as at the LPD
	RM'000	Percentage of gross trade receivables	RM'000	RM'000
	(a)	(a)/total of (a)	(b)	(c) = (a) – (b)
Past due but not impaired:				
- less than 30 days	1,168	9.6	1,048	113
- 30 to 60 days	67	0.6	15	52
- over 60 days	735	6.0	526	209
	1,970	16.2	1,589	374
	12,129	100.0	11,619	503

As at the LPD, RM11.62 million or 95.8% of our trade receivables as at 31 March 2026 have been collected. RM0.50 million or 4.2% of outstanding trade receivables as at 31 March 2026 have yet to be collected, including RM0.37 million, which have exceeded the credit period from 4 customers in oil and gas and petrochemical industry. We are closely monitoring the outstanding balance and continue to collect the balance from the customer on a regular and an ongoing basis. We do not anticipate any issues in recovering this balance.

Save as disclosed in Sections 12.2.2(ii)(a) and 12.2.8 of this Prospectus in relation to the Project Papar secured with Bintang Kejora Sdn Bhd, our Group has not encountered any major disputes with our trade receivables.

12.8.2 Trade payables turnover

Our average trade payables turnover period (in days) for FYE 2023 to FYE 2026 is stated as below:

	Audited			
	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Opening trade payables	116	657	1,538	3,294
Closing trade payables	657	1,538	3,294	4,288
Average net trade payables	387	1,098	2,416	3,791
Cost of sales	11,376	21,015	31,406	74,045
Average trade payable turnover period (days)	12	19	28	19

Trade payables comprise amounts outstanding for trade purchases. The credit terms granted to our Group for trade purchases ranged from cash term to 60 days in FYE 2025 and FYE 2026 (FYE 2023 and FYE 2024: 30 days) depending on the term of contracts. To maintain good relations with our suppliers, we will pay the suppliers as they fall due.

Our trade payables turnover period for FYE 2023, FYE 2024, FYE 2025 and FYE 2026 was 12 days, 19 days, 28 days and 19 days respectively, which were within the normal credit terms granted by our suppliers.

The ageing analysis of our trade payables as at 31 March 2026 is as follows:

12. FINANCIAL INFORMATION (CONT'D)

	Trade payables as at 31 March 2026		Payment from 1 April 2026 to the LPD	Balance trade payables as at the LPD
	RM'000	Percentage of trade payables (a)/total of (a)	RM'000	RM'000
	(a)	(a)	(b)	(c) = (a) – (b)
Within credit period	1,337	31.2	1,162	175
Exceeding credit period:				
- less than 30 days	1,051	24.5	570	481
- 30 to 60 days	763	17.8	642	121
- over 60 days	1,137	26.5	751	386
	2,951	68.8	1,963	988
	4,288	100.0	3,125	1,163

As at the LPD, RM3.13 million or 72.9% of our trade payables as at 31 March 2026 have been settled. The remaining balance of RM1.16 million have yet to be paid as at the LPD relates to progressive payments for 5 on-going projects (i.e. Sarawak OGP Project, Project Tankr, Project Basil, Project Mersing and Project Muar). The outstanding amount is expected to be settled in line with the project's completion schedule.

As at the LPD, we do not have any material disputes in respect of our trade payables and no material legal proceedings to demand for payment have been initiated by our suppliers against us.

12.8.3 Current ratio

Our current ratio throughout the Financial Years Under Review is as follows:

	Audited			
	As at 31 March			
	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000
Current assets	8,202	12,512	17,066	34,328
Current liabilities	3,587	6,923	10,362	17,816
Net current assets	4,615	5,589	6,704	16,512
Current ratio (times)	2.29	1.81	1.65	1.93

Our current ratio ranges from 1.65 times to 2.29 times for the Financial Years Under Review. This indicates that our Group can meet our current obligations as our current assets, such as trade receivables, which can be readily converted into cash, together with our fixed deposits and bank balances, are enough to meet immediate current liabilities.

As at 31 March 2024, our current ratio was 1.81 times, which was lower compared to 2.29 times as at 31 March 2023. This was mainly due to the increase in current liabilities arising from the increase in other payables by RM1.25 million, trade payables by RM0.88 million and loan and borrowing by RM0.75 million. This was partially offset by the increase in our current assets position, largely attributed to the increase in trade receivables by RM1.93 million.

12. FINANCIAL INFORMATION (CONT'D)

As at 31 March 2025, our current ratio was 1.65 times, which was lower compared to 1.81 times as at 31 March 2024. This was mainly due to the increase in current liabilities arising from the increase in trade payables by RM1.76 million, loans and borrowings by RM0.46 million, contract liabilities by RM0.55 million, amount due to Directors by RM0.84 million. This was partially offset by the increase in our current assets position, largely attributed to the increase in contract assets by RM4.07 million due to the increase in unbilled progress payments.

As at 31 March 2026, our current ratio improved to 1.93 times from 1.65 times as at 31 March 2025. The improvement was mainly attributed to the increase in current assets of RM17.26 million, which outpaced the increase in current liabilities of RM7.45 million. The increase in current assets was mainly due to increase in trade receivables by RM6.56 million, contract assets by RM5.13 million and cash and bank balances of RM4.25 million resulting from the expansion of our business operations during the financial year. This was partially offset by the increase in our current liabilities position, largely attributed to the increase in loans and borrowings by RM3.22 million, other payables by RM3.34 million and tax payable of RM1.72 million.

12.8.4 Gearing ratio

Our gearing ratio throughout the Financial Years Under Review is as follows:

	Audited			
	As at 31 March			
	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000
Total borrowings ⁽¹⁾	5,860	7,229	9,939	15,382
Total equity	7,846	9,919	13,079	21,293
Gearing ratio (times)	0.75	0.73	0.76	0.72

Note:

⁽¹⁾ Includes borrowings (including hire purchase payables on plant and machinery, and motor vehicles) over total equity as at the end of each financial year.

As at 31 March 2024, our gearing ratio was 0.73 times, which was lower compared to 0.75 times as at 31 March 2023. This was mainly due to increase in total equity of RM2.07 million mainly as a result of the PAT recorded for FYE 2024. Such improvement in our gearing ratio was partially narrowed by an increase of borrowings of RM1.37 million mainly to finance our Group's working capital requirements, including purchases of materials and payment to suppliers/subcontractors.

As at 31 March 2025, our gearing ratio was 0.76 times, which was higher compared to 0.73 times as at 31 March 2024. This was mainly due to increase in total equity of RM3.16 million mainly as a result of the PAT recorded for FYE 2025. Such improvement in our gearing ratio was partially narrowed by an increase of borrowings of RM2.71 million mainly to finance our Group's working capital requirements for the increase in purchases of materials and subcontractor services which increases in tandem with increase in revenue.

As at 31 March 2026, our gearing ratio was 0.72 times, which was lower compared to 0.76 times as at 31 March 2025. This was mainly due to increase in total equity of RM8.21 million mainly as a result of the PAT recorded for FYE 2026. Such improvement in our gearing ratio was partially narrowed by an increase of borrowings of RM5.44 million mainly to finance our Group's working capital requirements, including purchases of materials and payment to suppliers/subcontractors.

12. FINANCIAL INFORMATION (CONT'D)**12.9 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES**

There were no government, economic, fiscal or monetary policies or factors which had materially affected our operations during FYEs 2023 to 2026. There is no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward.

Risks relating to government, economic, fiscal or monetary policies or factors which may materially affect our operations are set out in Section 9 of this Prospectus.

12.10 IMPACT OF INFLATION

During FYEs 2023 to 2026, our financial performance was not materially affected by inflation. However, there is no assurance that our financial performance will not be adversely affected by inflation moving forward. Any significant increase in our costs of sales in the future may adversely affect our operations and performance if we are unable to pass on the higher costs to our customers.

12.11 MATERIAL INVESTMENT AND MATERIAL DIVESTITURES

We have undertaken material investments and material divestitures for the Financial Years Under Review and up to the LPD as follows:

(i) Material investments:

We have undertaken material investments and material divestitures for the Financial Year Under Review and up to the LPD as follows:

	FYE 2023	FYE 2024	FYE 2025	FYE 2026	From 1 April 2026 and up to the LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
<u>Classified under PPE</u>					
Capital work-in-progress ⁽¹⁾	-	-	110	46	424
Computer and software	-	-	4	5	14
Freehold land ⁽²⁾	52	-	-	-	-
Freehold warehouse ⁽³⁾	-	-	1,616	-	-
Furniture and fittings	1	1	26	120	-
Office equipment	20	153	156	142	3
Tools and equipment ⁽⁴⁾	22	39	1,377	253	154
Plant and machinery ⁽⁵⁾	13	1,315	1,508	1,507	149
Renovation	-	-	51	255	-
Motor vehicles ⁽⁶⁾	634	290	1,057	130	-
Signboard	-	-	-	4	-
Total	742	1,798	5,905	2,462	744

Notes:

- ⁽¹⁾ The addition to capital work-in-progress in FYE 2025 and FYE 2026 mainly relates to professional consultancy fees and subcontractors cost for building works incurred for our New Sendayan HQ.

12. FINANCIAL INFORMATION (CONT'D)

- (2) The addition to freehold land in FYE 2023 relates to architect fees and permit fees incurred for our New Sendayan HQ.
- (3) The addition to freehold warehouse in FYE 2025 relates to the purchase of our Pasir Gudang warehouse. Further details of the Pasir Gudang warehouse is disclosed in Section 7.22.1(i) of this Prospectus.
- (4) The addition of tools and equipment in FYE 2025 includes the purchase of 105 units of thyristor power, which serve as tools supporting the power regulators.
- (5) The addition of plant and machinery includes the purchase of 4 units of hydraulic excavators and 3 units of flange facing machines in FYE 2024; purchase of 27 units of power regulators in FYE 2025; as well as purchase of 2 units of phased array ultrasonic testing machine and 1 unit of flange facing machine in FYE 2026 for operational use.
- (6) The addition of 7 units of motor vehicles for our operations in FYE 2025.

The above capital expenditures were for our operations in Malaysia. They were primarily financed by combination of bank borrowings (including hire purchases) and internally generated funds.

(ii) Material divestitures:

	FYE 2023	FYE 2024	FYE 2025	FYE 2026	From 1 April 2026 and up to the LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
Classified under PPE					
Motor vehicles	246	-	260	*-	-
Office equipment	-	-	10	243	-
Tools and equipment	-	-	-	65	-
Plant and machinery	-	-	1	247	-
Furniture and fittings	-	-	*-	41	-
Computer	-	-	-	21	-
Renovation	-	-	-	54	-
Total	246	-	271	671	-

Note:

* Representing less than RM1,000.00.

The above capital divestitures involve assets located in Malaysia and were carried out in the ordinary course of business as part of our review of our fixed asset register to identify and eliminate those assets which are no longer in use or obsolete.

12. FINANCIAL INFORMATION (CONT'D)**12.12 IMPACT OF FOREIGN EXCHANGE RATES AND INTEREST RATES ON OUR OPERATIONS****(i) Impact of foreign exchange rates**

Save for purchase of machinery from overseas suppliers which are denominated in Chinese Yuan, our transactions are denominated in RM.

(ii) Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our borrowings from banks. A sensitivity analysis performed on our Group based on the outstanding floating rate of the bank borrowings as at 31 March 2026 indicates that our PBT for FYE 2026 would increase or decrease by approximately RM0.11 million as a result of increase or decrease in interest rates by 1.0% on these borrowings. Our financial results for FYEs 2023 to 2026 were not materially affected by fluctuations in interest rates.

12.13 ORDER BOOK

As at the LPD, we have an unbilled order book amounting to RM50.43 million.

	Unbilled order book as at the LPD⁽¹⁾
	RM'000
Provision of mechanical engineering services	38,148
Civil engineering projects	12,284
	50,432

Note:

- (1) RM28.02 million is expected to be billed for the FYE 31 March 2027. RM17.51 million is expected to be billed for the FYE 31 March 2028. RM4.90 million is expected to be billed for the FYE 31 March 2029.

12.14 DIRECTORS' STATEMENT ON OUR FINANCIAL PERFORMANCE

Our Board is of the opinion that:

- (i) Our revenue will remain sustainable with an upward growth trend, in line with the anticipated growth in the mechanical and civil engineering industries as set out in the IMR Report;
- (ii) Our liquidity will improve further subsequent to the Public Issue given the additional funds to be raised for our Group to carry out our business strategies and future plans as stated in Section 7.7 of this Prospectus; and
- (iii) Our capital resources will strengthen, taking into account the amount to be raised from the Public Issue as well as internally generated funds. We may consider debt or equity funding for our capital expansion should the need arise.

In addition to the above, our Board confirms that there are no circumstances which would result in a significant decline in our revenue and GP margin or know of any factors that are likely to have a material impact on our liquidity, revenue or profitability.

12. FINANCIAL INFORMATION (CONT'D)

12.15 TREND INFORMATION

As at the LPD, our financial performance, position and operations are not affected by any of the following:

- (i) Known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our financial performance, position and operations, save as disclosed in Sections 12.2, 7, 8 and 9 of this Prospectus;
- (ii) Material commitments for capital expenditure disclosed in Section 12.6 of this Prospectus;
- (iii) Unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 12.2 and 9 of this Prospectus;
- (iv) Known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our revenue and/or profit as disclosed in Section 12.2, business and industry overview, as set out in Sections 7 and 8 of this Prospectus, and business strategies and future plans as set out in Section 7.7 of this Prospectus;
- (v) Known trends, demands, commitments, events or uncertainties that are reasonably likely to make our historical financial statements not indicative of the future financial performance and position, save as disclosed in Sections 12 and 9 of this Prospectus; and
- (vi) Known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our liquidity and capital resources, save as disclosed in Sections 7, 9 and 12 of this Prospectus.

Our Board is optimistic about the future prospects of our Group given our competitive strengths as set out in Section 7.6 of this Prospectus, the outlook of the mechanical and civil engineering industries in Malaysia as set out in the IMR Report in Section 8 of this Prospectus and our commitment to implement the business strategies and future plans as set out in Section 7.7 of this Prospectus.

12.16 DIVIDEND POLICY

Our Group presently does not have any formal dividend policy and the declaration of dividends and other distributions are subject to the discretion of our Board. It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. However, our ability to pay dividends or make other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

As we are a holding company, our ability to declare and pay dividends or make other distributions to our shareholders is dependent upon the dividends we receive from our subsidiaries, present and future. The payment of dividends by our subsidiaries is dependent upon various factors, including but not limited to, their distributable profits, financial performance, and cash flow requirements for operations and capital expenditures, as well as other factors that their respective boards of Directors deem relevant. Save for certain restrictive covenants from our credit facilities, which our subsidiaries are subject to, there is no other dividend restriction imposed on our subsidiaries as at the LPD.

12. FINANCIAL INFORMATION (CONT'D)

Our Board will consider the following factors (which may not be exhaustive) when recommending dividends for approval by our shareholders or when declaring any interim dividends:

- (i) the level of cash and level of indebtedness;
- (ii) required and expected interest expense, cash flows, profits, return on equity and retained earnings;
- (iii) our expected results of operations and future level of operations;
- (iv) our projected levels of capital expenditure and other investment plans; and
- (v) the prior notifications to our lenders, if any.

The payment and amount of any dividends or distributions to our shareholders will be at the discretion of our Board, and will depend on factors stated above (which may not be exhaustive). There is no assurance as to whether the dividend distribution will occur as intended, the amount of dividend payment or timing of such payment.

Subject to the Act, our Company, in a general meeting, may from time to time approve dividend or other distribution. However, no dividend or distribution shall be declared in excess of the amount recommended by our Board. Further, under the Act, our Company may not declare or pay dividend, or make a distribution out of contributed surplus, if there are reasonable grounds for believing that:

- (i) our Company is, or would after the payment be unable to pay its liabilities as they become due; or
- (ii) the realisable value of the Company's assets would thereby be less than its liabilities.

For FYEs 2023 to 2026 and up to the LPD, our Group declared and paid the following dividends to shareholders of the respective subsidiaries:

	Audited				Unaudited
	FYE 2023	FYE 2024	FYE 2025	FYE 2026	1 April 2026 up to the LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
Dividends declared	-	⁽¹⁾⁽²⁾ 850	⁽³⁾ 1,910	-	-
Dividends paid	-	⁽¹⁾ 200	⁽²⁾⁽³⁾ 2,560	-	-
PAT attributable to owners of our Company	1,264	3,025	4,730	8,214	-
Dividend payout rate (%) ⁽⁴⁾	-	28.1	40.4	-	-

Notes:

- ⁽¹⁾ RM0.20 million was declared on 8 September 2023 and paid on 15 September 2023.
- ⁽²⁾ RM0.65 million was declared on 31 March 2024 and paid on 5 November 2024.
- ⁽³⁾ RM1.91 million was declared on 7 March 2025 and was used to offset with the amount due from shareholders.
- ⁽⁴⁾ Computed based on dividend declared divided by PAT attributable to owners of our Company for each financial year/period.

12. FINANCIAL INFORMATION (CONT'D)

The dividends above were funded by internal funds sourced from the cash and bank balances of the respective subsidiaries. The dividends will not affect the execution and implementation of our future plans or business strategies. Together with the IPO proceeds, we believe that we have sufficient funding of cash from operations and bank borrowings for the funding requirement for our operations and our expansion plans.

Subsequent to 1 April 2026 and up to the LPD, no dividends were declared. Our Company does not intend to declare any dividends prior to the Listing. As at the LPD, there are no outstanding dividends declared but remained unpaid.

No influence should or can be made from any of the above statements as to our actual future profitability or our ability to pay dividends in the future.

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12. FINANCIAL INFORMATION (CONT'D)**12.17 CAPITALISATION AND INDEBTEDNESS**

The table below summarises our capitalisation and indebtedness as at 15 June 2026 and after adjusting for the effects of Public Issue including the utilisation of proceeds.

	Unaudited	I	II
	As at 15 June 2026	After Public Issue	After I and utilisation of proceeds
	RM'000	RM'000	RM'000
Capitalisation			
Shareholders' equity	23,188	44,863	41,163
Total capitalisation	23,188	44,863	41,163
Indebtedness			
Current			
<u>Secured and guaranteed:</u>			
Loans and bank borrowings	4,546	4,546	4,546
Lease liabilities (under hire purchase arrangement)	781	781	781
<u>Unsecured and unguaranteed:</u>			
Lease liabilities	94	94	94
Non-current			
<u>Secured and guaranteed:</u>			
Loans and bank borrowings	7,110	7,110	7,110
Lease liabilities (under hire purchase arrangement)	1,278	1,278	1,278
<u>Unsecured and unguaranteed:</u>			
Lease liabilities	142	142	142
Total borrowings	13,951	13,951	13,951
Financial guarantee			
<u>Secured and guaranteed:</u>			
Financial guarantee extended to a third party ⁽¹⁾	1,000	1,000	1,000
Total indebtedness⁽²⁾	14,951	14,951	14,951
Total capitalisation and indebtedness	38,139	59,814	56,114
Gearing ratio (times)⁽³⁾	0.60	0.31	0.34

Notes:

(1) Financial guarantee credit primarily issued to a third party, being our customer. As part of a contract between BESB and our customer, BESB provided a performance guarantee issued by United Overseas Bank (Malaysia) Bhd in favour of our customer. In the event BESB failed to meet its obligations under the contract, our customer can make a claim under the guarantee. No claims have been made by our customer during the Financial Years Under Review.

(2) Comprise of total borrowings and financial guarantee.

(3) Calculated based on total borrowings divided by total capitalisation.

12. FINANCIAL INFORMATION (CONT'D)

12.18 REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026

PIONEER HEAT HOLDINGS BERHAD
Registration No.: 201901008722 (1318050-M)
(Incorporated in Malaysia)

**PRO FORMA CONSOLIDATED STATEMENTS
OF FINANCIAL POSITION
AS AT 31 MARCH 2026**

TGS TW PLT
CHARTERED ACCOUNTANTS

12. FINANCIAL INFORMATION (CONT'D)



The Board of Directors
Pioneer Heat Holdings Berhad
No. 55, Jalan Pusat Komersial Irama Sendayan 1/2
Taman Irama Sendayan 1, 71900 Labu
Negeri Sembilan

TGS TW PLT
202106000004 (LLP0026851-LCA) & AF002345
Chartered Accountants
Unit E-16-2B,
Level 16, Icon Tower (East)
No.1, Jalan 1/68F, Jalan Tun Razak
50400 Kuala Lumpur.
Tel : +603 9771 4326
Email: tgsaudit@tgs-tw.com
www.tgs-tw.com

Dear Sirs,

**PIONEER HEAT HOLDINGS BERHAD (“PHH” OR “THE COMPANY”) REPORT ON THE
COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL
POSITION AS AT 31 MARCH 2026**

We have completed our assurance engagement to report on the compilation of Pro Forma Consolidated Statements of Financial Position of Pioneer Heat Holdings Berhad and of its subsidiaries (collectively known as “the Group” or “Pioneer Group”) as at 31 March 2026.

The applicable criteria on the basis of which the Board of Directors (“Board”) have compiled the Pro Forma Consolidated Statements of Financial Position are described in the notes thereon to the Pro Forma Consolidated Statements of Financial Position. The Pro Forma Consolidated Statements of Financial Position is prepared in accordance with the requirements of Chapter 9, Part II Division 1: Equity of the Prospectus Guidelines-Equity issued by the Securities Commission Malaysia (“Prospectus Guidelines”) and the Guidance Note for Issuers of Pro Forma Financial Information issued by the Malaysia Institute of Accountants (“Guidance Note”) (“Applicable Criteria”).

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Board for illustrative purposes only and for inclusion into the prospectus of PHH in connection with the listing of and quotation for the entire enlarged issued share capital of PHH on the ACE Market of Bursa Malaysia Securities Berhad (“Bursa Securities”) (“Proposed Listing”).

As part of this process, information about the Group’s consolidated financial position has been extracted by the Board from the audited consolidated statements of financial position of the Group as at 31 March 2026, on which was reported by us to the members of the Group on 21 July 2026 without any modification.

Directors’ Responsibility for the Pro Forma Consolidated Statements of Financial Position

The Board is solely responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis of the Applicable Criteria.

12. FINANCIAL INFORMATION (CONT'D)**Our Independence and Quality Control**

We are independent in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants (“By-Laws”) and the International Ethics Standards Board of Accountants’ International Code of Ethics for Professional Accountants (including International Independence Standards) (“IESBA Code”), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies *International Standard on Quality Management (“ISQM”) 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibility

Our responsibility is to express an opinion as required by the Prospectus Guidelines, about whether the Pro Forma Consolidated Statements of Financial Position have been properly compiled, in all material respects, by the Board on the basis of the Applicable Criteria.

We conducted our engagement in accordance with *International Standard on Assurance Engagements (“ISAE”) 3420 Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we comply with ethical requirements and plan and perform procedures to obtain reasonable assurance about whether the Board has compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis of the Applicable Criteria.

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinions on any historical financial information used in compiling the Pro Forma Consolidated Statements of Financial Position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the Pro Forma Consolidated Statements of Financial Position.

The purpose of the Pro Forma Consolidated Statements of Financial Position included in the Prospectus is solely to illustrate the impact of a significant event or transaction or unadjusted financial information on the entity as if the events had occurred or the transactions had been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction would have been as presented.

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis of the Applicable Criteria involves performing procedures to assess whether the Applicable Criteria used by the Board in the compilation of the Pro Forma Consolidated Statements of Financial Position provide a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:-

- The related pro forma adjustments give appropriate effect to those criteria; and
- The Pro Forma Consolidated Statements of Financial Position reflects the proper application of those adjustments to the unadjusted financial information.

12. FINANCIAL INFORMATION (CONT'D)



Our Responsibility (Cont'd)

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the event or transaction in respect of which the Pro Forma Consolidated Statements of Financial Position has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the Pro Forma Consolidated Statements of Financial Position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis of the Applicable Criteria.

Other Matter

This report has been prepared solely for the purpose of inclusion in the Prospectus of Pioneer Heat Holdings Berhad in connection with the Proposed Listing. It is not intended to be used for any other purposes. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this letter contrary to the aforesaid purpose.

Yours faithfully,

A handwritten signature in black ink, appearing to be 'TGS TW PLT'.

TGS TW PLT
202106000004 (LLP0026851-LCA) & AF002345
Chartered Accountants

A handwritten signature in black ink, appearing to be 'TEOH CHEY YEAT'.

TEOH CHEY YEAT
03447/08/2027 J
Chartered Accountant

Kuala Lumpur
22 July 2026

12. FINANCIAL INFORMATION (CONT'D)**PIONEER HEAT HOLDINGS BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026**

The Pro Forma Consolidated Statements of Financial Position of the Group as at 31 March 2026 as set out below are provided for illustrative purposes only to show the effects of the transactions as mentioned in Note 2 to the Pro Forma Consolidated Statements of Financial Position on the assumption that these transactions were completed on 31 March 2026, and should be read in conjunction with the notes accompanying to the Pro Forma Consolidated Statements of Financial Position.

	Note	As at 31 March 2026	Adjustments for Proposed Initial Public Offering	Proforma I	Adjustments for Proposed Utilisation of Proceeds	Proforma II
		RM	RM	RM	RM	RM
ASSETS						
Non-current assets						
Property, plant and equipment		13,520,981	-	13,520,981	-	13,520,981
Investment property		416,496	-	416,496	-	416,496
Other receivable		57,265	-	57,265	-	57,265
Deferred tax assets		101,460	-	101,460	-	101,460
Total non-current assets		14,096,202		14,096,202		14,096,202
Current assets						
Trade receivables		14,403,248	-	14,403,248	-	14,403,248
Contract assets		10,500,122	-	10,500,122	-	10,500,122
Other receivables	3.01	1,983,193	-	1,983,193	(1,628,830)	354,363
Tax recoverable		372,138	-	372,138	-	372,138
Cash and bank balances	3.02	7,068,980	21,675,000	28,743,980	(2,071,170)	26,672,810
Total current assets		34,327,681		56,002,681		52,302,681
Total assets		48,423,883		70,098,883		66,398,883
EQUITY AND LIABILITIES						
EQUITY						
Share capital	3.03	200,000	21,675,000	21,875,000	(1,170,072)	20,704,928
Retained earnings	3.04	21,092,340	-	21,092,340	(2,529,928)	18,562,412
Total equity		21,292,340		42,967,340		39,267,340
LIABILITIES						
Non-current liabilities						
Loans and borrowings		7,333,181	-	7,333,181	-	7,333,181
Lease liabilities		1,764,414	-	1,764,414	-	1,764,414
Deferred tax liabilities		217,698	-	217,698	-	217,698
Total non-current liabilities		9,315,293		9,315,293		9,315,293

12. FINANCIAL INFORMATION (CONT'D)**PIONEER HEAT HOLDINGS BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)**

The Pro Forma Consolidated Statements of Financial Position of the Group as at 31 March 2026 as set out below are provided for illustrative purposes only to show the effects of the transactions as mentioned in Note 2 to the Pro Forma Consolidated Statements of Financial Position on the assumption that these transactions were completed on 31 March 2026, and should be read in conjunction with the notes accompanying to the Pro Forma Consolidated Statements of Financial Position. (Cont'd)

	Note	As at 31 March 2026		Adjustments for Proposed Initial Public Offering		Proforma I		Adjustments for Proposed Utilisation of Proceeds		Proforma II	
		RM		RM		RM		RM		RM	
EQUITY AND LIABILITIES (CONT'D)											
LIABILITIES (CONT'D)											
Current liabilities											
Loans and borrowings			5,657,333	-	-		5,657,333	-	-		5,657,333
Lease liabilities			882,753	-	-		882,753	-	-		882,753
Trade payables			4,287,600	-	-		4,287,600	-	-		4,287,600
Other payables			4,742,179	-	-		4,742,179	-	-		4,742,179
Tax payable			2,246,385	-	-		2,246,385	-	-		2,246,385
Total current liabilities			17,816,250				17,816,250				17,816,250
Total liabilities			27,131,543				27,131,543				27,131,543
Total equity and liabilities			48,423,883				70,098,883				66,398,883
Issued ordinary share capital (Unit)	3.03		260,200,000		86,700,000		346,900,000		-		346,900,000
Net assets per share attributable to owners of Pioneer Heat Holdings Berhad (RM)			0.08				0.12				0.11
Borrowings (excluding lease liabilities of rented office premises and workshops)			15,382,557				15,382,557				15,382,557
Gearing ratio (times)			0.72				0.36				0.39

12. FINANCIAL INFORMATION (CONT'D)

PIONEER HEAT HOLDINGS BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026

1. BASIS OF PREPARATION

The Pro Forma Consolidated Statements of Financial Position of the Group has been prepared for illustrative purposes and on the assumptions that all the transactions mentioned as per Note 2 to the Pro Forma Consolidated Statements of Financial Position had taken place on 31 March 2026.

The Pro Forma Consolidated Statements of Financial Position have been prepared based on accounting policies and basis which are consistent with those disclosed in the audited consolidated financial statements of the Group for the financial year ended 31 March 2026 and in accordance with Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS") and the requirements of the Prospectus Guidelines.

2. LISTING SCHEME

(i) Pro Forma I: Proposed Initial Public Offering

The Proposed Initial Public Offering entails the following:

(i) Proposed Public Issue

The Proposed Public Issue involves an issuance of 86,700,000 new ordinary shares in Pioneer Heat Holdings Berhad at an issue price of RM0.25 per share ("Public Issue").

(ii) Proposed Offer for Sale

The Proposed Offer for Sale involves offer the sale of 17,345,000 existing ordinary shares in Pioneer Heat Holdings Berhad by the selling shareholders at offer price of RM0.25 per share ("Offer for Sale").

Pioneer Heat Holdings Berhad will not receive any proceeds from the Proposed Offer for Sale. Based on the offer price, the total gross proceeds raised from the Proposed Offer for Sale of RM4,336,250 will accrue entirely to the selling shareholders and will be utilised by the selling shareholders. All fees and expenses relating to the Proposed Offer for Sale will be fully borne by the selling shareholders.

The Proposed Offer for Sale is not illustrated as it has no impact on the Pro Forma Consolidated Statements of Financial Position.

In conjunction with the Proposed Initial Public Offering, the entire enlarged share capital comprising 346,900,000 ordinary shares in Pioneer Heat Holdings Berhad will be listed and quoted on the ACE Market of Bursa Malaysia Securities Berhad.

12. FINANCIAL INFORMATION (CONT'D)**PIONEER HEAT HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)****2. LISTING SCHEME (CONT'D)****(ii) Pro Forma II: Proposed Utilisation of Proceeds**

Gross proceeds from the Public Issue of RM21,675,000 are expected to be utilised as follows (“Proposed Utilisation of Proceed”):

Purposes	Estimated timeframe for the use of proceeds from the Proposed Listing date	RM	% of total gross proceeds from the Proposed Public Issue
Setting up of new offices:			
New Sendayan HQ ⁽²⁾	24 months ⁽¹⁾	4,000,000	18.45%
New Sarawak Office ⁽²⁾	61 months ⁽¹⁾	2,069,000	9.55%
Purchase of machinery and equipment ⁽²⁾	24 months ⁽¹⁾	4,005,000	18.48%
Working capital ⁽²⁾	24 months ⁽¹⁾	7,901,000	36.45%
Estimated listing expenses *	1 month ⁽¹⁾	3,700,000	17.07%
Total estimated proceeds		21,675,000	100.00%

⁽¹⁾ From the date of listing of the shares.

⁽²⁾ The utilisation of proceeds earmarked for the abovementioned purposes are not reflected in the pro forma consolidated statements of financial position, as the Group has not yet entered into any contractually binding agreements, including sales and purchase agreements or purchase orders. Thus, the proceeds will be included in the cash and bank balances. The actual deployment of funds will take place over time and is expected to contribute to increased operating expenses and capital investments, which will be reflected in future financial periods.

* The listing expenses are estimated at RM3,700,000 and will be set off against the share capital and profit or loss accordingly. During the financial year ended 31 March 2026, listing expenses amounted to RM1,628,830 were recognised as prepayment. The estimated listing expenses of RM1,170,072 directly attributable to the Public Issue will be offset against share capital and the remaining estimated listing expenses of RM2,529,928 that attributable to the Listing will be expensed off to profit or loss. The apportionment is disclosed in Notes 3.03 and 3.04.

12. FINANCIAL INFORMATION (CONT'D)**PIONEER HEAT HOLDINGS BERHAD****NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)****3. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION****3.01 OTHER RECEIVABLES**

The movements in other receivables are as follows:

	RM
As at 31 March 2026/As per Pro Forma I	1,983,193
Less: Pursuant to Proposed Utilisation of Proceeds	
- Listing expenses	<u>(1,628,830)</u>
As per Pro Forma II	<u><u>354,363</u></u>

3.02 CASH AND BANK BALANCES

The movements in cash and bank balances are as follows:

	RM
As at 31 March 2026	7,068,980
Add: Proceeds to be raised from the Proposed Initial Public Offering	<u>21,675,000</u>
As per Pro Forma I	28,743,980
Less: Pursuant to Proposed Utilisation of Proceeds	
- Listing expenses	<u>(2,071,170)</u>
As per Pro Forma II	<u><u>26,672,810</u></u>

12. FINANCIAL INFORMATION (CONT'D)

PIONEER HEAT HOLDINGS BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

3. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

3.03 SHARE CAPITAL

The movements in share capital are as follows:

	Units	RM
As at 31 March 2026	260,200,000	200,000
Add: Pursuant to Proposed Initial Public Offering	86,700,000	21,675,000
As per Pro Forma I	346,900,000	21,875,000
Less: Pursuant to Proposed Utilisation of Proceeds		
- Estimated expenses*	-	(1,170,072)
As per Pro Forma II	346,900,000	20,704,928

* The estimated listing expenses of RM1,170,072 directly attributable to the Proposed Public Issue will be offset against share capital and the remaining estimated listing expenses of RM2,529,928 that is attributable to the Proposed Listing will be expensed off to profit and loss.

3.04 RETAINED EARNINGS

The movements in retained earnings are as follows:

	RM
As at 31 March 2026/As per Pro Forma I	21,092,340
Less: Pursuant to Proposed Utilisation of Proceeds	
- Estimated expenses*	(2,529,928)
As per Pro Forma II	18,562,412

* The estimated listing expenses of RM1,170,072 directly attributable to the Proposed Public Issue will be offset against share capital and the remaining estimated listing expenses of RM2,529,928 that is attributable to the Proposed Listing will be expensed off to profit and loss.

12. FINANCIAL INFORMATION (CONT'D)

PIONEER HEAT HOLDINGS BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026

APPROVAL BY THE BOARD OF DIRECTORS

Approved and adopted by the Board of Directors in accordance with a resolution dated 21 July 2026.

On behalf of the Board of Directors



Wong Wei Ken
Director



Wong Wei Lieh
Director

13. ACCOUNTANTS' REPORT

PIONEER HEAT HOLDINGS BERHAD
[Registration No.: 201901008722 (1318050-M)]
(Incorporated in Malaysia)

ACCOUNTANTS' REPORT
FOR THE FINANCIAL YEARS ENDED
31 MARCH 2026, 31 MARCH 2025,
31 MARCH 2024 AND 31 MARCH 2023

TGS TW PLT
CHARTERED ACCOUNTANTS

13. ACCOUNTANTS' REPORT (CONT'D)



The Board of Directors
Pioneer Heat Holdings Berhad
No. 55, Jalan Pusat Komersial Irama Sendayan 1/2
Taman Irama Sendayan 1, 71900 Labu
Negeri Sembilan

Dear Sirs,

TGS TW PLT
202106000004 (LLP0026851-LCA) & AF002345
Chartered Accountants
Unit E-16-2B,
Level 16, Icon Tower (East)
No.1, Jalan 1/68F, Jalan Tun Razak
50400 Kuala Lumpur.
Tel : +603 9771 4326
Email: tgsaudit@tgs-tw.com
www.tgs-tw.com

Reporting Accountants' opinion on the Financial Information (as defined herein) contained in the Accountants' Report of Pioneer Heat Holdings Berhad ("the Company" or "PHH")

Opinion

We have audited the accompanying consolidated financial statements ("Financial Information") of the Company and its subsidiaries (collectively known as "the Group" or "Pioneer Group") which comprise the consolidated statements of financial position as at 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023, and the consolidated statements of profit or loss and other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows of the Group for the financial years ended 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023, and material accounting policy information and other explanatory notes to the consolidated financial statements as set out on pages 5 to 77.

This Financial Information has been prepared for inclusion in the prospectus for Pioneer Group in connection with the proposed listing of and quotation for the entire issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad. This report is prepared for the purpose of complying with the Prospectus Guidelines issued by the Securities Commission Malaysia and for no other purpose.

In our opinion, the accompanying Financial Information give a true and fair view of the consolidated financial position of the Group as at 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023, and of their consolidated financial performance and of their consolidated cash flows for the financial years ended 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023 in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards and Paragraph 10.04 of Chapter 10, Part II Division 1, Equity of the Prospectus Guidelines as issued by the Securities Commission Malaysia.

13. ACCOUNTANTS' REPORT (CONT'D)**Basis for Opinion**

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Financial Information* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code") as applicable to audits of financial statements of public interest entities, and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Responsibilities of the Directors for the Financial Information

The Directors of the Company are responsible for the preparation of the Financial Information of the Group that give a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of Financial Information of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Information of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Financial Information

Our objectives are to obtain reasonable assurance about whether the Financial Information of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a Reporting Accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Information.

13. ACCOUNTANTS' REPORT (CONT'D)



Reporting Accountants' Responsibilities for the Audit of the Financial Information (Cont'd)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Information of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our accountants' report to the related disclosures in the Financial Information of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Financial Information of the Group, including the disclosures, and whether the Financial Information of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group as a basis for forming an opinion on the financial statements of the Group. We are responsible for the direction, supervision and review of the audit work performed for purpose of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

13. ACCOUNTANTS' REPORT (CONT'D)



Restriction on Distribution and Use

This report is made solely to the Company to comply with Prospectus Guidelines - Equity issued by the Securities Commission Malaysia and for inclusion in the prospectus of the Company to be issued in relation to the proposed listing of and quotation for the entire issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon any other purposes. We do not assume responsibility to any other person for the content of this report.

A handwritten signature in black ink, appearing to be 'TGS TW PLT'.

TGS TW PLT
202106000004 (LLP0026851-LCA) & AF002345
Chartered Accountants

A handwritten signature in black ink, appearing to be 'TEOH CHEY YEAT'.

TEOH CHEY YEAT
03447/08/2027 J
Chartered Accountant

KUALA LUMPUR
22 July 2026

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 MARCH 2026, 31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023**

		← Audited →			
	Note	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
ASSETS					
Non-current assets					
Property, plant and equipment	3	13,520,981	13,117,540	7,918,831	6,791,790
Investment property	4	416,496	427,825	439,156	450,488
Other investment	5	-	-	559,821	585,291
Other receivable	6	57,265	53,609	-	-
Deferred tax assets	7	101,460	156,664	296,242	-
		<u>14,096,202</u>	<u>13,755,638</u>	<u>9,214,050</u>	<u>7,827,569</u>
Current assets					
Trade receivables	8	14,403,248	7,840,160	7,980,601	6,051,161
Contract assets	9	10,500,122	5,369,037	1,302,252	705,130
Other receivables	6	1,983,193	323,032	801,675	164,898
Amount due from a shareholder	10	-	-	1,029,086	-
Tax recoverable		372,138	660,034	327,479	369,691
Fixed deposit with a licensed bank	11	-	60,000	60,000	60,000
Cash and bank balances		<u>7,068,980</u>	<u>2,813,921</u>	<u>1,010,811</u>	<u>850,995</u>
		<u>34,327,681</u>	<u>17,066,184</u>	<u>12,511,904</u>	<u>8,201,875</u>
Total assets		<u><u>48,423,883</u></u>	<u><u>30,821,822</u></u>	<u><u>21,725,954</u></u>	<u><u>16,029,444</u></u>
EQUITY AND LIABILITIES					
EQUITY					
Share capital	12(a)	200,000	200,000	1,000	1,000
Invested equity	12(b)	-	-	-	350,100
Translation reserve	13	-	-	(2,541)	(1,261)
Retained earnings		<u>21,092,340</u>	<u>12,878,547</u>	<u>9,669,376</u>	<u>7,493,669</u>
		<u>21,292,340</u>	<u>13,078,547</u>	<u>9,667,835</u>	<u>7,843,508</u>
Non-controlling interests (“NCI”)	14	-	-	250,769	2,012
Total equity		<u><u>21,292,340</u></u>	<u><u>13,078,547</u></u>	<u><u>9,918,604</u></u>	<u><u>7,845,520</u></u>

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**AS AT 31 MARCH 2026, 31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

		← Audited →			
	Note	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
EQUITY AND LIABILITIES					
(CONT'D)					
LIABILITIES					
Non-current liabilities					
Loans and borrowings	15	7,333,181	5,444,133	3,596,713	3,691,463
Lease liabilities	16	1,764,414	1,835,073	1,230,512	833,548
Deferred tax liabilities	7	217,698	102,000	57,000	71,822
		<u>9,315,293</u>	<u>7,381,206</u>	<u>4,884,225</u>	<u>4,596,833</u>
Current liabilities					
Loans and borrowings	15	5,657,333	2,437,633	1,977,002	1,229,182
Lease liabilities	16	882,753	964,729	689,890	570,766
Trade payables	17	4,287,600	3,293,578	1,537,951	657,121
Contract liabilities	9	-	547,124	-	-
Other payables	18	4,742,179	1,397,956	1,946,579	694,604
Amount due to shareholders	10	-	112,170	105,030	43,972
Amount due to Directors	19	-	1,086,201	251,147	313,206
Tax payable		2,246,385	522,678	415,526	78,240
		<u>17,816,250</u>	<u>10,362,069</u>	<u>6,923,125</u>	<u>3,587,091</u>
Total liabilities		<u>27,131,543</u>	<u>17,743,275</u>	<u>11,807,350</u>	<u>8,183,924</u>
Total equity and liabilities		<u>48,423,883</u>	<u>30,821,822</u>	<u>21,725,954</u>	<u>16,029,444</u>

The accompanying notes form an integral part of these consolidated financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE FINANCIAL YEARS ENDED
31 MARCH 2026, 31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023**

		← Audited →			
	Note	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Revenue	20	97,660,848	42,966,126	31,468,347	16,034,700
Cost of sales		<u>(74,045,007)</u>	<u>(31,405,850)</u>	<u>(21,015,158)</u>	<u>(11,376,001)</u>
Gross profit		23,615,841	11,560,276	10,453,189	4,658,699
Other income	21	116,257	118,064	62,314	96,275
Administrative expenses		(10,907,523)	(4,236,502)	(4,326,907)	(2,477,885)
Other expenses	22	(119,782)	(87,389)	(42,613)	(182,895)
Net loss on impairment of financial assets		<u>(89,499)</u>	<u>(29,636)</u>	<u>(1,464,713)</u>	<u>(236,094)</u>
Profit from operations		12,615,294	7,324,813	4,681,270	1,858,100
Finance income	23	9,335	69,078	51,923	30,428
Finance costs	23	<u>(991,350)</u>	<u>(623,905)</u>	<u>(456,050)</u>	<u>(283,392)</u>
Profit before tax	24	11,633,279	6,769,986	4,277,143	1,605,136
Tax expenses	25	<u>(3,419,486)</u>	<u>(1,611,079)</u>	<u>(1,064,933)</u>	<u>(334,967)</u>
Profit for the financial years, representing total comprehensive income for the financial years		8,213,793	5,158,907	3,212,210	1,270,169

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE FINANCIAL YEARS ENDED
31 MARCH 2026, 31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

Note	Audited			
	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Other comprehensive income/ (loss)				
<u>Item that is or may be reclassified subsequently to profit or loss</u>				
Exchange difference on translation of foreign operation	-	2,589	(1,601)	(1,464)
Total comprehensive income for the financial years	<u>8,213,793</u>	<u>5,161,496</u>	<u>3,210,609</u>	<u>1,268,705</u>
Profit for the financial year attributable to:				
Owners of the Company	8,213,793	4,729,871	3,025,607	1,264,316
NCI	-	429,036	186,603	5,853
	<u>8,213,793</u>	<u>5,158,907</u>	<u>3,212,210</u>	<u>1,270,169</u>
Total comprehensive income attributable to:				
Owners of the Company	8,213,793	4,731,942	3,024,327	1,263,145
NCI	-	429,554	186,282	5,560
	<u>8,213,793</u>	<u>5,161,496</u>	<u>3,210,609</u>	<u>1,268,705</u>
Earnings per share:				
Basic (sen)	26 <u>2.37</u>	<u>1.36</u>	<u>0.87</u>	<u>0.36</u>
Diluted (sen)	26 <u>2.37</u>	<u>1.36</u>	<u>0.87</u>	<u>0.36</u>

The accompanying notes form an integral part of these consolidated financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)

PIONEER HEAT HOLDINGS BERHAD

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023**

		Attributable to owners of the Company					Total equity RM
		Share capital RM	Invested equity RM	Translation reserve RM	Retained earnings RM	Total RM	
Note							
	At 1 April 2022	100	750,100	(90)	6,229,353	6,979,463	6,975,890
	Profit for the financial year	-	-	-	1,264,316	1,264,316	1,270,169
	Foreign currency translation difference	-	-	(1,171)	-	(1,171)	(1,464)
	Total comprehensive income for the financial year	-	-	(1,171)	1,264,316	1,263,145	1,268,705
	Transactions with owners:						
12(a)	Issuance of ordinary shares	900	-	-	-	900	900
12(b)	Acquisition of subsidiaries from common control shareholders	-	(400,000)	-	-	(400,000)	(400,000)
14(b)	Subscription of shares in a subsidiary by NCI	-	-	-	-	-	25
	Total transactions with owners	900	(400,000)	-	-	(399,100)	(399,075)
	At 31 March 2023	1,000	350,100	(1,261)	7,493,669	7,843,508	7,845,520

13. ACCOUNTANTS' REPORT (CONT'D)

PIONEER HEAT HOLDINGS BERHAD									
(Incorporated in Malaysia)									
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY									
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,									
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)									
Attributable to owners of the Company									
Non-distributableDistributable									
Note	Share capital RM	Invested equity RM	Translation reserve RM	Retained earnings RM	Total RM	NCI RM	Total equity RM		
At 1 April 2023	1,000	350,100	(1,261)	7,493,669	7,843,508	2,012	7,845,520		
Profit for the financial year	-	-	-	3,025,607	3,025,607	186,603	3,212,210		
Foreign currency translation difference	-	-	(1,280)	-	(1,280)	(321)	(1,601)		
Total comprehensive income for the financial year	-	-	(1,280)	3,025,607	3,024,327	186,282	3,210,609		
Transactions with owners:									
Dividends to common control shareholders	27	-	-	(849,900)	(849,900)	-	(849,900)		
Acquisition of subsidiaries from common control shareholders	12(b)	-	-	-	(350,100)	-	(350,100)		
Subscription of shares in a subsidiary by NCI	14(b)	-	-	-	-	62,475	62,475		
Total transactions with owners	-	(350,100)	-	(849,900)	(1,200,000)	62,475	(1,137,525)		
At 31 March 2024	1,000	-	(2,541)	9,669,376	9,667,835	250,769	9,918,604		

13. ACCOUNTANTS' REPORT (CONT'D)

PIONEER HEAT HOLDINGS BERHAD

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

		Attributable to owners of the Company					Total equity RM
		Share capital RM	Non-distributable	Translation reserve RM	Retained earnings RM	Total RM	
	Note						
At 1 April 2024		1,000	-	(2,541)	9,669,376	9,667,835	9,918,604
Profit for the financial year		-	-	-	4,729,871	4,729,871	5,158,907
Foreign currency translation difference		-	-	2,071	-	2,071	2,589
Total comprehensive income for the financial year		-	-	2,071	4,729,871	4,731,942	5,161,496
Transactions with owners:							
Dividend paid	27	-	-	-	(1,910,000)	(1,910,000)	(1,910,000)
Issuance of ordinary shares	12(a)	199,000	-	-	(50,000)	149,000	149,000
Acquisition of NCI	14(a)	-	-	-	439,300	439,300	(254,564)
Disposal of a subsidiary	14(a)	-	-	-	-	-	13,541
Foreign currency translation reserve recycled		-	-	470	-	470	470
Total transactions with owners		199,000	-	470	(1,520,700)	(1,321,230)	(2,001,553)
At 31 March 2025		200,000	-	-	12,878,547	13,078,547	13,078,547

13. ACCOUNTANTS' REPORT (CONT'D)
PIONEER HEAT HOLDINGS BERHAD

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

	Attributable to owners of the Company		
	Non-distributable	Distributable	Total equity RM
	Share capital RM	Retained earnings RM	
At 1 April 2025	200,000	12,878,547	13,078,547
Profit for the financial year, representing total comprehensive income for the financial year	-	8,213,793	8,213,793
At 31 March 2026	200,000	21,092,340	21,292,340

The accompanying notes form an integral part of these consolidated financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023

Note	Audited			
	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Cash flows from operating activities				
Profit before tax	11,633,279	6,769,986	4,277,143	1,605,136
Adjustments for:				
Allowance for expected credit losses ("ECLs") on:				
- contract asset	9 60,845	-	335,027	-
- trade receivables	8 74,597	67,810	1,202,638	236,094
Bad debt written off	22 -	-	15,475	131,864
Deposit forfeited	22 -	24,100	-	-
Depreciation of property, plant and equipment	3 1,754,074	1,507,022	964,074	668,118
Depreciation of investment property	4 11,329	11,331	11,332	11,332
Fair value loss/(gain) of other investment	21/22 -	59,821	25,470	(85,291)
Finance costs	23 991,350	623,905	456,050	283,392
Finance income	23 (9,335)	(69,078)	(51,923)	(30,428)
Gain on disposal of a subsidiary	21 -	(53,932)	-	-
(Gain)/Loss on disposal of property, plant and equipment	21/22 -	(1,536)	-	49,094
Gain on early termination of lease contracts	21 (16,774)	(11,155)	-	-
Property, plant and equipment written off	22 118,415	7	-	-
Rental concession	21 -	(3,500)	-	-
Reversal of ECLs on trade receivables	8 (45,943)	(38,174)	(72,952)	-
Trade payable written off	21 -	(6,413)	(52,690)	-
Operating profit before working capital changes	14,571,837	8,880,194	7,109,644	2,869,311
Changes in working capital:				
Receivables	(8,251,903)	493,642	(3,711,378)	(1,894,697)
Payables	4,338,245	1,863,317	1,534,539	490,946
Contract balances	(5,739,054)	(3,519,661)	(932,149)	(705,130)
	(9,652,712)	(1,162,702)	(3,108,988)	(2,108,881)
Cash generated from operations	4,919,125	7,717,492	4,000,656	760,430
Interest received	3,984	2,185	714	192
Interest paid	(162,365)	(131,580)	(91,763)	(35,994)
Tax paid	(1,499,642)	(1,701,904)	(1,153,431)	(612,962)
Tax refunded	262,661	50,000	156,932	-
Net cash from operating activities	3,523,763	5,936,193	2,913,108	111,666

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

		← Audited →			
	Note	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Cash flows from investing activities					
Acquisition of property, plant and equipment	A	(1,435,561)	(3,401,305)	(809,746)	(210,227)
Acquisition of subsidiaries from common control shareholders		-	-	(350,100)	(400,000)
Interest received		1,695	64,842	51,209	30,236
Net cash outflows from disposal of a subsidiary		-	(331)	-	-
Placement of other investment		-	-	-	(500,000)
Proceed from disposal of property, plant and equipment		-	87,000	-	19,000
Redemption of other investment		-	500,000	-	-
Withdrawal of fixed deposits with tenure more than 3 months		60,000	-	-	-
Net cash used in investing activities		<u>(1,373,866)</u>	<u>(2,749,794)</u>	<u>(1,108,637)</u>	<u>(1,060,991)</u>
Cash flows from financing activities					
(Repayment to)/Advance from Directors		(1,086,201)	845,575	(62,622)	285,229
(Advance to)/Repayment from shareholders	B	(112,170)	(921,585)	(968,028)	108,972
Dividend paid		-	(649,900)	(200,000)	-
Interest paid		(828,985)	(472,177)	(364,287)	(247,398)
Issuance of shares		-	-	-	900
Drawdowns of term loans	D	3,150,000	800,000	450,000	685,515
Repayments of term loans	D	(703,950)	(582,910)	(432,240)	(198,286)
Drawdowns of banker’s acceptances	D	-	-	955,017	940,204
Repayments of banker’s acceptances	D	-	-	(1,315,405)	(579,816)
Drawdowns of invoice financing	D	6,071,052	2,620,815	-	-
Repayments of invoice financing	D	(5,638,136)	(1,098,365)	-	-
Repayments of lease liabilities	C/D	(976,230)	(965,842)	(765,281)	(430,533)
Subscription of shares in a subsidiary by NCI		-	-	62,475	25
Net cash (used in)/from financing activities		<u>(124,620)</u>	<u>(424,389)</u>	<u>(2,640,371)</u>	<u>564,812</u>

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)

	Note	Audited			
		31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Net cash increase/(decrease) in cash and cash equivalents		2,025,277	2,762,010	(835,900)	(384,513)
Effect of exchange translation differences		-	2,589	18	21
Cash and cash equivalents at beginning of the financial years		2,312,878	(451,721)	384,161	768,653
Cash and cash equivalents at end of the financial years		4,338,155	2,312,878	(451,721)	384,161
Cash and cash equivalents at end of the financial years comprises:					
Cash and bank balances		7,068,980	2,813,921	1,010,811	850,995
Fixed deposit with a licensed bank		-	60,000	60,000	60,000
Bank overdrafts		(2,730,825)	(501,043)	(1,462,532)	(466,834)
		4,338,155	2,372,878	(391,721)	444,161
Less: Fixed deposit more than 3 months	11	-	(60,000)	(60,000)	(60,000)
		4,338,155	2,312,878	(451,721)	384,161

NOTES TO THE CONSOLIDATED STATEMENTS OF CASH FLOWS**A. Acquisition of property, plant and equipment**

	Audited			
	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Total acquisition of property, plant and equipment	2,640,379	6,929,909	2,091,115	930,520
Less: Acquisition by means of lease liabilities	(1,204,818)	(1,998,604)	(1,281,369)	(720,293)
Less: Acquisition by means of term loan	-	(1,530,000)	-	-
Total cash payment	1,435,561	3,401,305	809,746	210,227

13. ACCOUNTANTS' REPORT (CONT'D)
PIONEER HEAT HOLDINGS BERHAD

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**
NOTES TO THE CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)
B. Advances to/(Repayment from) shareholders

	← Audited →			
	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Net changes during the financial year	112,170	(1,036,226)	968,028	(108,972)
Add: Dividend paid	-	1,910,000	-	-
Add: Acquisition of shares from NCI	-	254,564	-	-
Less: Issuance of shares	-	(149,000)	-	-
Less: Transfer from amount due from subsidiary disposed off	-	(57,508)	-	-
Less: Proceed from disposal of a subsidiary	-	(245)	-	-
Total cash payment/(received)	<u>112,170</u>	<u>921,585</u>	<u>968,028</u>	<u>(108,972)</u>

C. Cash outflows for leases as a lessee

		← Audited →			
		31.3.2026	31.3.2025	31.3.2024	31.3.2023
		RM	RM	RM	RM
<u>Included in net cash from operating activities</u>					
Payment relating to low value assets	24	-	4,467	15,036	119,713
Payment relating to short-term leases	24	3,111,251	1,778,415	1,234,990	326,436
		<u>3,111,251</u>	<u>1,782,882</u>	<u>1,250,026</u>	<u>446,149</u>
<u>Included in net cash (used in)/from financing activities</u>					
Payment of lease liabilities		976,230	965,842	765,281	430,533
Payment on interest of lease liabilities		211,729	158,284	91,425	52,249
		<u>1,187,959</u>	<u>1,124,126</u>	<u>856,706</u>	<u>482,782</u>
		<u>4,299,210</u>	<u>2,907,008</u>	<u>2,106,732</u>	<u>928,931</u>

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

**CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEARS ENDED 31 MARCH 2026,
31 MARCH 2025, 31 MARCH 2024 AND 31 MARCH 2023 (CONT'D)**

NOTES TO THE CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)**D. Reconciliation of liabilities arising from financing activities**

	Term loans RM	Banker's acceptances RM	Invoice financing RM	Lease liabilities RM	Total RM
Balance at 1 April 2022	3,606,194	-	-	1,114,554	4,720,748
Drawdowns	685,515	940,204	-	720,293	2,346,012
Repayments	(198,286)	(579,816)	-	(430,533)	(1,208,635)
Balance at 31 March 2023	4,093,423	360,388	-	1,404,314	5,858,125
Drawdowns	450,000	955,017	-	1,281,369	2,686,386
Repayments	(432,240)	(1,315,405)	-	(765,281)	(2,512,926)
Balance at 31 March 2024	4,111,183	-	-	1,920,402	6,031,585
Drawdowns	2,330,000	-	2,620,815	1,998,604	6,949,419
Repayments	(582,910)	-	(1,098,365)	(965,842)	(2,647,117)
Rent concession	-	-	-	(3,500)	(3,500)
Early termination	-	-	-	(149,862)	(149,862)
Balance at 31 March 2025	5,858,273	-	1,522,450	2,799,802	10,180,525
Drawdowns	3,150,000	-	6,071,052	1,204,818	10,425,870
Early termination	-	-	-	(381,223)	(381,223)
Repayments	(703,950)	-	(5,638,136)	(976,230)	(7,318,316)
Balance at 31 March 2026	8,304,323	-	1,955,366	2,647,167	12,906,856

The accompanying notes form an integral part of these consolidated financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)**PIONEER HEAT HOLDINGS BERHAD**

(Incorporated in Malaysia)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**1. General information****(a) Introduction**

This report has been prepared solely to comply with the Prospectus Guidelines - Equity issued by the Securities Commission Malaysia and for inclusion in the prospectus of Pioneer Heat Holdings Berhad (“the Company”) (“PHH”) in connection with the proposed listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad (“Bursa Securities”) (hereinafter defined as “the Proposed Listing”) and should not be relied upon for any other purposes.

(b) Background

The Company was incorporated on 13 March 2019 as a private limited liability company and domiciled in Malaysia under the name of Pioneer Heat Holdings Sdn. Bhd.. On 23 October 2025, the Company was converted to a public limited company and assumed its name as Pioneer Heat Holdings Berhad.

With effective from 22 May 2025, the registered office of the Company was changed from No. 21-3, Jalan SP 2/2, Taman Serdang Perdana, 43300 Seri Kembangan, Selangor Darul Ehsan to Office Suite No. 603 Block C, Pusat Dagangan Phileo Damansara 1, No. 9, Jalan 16/11, Off Jalan Damansara, 46350 Petaling Jaya, Selangor Darul Ehsan. With effective from 4 August 2025, the principal place of business of the Company was changed from No. 89-B-1, Lorong Haruan 5/4, Oakland Commerce Square, 70300 Seremban, Negeri Sembilan to No. 55, Jalan Pusat Komersial Irama Sendayan 1/2, Taman Irama Sendayan 1, 71900 Labu, Negeri Sembilan.

(c) Principal activities

The Company was incorporated as an investment holding company.

The details of the subsidiaries as of the date of this report are as follows:

Name of company	Effective ownership				Date and place of incorporation	Principal activities
	31.3.2026	31.3.2025	31.3.2024	31.3.2023		
	%	%	%	%		
BPMech Engineering Sdn. Bhd. (“BESB”)	100	100	100	100	5 March 2015 Malaysia	Provision of mechanical engineering services comprising piping system engineering.

13. ACCOUNTANTS' REPORT (CONT'D)**1. General information (Cont'd)****(c) Principal activities (Cont'd)**

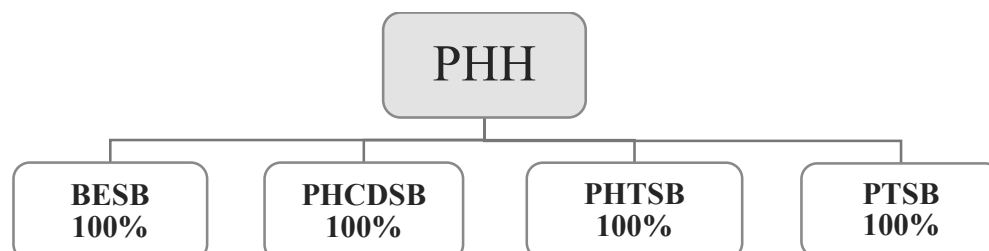
The details of the subsidiaries as of the date of this report are as follows: (Cont'd)

Name of company	Effective ownership				Date and place of incorporation	Principal activities
	31.3.2026	31.3.2025	31.3.2024	31.3.2023		
	%	%	%	%		
Pioneer Heat Treatment Sdn. Bhd. ("PHTSB")	100	100	100	100	23 August 1997 Malaysia	Provision of mechanical engineering services comprising heat treatment flange management and non-destructive test services.
Pioneer Heat Engineering Pte. Ltd. ("PHEPL")*	-	-	80	80	9 December 2019 Singapore	Dormant.
Pioneer Heat Construction and Development Sdn. Bhd. ("PHCDSB")	100	100	75	75	26 April 2022 Malaysia	Management and construction of civil engineering projects.
Proheat Thermal Sdn. Bhd. ("PTSB")	100	100	100	100	16 February 2015 Malaysia	Provision of mechanical engineering services comprising heat treatment, flange management and non-destructive test services.

* Subsidiary not audited by TGS TW PLT.

13. ACCOUNTANTS' REPORT (CONT'D)
1. General information (Cont'd)
(c) Principal activities (Cont'd)

The group structure as at date of this report is as follows:


(d) Auditors

The relevant financial years of the audited financial statements used for the purpose of the consolidated financial statements (“Relevant Financial Period/Years”) and the auditors are as follows:

Company	Relevant Financial Period/Years	Auditors
PHH	FYE 31 March 2026	TGS TW PLT
	FYE 31 March 2025	TGS TW PLT
	FYE 31 March 2024	TGS TW PLT
	FYE 31 March 2023	TGS TW PLT
BESB	FYE 31 March 2026	TGS TW PLT
	FYE 31 March 2025	TGS TW PLT
	FYE 31 March 2024	TGS TW PLT
	FYE 31 March 2023	TGS TW PLT
PHTSB	FYE 31 March 2026	TGS TW PLT
	FYE 31 March 2025	TGS TW PLT
	FYE 31 March 2024	TGS TW PLT
	FYE 31 March 2023	TGS TW PLT
PHCDSB	FYE 31 March 2026	TGS TW PLT
	FYE 31 March 2025	TGS TW PLT
	FYE 31 March 2024	TGS TW PLT
	FPE 31 March 2023	TGS TW PLT
PTSB	FYE 31 March 2026	TGS TW PLT
	FYE 31 March 2025	TGS TW PLT
	FYE 31 March 2024	TGS TW PLT
	FYE 31 March 2023	TGS TW PLT
PHEPL*	FPE 17 December 2024	N/A
	FYE 31 March 2024	N/A
	FYE 31 March 2023	N/A

FYE - Financial Year Ended
FPE - Financial Period Ended

13. ACCOUNTANTS' REPORT (CONT'D)

1. General information (Cont'd)

(d) Auditors (Cont'd)

- * The subsidiary has been consolidated based on its unaudited financial statements as the subsidiary is not required to be audited for the FPE 17 December 2024, FYEs 31 March 2024 and 31 March 2023 under local regulations. The subsidiary is not material to the Group. PHEPL does not form part of the Group and was disposed on 17 December 2024.

The audited financial statements of PHH and its subsidiaries for the Relevant Financial Period/Years reported above were not subject to any qualification or modification.

2. Basis of preparation

(a) Statement of compliance

The consolidated financial statements of the Group have been prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs") and International Financial Reporting Standards ("IFRSs").

The consolidated financial statements consist of the financial statements of Group as disclosed in Note 1(c) to this report, which were under common control throughout the reporting years by virtue of common controlling shareholders.

The consolidated financial statements have been prepared using financial information obtained from the records of the Group during the reporting years.

The consolidated financial statements of the Group have been prepared under the historical cost convention, unless otherwise indicated in the consolidated financial statements.

Adoption of new standards and amendments to MFRSs

The Group adopted the following amendments to MFRSs issued by the Malaysian Accounting Standards Board ("MASB") during the financial year:

Amendments to MFRS 121	Lack of Exchangeability
------------------------	-------------------------

The adoption of the amendments to MFRSs did not have any significant impact on the consolidated financial statements of the Group.

13. ACCOUNTANTS' REPORT (CONT'D)
2. Basis of preparation (Cont'd)
(a) Statement of compliance (Cont'd)
Standards issued but not yet effective

The Group have not applied the following new and amendments to MFRSs that have been issued by the MASB but are not yet effective for the Group:

		Effective dates for financial periods <u>beginning on or after</u>
Amendments to MFRS 9 and MFRS 7	Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Amendments to MFRS 1 Amendments to MFRS 7 Amendments to MFRS 9 Amendments to MFRS 10 Amendments to MFRS 107	Annual Improvements - Volume 11	1 January 2026
Amendments to MFRS 9 and MFRS 7	Contracts Referencing Nature - dependent Electricity	1 January 2026
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
MFRS 19	Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 19	Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 121	Translation to a Hyperinflationary Presentation Currency	1 January 2027
Amendments to MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred until further notice

The Group intends to adopt the above MFRSs when they become effective.

The initial applications of the above-mentioned MFRSs are not expected to have any significant impacts on the consolidated financial statements of the Group.

13. ACCOUNTANTS' REPORT (CONT'D)

2. Basis of preparation (Cont'd)

(b) Functional and presentation currency

These consolidated financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional currency. All financial information is presented in RM and has been rounded to the nearest RM except when otherwise stated.

(c) Significant accounting judgements, estimates and assumptions

The preparation of the Group's consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amounts of the assets or liabilities affected in the future.

Judgements

The following are the judgements made by management in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements.

Classification between investment property and property, plant and equipment

The Group has developed certain criteria based on MFRS 140 *Investment Property* in making judgement whether a property qualifies as an investment property. Investment property is a property held to earn rentals or for capital appreciation or both.

Some properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes.

If these portions could be sold separately (or leased out separately under a finance lease), the Group would account for the portions separately. If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

Judgement is made on an individual property basis to determine whether ancillary services are significant that a property does not qualify as investment property.

Determining the lease term of contracts with renewal and termination options - Group as lessee

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if they are reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if they are reasonably certain not to be exercised.

13. ACCOUNTANTS' REPORT (CONT'D)**2. Basis of preparation (Cont'd)****(c) Significant accounting judgements, estimates and assumptions (Cont'd)****Judgements (Cont'd)****Determining the lease term of contracts with renewal and termination options - Group as lessee (Cont'd)**

The Group has several lease contracts that include extension and termination options. The Group apply judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affect its ability to exercise or not to exercise the option to renew or to terminate.

The Group includes the renewal period as part of the lease term for leases of plant and machinery, motor vehicles, operations premises and workshops with non-cancellable period included as part of the lease term as these are reasonably certain to be exercised because there will be a significant negative effect on operation if a replacement asset is not readily available. Furthermore, the periods covered by termination options are included as part of the lease term only when they are reasonably certain not to be exercised.

Satisfaction of performance obligations in relation to contracts with customers

The Group is required to assess each of its contracts with customers to determine whether performance obligations are satisfied over time or at a point in time in order to determine the appropriate method for recognising revenue. This assessment was made based on the terms and conditions of the contracts, and the provisions of relevant laws and regulations.

The Group recognises revenue over time in the following circumstances:

- (i) the customer simultaneously receives and consumes the benefits provided by the Group's performance as the Group performs;
- (ii) the Group does not create an asset with an alternative use to the Group and have an enforceable right to payment for performance completed to date; and
- (iii) the Group's performance creates or enhances an asset that the customer controls as the asset is created or enhanced.

Where the above criteria are not met, revenue is recognised at a point in time. Where revenue is recognised at a point of time, the Group assesses each contract with customers to determine when the performance obligation of the Group under the contract is satisfied.

13. ACCOUNTANTS' REPORT (CONT'D)**2. Basis of preparation (Cont'd)****(c) Significant accounting judgements, estimates and assumptions (Cont'd)****Key sources of estimation uncertainty**

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period are set out below:

Useful lives of property, plant and equipment and investment property

The Group regularly reviews the estimated useful lives of property, plant and equipment and investment property based on factors such as business plan and strategies, expected level of usage and future technological developments. Future results of operations could be materially affected by changes in these estimates brought about by changes in the factors mentioned above. A reduction in the estimated useful lives of property, plant and equipment and investment property would increase the recorded depreciation and decrease the value of property, plant and equipment and investment property.

Deferred tax assets

Deferred tax assets are recognised for all unused tax losses, unabsorbed capital allowances and other deductible temporary differences to the extent that it is probable that taxable profit will be available against which the unused tax losses, unabsorbed capital allowances and other deductible temporary differences can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Provision for expected credit loss of financial assets

The Group reviews the recoverability of their receivables at each reporting date to assess whether an impairment loss should be recognised. The impairment provisions for receivables are based on assumptions about risk of default and expected loss rates. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Group's past history, existing market conditions at the end of each reporting period.

The Group uses a provision matrix to calculate expected credit loss for receivables. The provision rates are based on number of days past due.

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed. The assessment of the correlation between historical observed default rates, forecast economic conditions and expected credit loss is a significant estimate.

13. ACCOUNTANTS' REPORT (CONT'D)**2. Basis of preparation (Cont'd)****(c) Significant accounting judgements, estimates and assumptions (Cont'd)****Key sources of estimation uncertainty (Cont'd)**Discount rate used in leases

Where the interest rate implicit in the lease cannot be readily determined, the Group uses the incremental borrowing rate to measure the lease liabilities. The incremental borrowing rate is the interest rate that the Group would have to pay to borrow over a similar term, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. Therefore, the incremental borrowing rate requires estimation, particularly when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the incremental borrowing rate using observable inputs when available and is required to make certain entity-specific estimates.

Revenue from civil engineering projects and mechanical engineering projects

Project revenue and costs are recognised over the period of the projects in the profit or loss by reference to the progress towards complete satisfaction of that performance obligation.

The progress towards complete satisfaction of performance obligation is measured based on the physical proportion of contract work-to-date certified by professional consultants. Significant judgement is required in determining the progress based on the certified work-to-date corroborated by the level of completion of the project based on actual costs incurred to-date over the estimated total project costs. The total estimated project costs are based on approved budgets, which require assessments and judgments to be made on changes in, for example, work scope, changes in costs and costs to completion. In making the judgement, the Group evaluates based on past experience, the work of specialists and a continuous monitoring mechanism.

Determination of transaction prices

The Group is required to determine the transaction price in respect of each of their contract with customers. In making such judgement the Group assesses the impact of any variable consideration in the contract due to discounts or penalties, the existence of any significant financing component and any non-cash consideration in the contract.

There is no significant financing as the period between the transfer of control of good or service to a customer and the payment date is always less than one year, and no non-cash consideration noted in the contracts with customers.

13. ACCOUNTANTS' REPORT (CONT'D)

2. Basis of preparation (Cont'd)

(c) Significant accounting judgements, estimates and assumptions (Cont'd)

Key sources of estimation uncertainty (Cont'd)

Income taxes

Judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(d) Material accounting policy information

The material accounting policy information is disclosed in the respective notes to the consolidated financial statements where relevant.

13. ACCOUNTANTS' REPORT (CONT'D)

3. Property, plant and equipment

	Freehold land	Warehouse	Furniture and fittings	Office equipment	Tool and equipment	Computer and software	Plant and machinery	Motor vehicles	Renovation	Signboard	Operations premises	Workshops	Capital work-in-progress	Total
	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM
Cost														
At 1 April 2022	4,560,087	-	72,697	319,790	298,226	21,273	1,397,731	2,869,663	53,902	-	289,247	-	-	9,882,616
Additions	51,848	-	1,000	20,224	22,240	-	13,200	634,115	-	-	-	-	-	742,627
Additions - property leases	-	-	-	-	-	-	-	-	-	-	187,893	-	-	187,893
Disposals	-	-	-	-	-	-	-	(245,941)	-	-	-	-	-	(245,941)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(41,744)	-	-	(41,744)
At 31 March 2023	4,611,935	-	73,697	340,014	320,466	21,273	1,410,931	3,257,837	53,902	-	435,396	-	-	10,525,451
Additions	-	-	478	153,004	39,462	-	1,314,743	290,059	-	-	-	-	-	1,797,746
Additions - property leases	-	-	-	-	-	-	-	-	-	-	293,369	-	-	293,369
At 31 March 2024	4,611,935	-	74,175	493,018	359,928	21,273	2,725,674	3,547,896	53,902	-	728,765	-	-	12,616,566
Additions	-	1,615,852	26,461	156,024	1,376,760	3,900	1,507,535	1,057,179	51,195	-	-	-	109,900	5,904,806
Additions - property leases	-	-	-	-	-	-	-	-	-	-	545,877	479,226	-	1,025,103
Disposals	-	-	-	-	-	-	-	(260,328)	-	-	-	-	-	(260,328)
Written off	-	-	(18)	(9,599)	-	-	(850)	-	-	-	-	-	-	(10,467)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(728,765)	-	-	(728,765)
At 31 March 2025	4,611,935	1,615,852	100,618	639,443	1,736,688	25,173	4,232,359	4,344,747	105,097	-	545,877	479,226	109,900	18,546,915
Additions	-	-	120,340	142,004	253,194	4,700	1,507,156	129,717	255,025	3,940	-	-	46,415	2,462,491
Additions - property leases	-	-	-	-	-	-	-	-	-	-	177,888	-	-	177,888
Written off	-	-	(40,971)	(243,005)	(64,754)	(21,273)	(246,941)	(280)	(53,902)	-	-	-	-	(671,126)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(545,877)	(301,921)	-	(847,798)
At 31 March 2026	4,611,935	1,615,852	179,987	538,442	1,925,128	8,600	5,492,574	4,474,184	306,220	3,940	177,888	177,305	156,315	19,668,370

13. ACCOUNTANTS' REPORT (CONT'D)

3. Property, plant and equipment (Cont'd)

	Freehold land RM	Warehouse RM	Furniture and fittings RM	Office equipment RM	Tool and equipment RM	Computer and software RM	Plant and machinery RM	Motor vehicles RM	Renovation RM	Signboard RM	Operations premises RM	Workshops RM	Capital work-in-progress RM	Total RM
Accumulated depreciation														
At 1 April 2022	-	-	60,939	234,740	124,077	20,223	1,053,507	1,604,697	44,241	-	142,710	-	-	3,285,134
Charge for the financial year	-	-	4,974	24,919	32,047	700	82,944	427,735	4,830	-	89,969	-	-	668,118
Disposals	-	-	-	-	-	-	-	(177,847)	-	-	-	-	-	(177,847)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(41,744)	-	-	(41,744)
At 31 March 2023	-	-	65,913	259,659	156,124	20,923	1,136,451	1,854,585	49,071	-	190,935	-	-	3,733,661
Charge for the financial year	-	-	3,765	37,685	35,991	350	214,406	387,639	4,829	-	279,409	-	-	964,074
At 31 March 2024	-	-	69,678	297,344	192,115	21,273	1,350,857	2,242,224	53,900	-	470,344	-	-	4,697,735
Charge for the financial year	-	32,317	4,493	71,108	173,666	1,560	356,023	442,173	5,120	-	259,300	161,262	-	1,507,022
Disposals	-	-	-	-	-	-	-	(174,864)	-	-	-	-	-	(174,864)
Written off	-	-	(17)	(9,595)	-	-	(848)	-	-	-	-	-	-	(10,460)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(590,058)	-	-	(590,058)
At 31 March 2025	-	32,317	74,154	358,857	365,781	22,833	1,706,032	2,509,533	59,020	-	139,586	161,262	-	5,429,375
Charge for the financial year	-	32,317	16,161	100,657	187,130	2,030	464,534	627,275	30,622	394	169,433	123,521	-	1,754,074
Written off	-	-	(40,928)	(211,430)	(20,246)	(21,273)	(204,654)	(280)	(53,900)	-	-	-	-	(552,711)
Termination of property leases	-	-	-	-	-	-	-	-	-	-	(269,489)	(213,860)	-	(483,349)
At 31 March 2026	-	64,634	49,387	248,084	532,665	3,590	1,965,912	3,136,528	35,742	394	39,530	70,923	-	6,147,389
Carrying amount														
At 31 March 2026	4,611,935	1,551,218	130,600	290,358	1,392,463	5,010	3,526,662	1,337,656	270,478	3,546	138,358	106,382	156,315	13,520,981
At 31 March 2025	4,611,935	1,583,535	26,464	280,586	1,370,907	2,340	2,526,327	1,835,214	46,077	-	406,291	317,964	109,900	13,117,540
At 31 March 2024	4,611,935	-	4,497	195,674	167,813	-	1,374,817	1,305,672	2	-	258,421	-	-	7,918,831
At 31 March 2023	4,611,935	-	7,784	80,355	164,342	350	274,480	1,403,252	4,831	-	244,461	-	-	6,791,790

13. ACCOUNTANTS' REPORT (CONT'D)
3. Property, plant and equipment (Cont'd)

- (a) Including in net carrying amount of property, plant and equipment are right-of-use assets as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Plant and machinery	1,513,325	685,606	771,303	-
Motor vehicles	1,174,254	1,650,397	1,253,394	1,332,312
Operations premises	138,358	406,291	258,421	244,461
Workshops	106,382	317,964	-	-
	<u>2,932,319</u>	<u>3,060,258</u>	<u>2,283,118</u>	<u>1,576,773</u>

- (b) Depreciation charge of right-of-use assets are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Plant and machinery	190,691	85,697	85,697	-
Motor vehicles	452,497	392,012	368,977	409,074
Operations premises	169,433	259,300	279,409	89,969
Workshops	123,521	161,262	-	-
	<u>936,142</u>	<u>898,271</u>	<u>734,083</u>	<u>499,043</u>

- (c) Additions to the right-of-use assets are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Plant and machinery	1,018,410	-	857,000	-
Motor vehicles	129,717	1,057,179	290,059	634,115
Operations premises	177,888	545,877	293,369	187,893
Workshops	-	479,226	-	-
	<u>1,326,015</u>	<u>2,082,282</u>	<u>1,440,428</u>	<u>822,008</u>

- (d) Assets pledged as securities to financial institutions

The freehold land and warehouse of the Group with carrying amount of RM4,611,935 (31.3.2025: RM4,611,935, 31.3.2024: RM4,611,935 and 31.3.2023: RM4,611,935) and RM1,551,218 (31.3.2025: RM1,583,535, 31.3.2024: Nil and 31.3.2023: Nil) are pledged as securities for loans and borrowings as disclosed in Note 15 to the financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)

3. Property, plant and equipment (Cont'd)

(e) Material accounting policy information

Property, plant and equipment and right-of-use assets are stated at cost less accumulated depreciation and accumulated impairment losses, except freehold land is stated at cost not depreciated. Capital work-in-progress consists of building under construction for intended use as office.

Depreciation of property, plant and equipment is recognised on straight-line method in order to write off the cost of each asset to its residual value over its estimated useful lives. Freehold land with indefinite useful lives is not depreciated. Property, plant and equipment under construction is not depreciated until the asset is ready for its intended use.

Warehouse of the Group was not separable from the freehold land. Accordingly, depreciation was charged on the consolidated cost of the freehold land and building.

Right-of-use assets are depreciated on a straight-line basis from the commencement date to the earlier of the end of the useful life of the right-of-use assets or the end of the lease term.

The estimated useful lives for the current and comparative periods are as follows:

Property, plant and equipment

Warehouse	2%
Furniture and fittings	10%
Office equipment	10% - 20%
Tool and equipment	10%
Computer and software	40%
Plant and machinery	10% - 20%
Motor vehicles	10% - 20%
Renovation	10%
Signboard	10%

Right-of-use assets

Plant and machinery	10% - 20%
Motor vehicles	10% - 20%
Operations premises	Over the lease term
Workshops	Over the lease term

13. ACCOUNTANTS' REPORT (CONT'D)
4. Investment property

	Freehold land and building RM
Cost	
At 1 April 2022/31 March 2023/31 March 2024/ 31 March 2025/31 March 2026	<u>566,527</u>
Accumulated depreciation	
At 1 April 2022	104,707
Charge for the financial year	<u>11,332</u>
At 31 March 2023	116,039
Charge for the financial year	<u>11,332</u>
At 31 March 2024	127,371
Charge for the financial year	<u>11,331</u>
At 31 March 2025	138,702
Charge for the financial year	<u>11,329</u>
At 31 March 2026	<u>150,031</u>
Carrying amount	
At 31 March 2026	<u>416,496</u>
At 31 March 2025	<u>427,825</u>
At 31 March 2024	<u>439,156</u>
At 31 March 2023	<u>450,488</u>

(a) Investment property under leases

Investment property comprises of shophot that are leased to third party. The lease contains a cancellable period of 3 years (31.3.2025: 3 years, 31.3.2024: 2 years and 31.3.2023: 2 years). No contingent rents are charged.

(b) Income and expenses recognised in profit or loss

The following are recognised in profit or loss in respect of investment property:

	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Rental income	12,000	4,000	6,800	7,650
Direct operating expenses	<u>(1,610)</u>	<u>(1,837)</u>	<u>(4,574)</u>	<u>(2,781)</u>

(c) Assets pledged as securities to financial institutions

The investment property is pledged as securities for loans and borrowings as disclosed in Note 15 to the financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)**4. Investment property (Cont'd)****(d) Fair value measurement of investment property**

The fair value of the investment property of the Group was estimated by the Directors based on recent transacted prices in the market of properties with similar condition and location.

Fair value of the investment property was as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Freehold land and building	<u>752,895</u>	<u>429,857</u>	<u>439,156</u>	<u>587,041</u>

(e) The freehold land of the Group was not separable from its freehold building. Hence, depreciation was charged at the aggregate amount of freehold land and building.**(f) Material accounting policy information**

Investment properties are properties held either to earn rental income or for capital appreciation, or for both. Investment properties are measured at cost, including transaction costs, less any accumulated depreciation and impairment losses.

Investment properties are depreciated on a straight-line basis to write down the cost of each asset to their residual values over their estimated useful life. The principal annual depreciation rate is:

Freehold land and building	2%
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5. Other investment

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
At FVTPL				
Unquoted preference share	<u>-</u>	<u>-</u>	<u>559,821</u>	<u>585,291</u>

13. ACCOUNTANTS' REPORT (CONT'D)
5. Other investment (Cont'd)

The fair value of investment are summarised as below:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Unquoted preference share	<u>-</u>	<u>-</u>	<u>559,821</u>	<u>585,291</u>

On 31 March 2025, the Group had made early redemption of 100% of its redeemable convertible preference shares for a cash consideration of RM500,000.

Other investment stated at fair value is analysed into level 3 fair value measurements.

The level 3 fair value of other investment has been determined using discounted cash flow income approach based on pre-tax cash flow projections. Investment in preference shares fall within level 3 fair value measurements.

Other investment is valued by independent professionally qualified valuers, having appropriate recognised professional qualifications and recent experience. The management team reviewed and discussed the valuations for financial reporting purposes.

6. Other receivables

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Non-current asset				
Non-trade receivable	<u>57,265</u>	<u>53,609</u>	<u>-</u>	<u>-</u>
Current asset				
Non-trade receivables	25,200	5,000	616,333	9,967
Deposits	210,447	239,938	129,420	145,232
Prepayments	118,716	78,094	55,922	9,699
Prepayment for initial public offering expenses	<u>1,628,830</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>1,983,193</u>	<u>323,032</u>	<u>801,675</u>	<u>164,898</u>
	<u>2,040,458</u>	<u>376,641</u>	<u>801,675</u>	<u>164,898</u>

Non-current receivable comprises refundable premium paid for Takaful Insurance Policy taken up in respect of the life of the Group's Director, as a security for the banking facilities granted to the Group, as disclosed in Note 15 to the financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)
6. Other receivables (Cont'd)

Included in the deposits is an amount of RM81,188 (31.3.2025: RM147,668, 31.3.2024: RM24,450 and 31.3.2023: RM15,800) relating to deposits paid for utilities (water and electricity) and rental deposits for the operations premises, workshop and machinery in connection with projects that commenced during the financial years.

Included in the deposits is an amount of RM56,700 (31.3.2025: RMNil, 31.3.2024: RMNil and 31.3.2023: RMNil) relating to the security bond for a project.

7. Deferred tax assets/(liabilities)

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
At beginning of the financial years	54,664	239,242	(71,822)	(94,082)
Recognised in profit or loss	(170,902)	(184,578)	311,064	22,260
At end of the financial years	<u>(116,238)</u>	<u>54,664</u>	<u>239,242</u>	<u>(71,822)</u>

The net deferred tax assets/(liabilities) shown on the consolidated statements of financial position after appropriate offsetting are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Deferred tax liabilities	(217,698)	(102,000)	(57,000)	(71,822)
Deferred tax assets	101,460	156,664	296,242	-
	<u>(116,238)</u>	<u>54,664</u>	<u>239,242</u>	<u>(71,822)</u>

The balance of deferred tax assets/(liabilities) are made up of tax effect on temporary differences arising from:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Property, plant and equipment	(521,078)	(323,036)	(284,919)	(185,416)
Provision	47,819	101,785	465,161	113,594
Unabsorbed business losses	127,810	129,858	-	-
Unutilised capital allowances	229,211	146,057	59,000	-
	<u>(116,238)</u>	<u>54,664</u>	<u>239,242</u>	<u>(71,822)</u>

13. ACCOUNTANTS' REPORT (CONT'D)**7. Deferred tax assets/(liabilities) (Cont'd)**

In accordance with the provisions of the Finance Act 2021, the unabsorbed business losses are available for utilisation in the next ten consecutive years from when it was incurred, for which, any excess at the end of the tenth consecutive year, shall be disregarded. The other temporary differences do not expire under current tax legislation.

The unutilised capital allowances do not expire under current tax legislation of Malaysia. Unabsorbed business losses will expire at the following year of assessment ("YA"):

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
YA 2035	<u>532,540</u>	<u>541,077</u>	<u>-</u>	<u>-</u>

Material accounting policy information

The amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rate enacted or substantively at the reporting date. Determined tax assets and liabilities are not discounted.

8. Trade receivables

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Trade receivables	12,129,412	6,374,936	8,135,266	6,524,303
Retention sum	<u>2,410,975</u>	<u>1,888,338</u>	<u>1,448,163</u>	<u>-</u>
	14,540,387	8,263,274	9,583,429	6,524,303
Less: Allowance for ECLs	<u>(137,139)</u>	<u>(423,114)</u>	<u>(1,602,828)</u>	<u>(473,142)</u>
	<u>14,403,248</u>	<u>7,840,160</u>	<u>7,980,601</u>	<u>6,051,161</u>

Trade receivables are non-interest bearing and the normal credit term ranged from 30 to 60 days (31.3.2025: 30 to 60 days, 31.3.2024: 30 to 60 days and 31.3.2023: 30 to 60 days). They are recognised at their original invoice amounts which represent their fair values on initial recognition.

13. ACCOUNTANTS' REPORT (CONT'D)
8. Trade receivables (Cont'd)

The movements in the allowance for ECLs are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
At beginning of the financial years	423,114	1,602,828	473,142	237,048
Allowance for ECLs	74,597	67,810	1,202,638	236,094
Written off	(314,629)	(1,209,350)	-	-
Reversal of ECLs	(45,943)	(38,174)	(72,952)	-
At end of the financial years	<u>137,139</u>	<u>423,114</u>	<u>1,602,828</u>	<u>473,142</u>

The following tables provide information about the exposure to credit risk and allowance for ECLs for trade receivables:

	Gross amount	ECLs	Net amount
	RM	RM	RM
31.3.2026			
Not past due	12,570,944	(72,979)	12,497,965
Past due:			
Less than 30 days	1,167,696	(10,304)	1,157,392
30 to 60 days	66,875	(989)	65,886
60 to 90 days	353,581	(7,251)	346,330
More than 90 days	381,291	(45,616)	335,675
	<u>14,540,387</u>	<u>(137,139)</u>	<u>14,403,248</u>
31.3.2025			
Not past due	5,195,599	(20,895)	5,174,704
Past due:			
Less than 30 days	627,622	(5,586)	622,036
30 to 60 days	578,580	(8,578)	570,002
60 to 90 days	79,004	(1,595)	77,409
More than 90 days	1,782,469	(386,460)	1,396,009
	<u>8,263,274</u>	<u>(423,114)</u>	<u>7,840,160</u>

13. ACCOUNTANTS' REPORT (CONT'D)**8. Trade receivables (Cont'd)**

The following tables provide information about the exposure to credit risk and allowance for ECLs for trade receivables: (Cont'd)

	Gross amount RM	ECLs RM	Net amount RM
31.3.2024			
Not past due	7,251,950	(899,418)	6,352,532
Past due:			
Less than 30 days	356,582	-	356,582
30 to 60 days	158,164	-	158,164
More than 90 days	1,816,733	(703,410)	1,113,323
	<u>9,583,429</u>	<u>(1,602,828)</u>	<u>7,980,601</u>
31.3.2023			
Not past due	1,841,846	(2,243)	1,839,603
Past due:			
Less than 30 days	680,254	-	680,254
30 to 60 days	865,381	(1,300)	864,081
More than 90 days	3,136,822	(469,599)	2,667,223
	<u>6,524,303</u>	<u>(473,142)</u>	<u>6,051,161</u>

9. Contract assets/(liabilities)

	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
<u>Contract assets</u>				
Construction and project contracts	<u>10,500,122</u>	<u>5,369,037</u>	<u>1,302,252</u>	<u>705,130</u>
<u>Contract liabilities</u>				
Construction contracts	<u>-</u>	<u>(547,124)</u>	<u>-</u>	<u>-</u>

The contract assets primarily relate to the Group's rights to consideration for work performed but not yet billed at the reporting date. These balances will be invoiced progressively upon the acceptance of completed works by customers.

Contract liabilities represent advance billings in excess of revenue recognised arising mainly from timing differences between milestone billings and revenue recognition. The milestone billings are structured and/or negotiated with customers to reflect the physical progress or completion of the underlying contracts.

13. ACCOUNTANTS' REPORT (CONT'D)**9. Contract assets/(liabilities) (Cont'd)**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Construction and project contracts				
At beginning of the financial years	4,821,913	1,302,252	705,130	-
Revenue recognised during the financial years	39,778,434	24,265,863	12,402,121	705,130
	<u>44,600,347</u>	<u>25,568,115</u>	<u>13,107,251</u>	<u>705,130</u>
Less: Progress billings issued during the financial years	(34,039,380)	(20,746,202)	(11,469,972)	-
Less: Allowance for ECLs	<u>(60,845)</u>	<u>-</u>	<u>(335,027)</u>	<u>-</u>
At end of the financial years	<u>10,500,122</u>	<u>4,821,913</u>	<u>1,302,252</u>	<u>705,130</u>
Presented as:				
Contract assets	10,500,122	5,369,037	1,302,252	705,130
Contract liabilities	-	(547,124)	-	-
	<u>10,500,122</u>	<u>4,821,913</u>	<u>1,302,252</u>	<u>705,130</u>

The following table provide information about the exposure to credit risk and allowance for ECLs for contract assets as the Group is expected to have similar risk nature with trade receivables:

	Gross amount	ECLs	Net amount
	RM	RM	RM
31.3.2026			
Not past due	<u>10,560,967</u>	<u>(60,845)</u>	<u>10,500,122</u>
31.3.2025			
Not past due	<u>5,369,037</u>	<u>-</u>	<u>5,369,037</u>
31.3.2024			
Not past due	<u>1,637,279</u>	<u>(335,027)</u>	<u>1,302,252</u>
31.3.2023			
Not past due	<u>705,130</u>	<u>-</u>	<u>705,130</u>

13. ACCOUNTANTS' REPORT (CONT'D)
9. Contract assets/(liabilities) (Cont'd)

The movement of allowance for ECLs are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
At beginning of the financial years	-	335,027	-	-
Addition	60,845	-	335,027	-
Written off	-	(335,027)	-	-
At end of the financial years	<u>60,845</u>	<u>-</u>	<u>335,027</u>	<u>-</u>

Unsatisfied performance obligations

The following table shows the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied (or partially unsatisfied) as at the end of the reporting period:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Construction contracts	2,096,675	16,837,003	14,661,309	-
Project contract	77,741	10,114,638	-	-
	<u>2,174,416</u>	<u>26,951,641</u>	<u>14,661,309</u>	<u>-</u>

Revenue expected to be recognised in the future relating to performance obligations that are unsatisfied (or partially satisfied) at the reporting date:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Year 2025	-	-	8,970,241	-
Year 2026	-	26,951,641	5,691,068	-
Year 2027	<u>2,174,416</u>	<u>-</u>	<u>-</u>	<u>-</u>

10. Amount due from/(to) shareholders

Amount due from/(to) shareholders are non-trade in nature, unsecured, non-interest bearing and repayable on demand.

13. ACCOUNTANTS' REPORT (CONT'D)
11. Fixed deposit with a licensed bank

The effective interest rate for fixed deposit with a licensed bank is Nil% (31.3.2025: 2.60%, 31.3.2024: 2.75% and 31.3.2023: 1.85%) per annum. The maturity period of the fixed deposit with a licensed bank is Nil (31.3.2025: 12, 31.3.2024: 12 and 31.3.2023: 12) months.

12. Share capital
(a) Share capital

	Number of ordinary shares			
	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	Units	Units	Units	Units
Issued and fully paid				
At beginning of the financial years	200,000	1,000	1,000	100
Issuance of bonus shares	260,000,000	-	-	-
Issuance of ordinary shares	-	199,000	-	900
At end of the financial years	<u>260,200,000</u>	<u>200,000</u>	<u>1,000</u>	<u>1,000</u>
	Amount			
	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Issued and fully paid				
At beginning of the financial years	200,000	1,000	1,000	100
Issuance of ordinary shares	-	199,000	-	900
At end of the financial years	<u>200,000</u>	<u>200,000</u>	<u>1,000</u>	<u>1,000</u>

Issuance of ordinary shares

During the financial year ended 31 March 2025, the Company issued 199,000 units of new ordinary shares of RM1 each for a total consideration of RM199,000 through the capitalisation of retained earnings and amount due to shareholders.

During the financial year ended 31 March 2023, the Company issued 900 new ordinary shares of RM1 each for a total consideration of RM900 for working capital purposes.

13. ACCOUNTANTS' REPORT (CONT'D)**12. Share capital (Cont'd)****(a) Share capital (Cont'd)****Issuance of bonus shares**

On 26 August 2025, the Company undertake a bonus issue of 260 million bonus shares on the basis of 1,300 ordinary shares for every 1 existing ordinary share of the Company held on the entitlement date.

Under the no-par-value share capital regime pursuant to the Companies Act 2016, the issuance of bonus shares did not result in any increase in the issued and fully paid share capital of the Company in terms of Ringgit Malaysia ("RM"). Accordingly, the bonus issue increased the number of ordinary shares issued without any corresponding change to the share capital amount.

The new ordinary shares issued during the financial year rank pari passu in all respect with the existing ordinary shares of the Company.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regards to the Company's residual assets.

(b) Invested equity

	Number of ordinary shares			
	BESB Units	PHTSB Units	PTSB Units	Total Units
Issued and fully paid				
At 1 April 2022	100,000	300,000	350,100	750,100
Acquisition of subsidiary from common control shareholders	(100,000)	(300,000)	-	(400,000)
At 31 March 2023	-	-	350,100	350,100
Acquisition of subsidiary from common control shareholders	-	-	(350,100)	(350,100)
At 31 March 2024	-	-	-	-

13. ACCOUNTANTS' REPORT (CONT'D)**12. Share capital (Cont'd)****(b) Invested equity (Cont'd)**

	Amount			
	BESB	PHTSB	PTSB	Total
	RM	RM	RM	RM
Issued and fully paid				
At 1 April 2022	100,000	300,000	350,100	750,100
Acquisition of subsidiary from common control shareholders	(100,000)	(300,000)	-	(400,000)
At 31 March 2023	-	-	350,100	350,100
Acquisition of subsidiary from common control shareholders	-	-	(350,100)	(350,100)
At 31 March 2024	-	-	-	-

Invested equity comprised the aggregate number of issued and paid-up ordinary shares of BESB, PHTSB and PTSB.

The invested equity was reversed upon acquisition of these subsidiaries from common control shareholders.

13. Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations whose functional currency is different from that of the Group's presentation currency.

13. ACCOUNTANTS' REPORT (CONT'D)**14. NCI****(a) Movement in group structure****31.3.2026****(i) Increase of investment in PHCDSB**

On 18 July 2025, the Company subscribed for an additional 500,000 newly issued shares in PHCDSB at RM1 each for a total consideration of RM500,000 by way of utilisation of Dividend Entitlement, which did not result in changes in equity interest.

31.3.2025**(i) Acquisition of non-controlling interests in PHCDSB**

On 31 March 2025, the Company entered into a Share Sale Agreement to acquire the remaining 25% equity interest in PHCDSB for a total purchase consideration of RM254,564, increasing its ownership from 75% to 100%. The carrying amount of PHCDSB's net assets in the Group's financial statements on the date of acquisition was RM2,753,835. Accordingly, the Group recognised a decrease in non-controlling interests of RM693,864 and an increase in retained earnings of RM439,300.

The effect of changes in the equity interest in PHCDSB that is attributable to owners of the Company:

	RM
Carrying amount of non-controlling interest acquired	693,864
Consideration paid to non-controlling interest	(254,564)
Increase in parent's equity	<u>439,300</u>

(ii) Disposal of PHEPL

On 17 December 2024, the Company completed the disposal of its 80% equity interest in PHEPL for a total consideration of RM245. PHEPL is a dormant company incorporated in Singapore and does not form part of the Listing Group. The disposal resulted in a gain of RM53,932, as recognised in the consolidated financial statements.

13. ACCOUNTANTS' REPORT (CONT'D)**14. NCI (Cont'd)****(a) Movement in group structure (Cont'd)****31.3.2025 (Cont'd)****(ii) Disposal of PHEPL (Cont'd)**

The effects of the disposal of PHEPL on the statements of financial position of the Group at the date of disposal are as follows:

	RM
Cash and bank balances	331
Amount due to Directors	(10,521)
Other payable	(57,508)
Net liabilities	<u>(67,698)</u>
Add: Non-controlling interests	13,541
Add: Recycle of foreign currency translation difference	470
Total net liabilities disposed	<u>(53,687)</u>
Gain on disposal	<u>53,932</u>
Proceeds from disposal	245
Set off against amount due from shareholders	(245)
Less: Cash and cash balances disposed	<u>(331)</u>
Net cash outflows from disposal	<u><u>(331)</u></u>

31.3.2024**(i) Acquisition of PTSB**

On 31 March 2024, the Company acquired 350,100 ordinary shares, representing 100% equity interest in PTSB from common control shareholders, for a total consideration of RM350,100.

(ii) Subscription of additional shares in PHCDSB

On 22 August 2023, the Company subscribed for an additional 187,425 new ordinary shares in PHCDSB, for a total consideration of RM187,425, which did not result in changes in equity interest.

31.3.2023**(i) Acquisition of PHTSB**

On 17 March 2023, the Company acquired 300,000 ordinary shares, representing 100% equity interest in PHTSB, for a total consideration of RM300,000 from common control shareholders.

13. ACCOUNTANTS' REPORT (CONT'D)
14. NCI (Cont'd)
(a) Movement in group structure (Cont'd)
31.3.2023 (Cont'd)
(ii) Incorporation of PHCDSB

On 26 April 2022, the Company incorporated PHCDSB with an initial issued share capital of 100 ordinary share. The Company subscribed to 75 ordinary shares, representing 75% of equity interest in PHCDSB for a total consideration of RM75.

(iii) Increase in stake in BESB

On 7 July 2022, the Company acquired an additional 100,000 ordinary shares in BESB from common control shareholders for a total consideration of RM100,000, increasing its ownership from 90% to 100%.

(b) Material party-owned subsidiary

Set below are the Group's subsidiaries that have material non-controlling interests:

	PHEPL RM	PHCDSB RM
31.3.2024		
Percentage of ownership interest held by NCI	20%	25%
Profit allocated to NCI	(941)	187,544
Foreign currency translation	(321)	-
Subscription of shares in a subsidiary	-	62,475
	<u>(7,045)</u>	<u>257,814</u>
Carrying amount of NCI	<u>(7,045)</u>	<u>257,814</u>
31.3.2023		
Percentage of ownership interest held by NCI	20%	25%
Profit allocated to NCI	(1,917)	7,770
Foreign currency translation	(293)	-
Subscription of shares in a subsidiary	-	25
	<u>(5,783)</u>	<u>7,795</u>
Carrying amount of NCI	<u>(5,783)</u>	<u>7,795</u>

13. ACCOUNTANTS' REPORT (CONT'D)**14. NCI (Cont'd)****(b) Material party-owned subsidiary (Cont'd)**

Summarised financial information for Company that has NCI that are material to the Group is set out below. The summarised financial information below represents amounts before inter-company eliminations.

(i) Summarised statement of financial position

	PHEPL RM	PHCDSB RM
31.3.2024		
Non-current asset	-	198,874
Current assets	350	3,018,833
Non-current liabilities	-	(75,089)
Current liabilities	(35,573)	(2,111,362)
Net (liabilities)/assets	<u>(35,223)</u>	<u>1,031,256</u>
31.3.2023		
Current assets	332	80,496
Current liabilities	(29,243)	(49,317)
Net (liabilities)/assets	<u>(28,911)</u>	<u>31,179</u>

(ii) Summarised statement of profit or loss and other comprehensive income

	PHEPL RM	PHCDSB RM
31.3.2024		
Revenue	-	6,423,579
Total comprehensive (loss)/income for the the financial year	<u>(6,308)</u>	<u>750,177</u>
31.3.2023		
Revenue	-	219,472
Total comprehensive (loss)/income for the the financial year	<u>(11,049)</u>	<u>31,079</u>

13. ACCOUNTANTS' REPORT (CONT'D)
14. NCI (Cont'd)
(b) Material party-owned subsidiary (Cont'd)
(iii) Summarised statement of cash flow

	PHEPL RM	PHCDSB RM
31.3.2024		
Net cash (used in)/from operating activities	(8,825)	404,000
Net cash used in investing activities	-	(101,888)
Net cash from financing activities	10,444	212,225
Net increase in cash and cash equivalents	<u>1,619</u>	<u>514,337</u>
31.3.2023		
Net cash (used in)/from operating activities	(4,722)	19,152
Net cash from financing activities	6,207	35,302
Net increase in cash and cash equivalents	<u>1,485</u>	<u>54,454</u>

(c) Material accounting policy information

The Group elects to measure the non-controlling interests in the acquirees at the proportionate share of the acquiree's identifiable net assets at the acquisition date.

15. Loans and borrowings

	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Secured				
Term loans	8,304,323	5,858,273	4,111,183	4,093,423
Bank overdrafts	2,730,825	501,043	1,462,532	466,834
Banker's acceptances	-	-	-	360,388
Invoice financing	1,955,366	1,522,450	-	-
	<u>12,990,514</u>	<u>7,881,766</u>	<u>5,573,715</u>	<u>4,920,645</u>

13. ACCOUNTANTS' REPORT (CONT'D)**15. Loans and borrowings (Cont'd)**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Non-current				
Term loans	7,333,181	5,444,133	3,596,713	3,691,463
Current				
Term loans	971,142	414,140	514,470	401,960
Bank overdrafts	2,730,825	501,043	1,462,532	466,834
Banker's acceptances	-	-	-	360,388
Invoice financing	1,955,366	1,522,450	-	-
	5,657,333	2,437,633	1,977,002	1,229,182
	12,990,514	7,881,766	5,573,715	4,920,645

The loans and borrowings of the Group are secured by the following:

- (i) All monies Facilities Agreement; and
- (ii) Joint and several guarantee by Directors of the Group, a former director of PHTSB and a related party of the PHH; and
- (iii) Corporate guarantee by Syarikat Jaminan Pembiayaan Perniagaan Berhad; and
- (iv) Legal charge over the freehold land and building and warehouse of the Group as disclosed in Notes 3 and 4 to the financial statements respectively; and
- (v) Six months installments from disbursement amount to be kept until the full settlement of the financing; and
- (vi) Absolute assignment of Takaful Insurance Policy taken up in respect of the Director of the Group as disclosed in Note 6 to the financial statements.

The repayment terms of the loans and borrowings of the Group as follows:

- (i) Term loans are repayable by ranging from 36 to 300 (31.3.2025: 24 to 300, 31.3.2024: 24 to 204 and 31.3.2023: 24 to 204) monthly instalments.
- (ii) Banker's acceptances are repayable within Nil (31.3.2025: Nil, 31.3.2024: Nil and 31.3.2023: 120) days.
- (iii) Invoice financing are repayable within 31 to 119 (31.3.2025: 15 to 118, 31.3.2024: Nil and 31.3.2023: Nil) days.
- (iv) Bank overdrafts facilities are repayable on demand.

The average effective interest rates per annum of the loans and borrowings are as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	%	%	%	%
Term loans	3.85 - 12.01	4.10 - 12.26	4.14 - 12.26	3.35 - 7.30
Bank overdrafts	6.64 - 8.45	6.89 - 8.45	6.64 - 8.45	1.15 - 10.30
Banker's acceptances	-	-	6.65 - 6.70	5.73 - 6.77
Invoice financing	3.38 - 6.83	4.88 - 6.86	-	-

13. ACCOUNTANTS' REPORT (CONT'D)**16. Lease liabilities**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Non-current	1,764,414	1,835,073	1,230,512	833,548
Current	882,753	964,729	689,890	570,766
	<u>2,647,167</u>	<u>2,799,802</u>	<u>1,920,402</u>	<u>1,404,314</u>

The maturity analysis of lease liabilities at the end of the reporting period:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Within 1 year	1,036,548	1,128,676	771,788	627,308
Between 1 - 5 years	1,906,364	2,019,480	1,333,728	867,604
More than 5 years	-	2,062	25,808	52,294
	<u>2,942,912</u>	<u>3,150,218</u>	<u>2,131,324</u>	<u>1,547,206</u>
Less: Future finance charges	<u>(295,745)</u>	<u>(350,416)</u>	<u>(210,922)</u>	<u>(142,892)</u>
Present value of lease liabilities	<u>2,647,167</u>	<u>2,799,802</u>	<u>1,920,402</u>	<u>1,404,314</u>

The Group leases plant and machinery, motor vehicles, operations premises and workshops. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Material accounting policy information**(i) Lease and non-lease component**

At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease and non-lease component on the basis of their relative stand-alone prices. However, for leases of plant and machinery, motor vehicles, operations premises and workshops in which the Group is a lessee, it has elected not to separate non-lease components and will instead account for the lease and non-lease components as a single lease component.

(ii) Recognition exemption

All leases are accounted for by recognising right-of-use assets and lease liabilities except for:

- (a) Lease of low value assets; and
- (b) Lease with a duration of twelve (12) months or less.

13. ACCOUNTANTS' REPORT (CONT'D)**17. Trade payables**

The normal trade credit terms granted to the Group is cash term to 90 days (31.3.2025: cash terms to 60 days, 31.3.2024: 30 days and 31.3.2023: 30 days) depending on the term of the contracts.

18. Other payables

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Non-trade payables	903,633	378,270	162,964	182,715
Accruals	3,703,115	1,017,186	1,133,715	510,189
Deposits	2,500	2,500	-	1,700
Dividend payable	-	-	649,900	-
Sales and service tax/ Goods and service tax payable	132,931	-	-	-
	<u>4,742,179</u>	<u>1,397,956</u>	<u>1,946,579</u>	<u>694,604</u>

Included in accruals is an amount of RM3,432,432 (31.3.2025: RM860,279, 31.3.2024: RM1,022,451 and 31.3.2023: RM455,442) relating to employee-related expenses, comprising salaries, defined contribution plans, social contribution plans and other employee-related expenses.

19. Amount due to Directors

Amount due to Directors is non-trade in nature, unsecured, non-interest bearing and repayable on demand except an amount of RMNil (31.3.2025: RMNil, 31.3.2024: RMNil and 31.3.2023: RM40,000) which bears interest on Nil (31.3.2025: Nil, 31.3.2024: Nil and 31.3.2023: 7.92%) per annum.

13. ACCOUNTANTS' REPORT (CONT'D)**20. Revenue**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Revenue from contracts with customers:				
Mechanical engineering services				
- Piping system engineering	66,110,255	23,398,299	14,516,630	12,542,520
- Specialised services	7,634,056	4,187,326	4,373,135	2,787,050
Civil engineering projects	23,916,537	15,380,501	12,578,582	705,130
	<u>97,660,848</u>	<u>42,966,126</u>	<u>31,468,347</u>	<u>16,034,700</u>
Timing of revenue recognition:				
Point in time	57,882,414	18,700,263	19,066,226	15,329,570
Over time	39,778,434	24,265,863	12,402,121	705,130
	<u>97,660,848</u>	<u>42,966,126</u>	<u>31,468,347</u>	<u>16,034,700</u>
Geographical market:				
Malaysia	97,660,848	41,842,083	31,468,347	16,034,700
Indonesia	-	1,124,043	-	-
	<u>97,660,848</u>	<u>42,966,126</u>	<u>31,468,347</u>	<u>16,034,700</u>

Civil engineering projects and mechanical engineering service projects

Revenue from long-term projects is recognised over time, when control over the asset is transferred to the customer. The assets have no alternative use to the Company due to contractual restrictions, and the Company has an enforceable right to payment for performance completed to date. Revenue from long-term projects is measured at the transaction price agreed under the contracts.

Revenue is recognised over the period of the projects using the input method, which measures progress towards the complete satisfaction of performance obligations based on the costs incurred for work performed to date.

The Company becomes entitled to invoice customers for construction or project assets upon achieving a series of performance-related milestones (i.e. progress billing). The Company recognises a contract asset for any work performed prior to invoicing. When an invoice is issued, any previously recognised contract asset is reclassified to trade receivables. If the progress billings exceed the revenue recognised to date, the Company records a contract liability for the difference. There is no significant financing component in contracts with customers, as the period between revenue recognition and progress billing is always less than one year.

Revenue from short-term projects is recognised at a point in time, when services have been transferred to and accepted by customers, net of any discounts. There is no significant financing component in the selling price, as sales are made on normal credit terms not exceeding 12 months.

13. ACCOUNTANTS' REPORT (CONT'D)
21. Other income

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Fair value gain of other investment	-	-	-	85,291
Gain on disposal of a subsidiary	-	53,932	-	-
Gain on disposal of property, plant and equipment	-	1,536	-	-
Gain on early termination of lease contracts	16,774	11,155	-	-
Realised gain on foreign exchange	-	216	-	388
Rental concession	-	3,500	-	-
Rental income:				
- investment property	12,000	4,000	6,800	7,650
- motor vehicle	80,620	34,500	700	-
Trade payable written off	-	6,413	52,690	-

22. Other expenses

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Bad debt written off	-	-	15,475	131,864
Deposit forfeited	-	24,100	-	-
Fair value loss on other investment	-	59,821	25,470	-
Loss on disposal of property, plant and equipment	-	-	-	49,094
Property, plant and equipment written off	118,415	7	-	-
Realised loss on foreign exchange	1,367	3,461	1,668	1,937

13. ACCOUNTANTS' REPORT (CONT'D)
23. Finance income/Finance costs

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Finance income				
Interest income from:				
- Bank interest received	3,984	2,185	714	192
- Dividend income from other investment	-	55,000	50,000	30,000
- Interest income from fixed deposit	1,695	1,842	1,209	236
- Unwinding interest	3,656	2,051	-	-
- Third party	-	8,000	-	-
	<u>9,335</u>	<u>69,078</u>	<u>51,923</u>	<u>30,428</u>
Finance costs				
Interest expenses on:				
- Banker's acceptances	-	-	26,834	8,012
- Bank overdrafts	162,365	131,580	91,763	35,994
- Invoice financing	103,197	49,633	-	-
- Lease liabilities	211,729	158,284	91,425	52,249
- Loss on unwinding discount of other receivable	-	20,148	-	-
- Term loans	514,059	264,260	242,200	187,137
- Director	-	-	3,828	-
	<u>991,350</u>	<u>623,905</u>	<u>456,050</u>	<u>283,392</u>

13. ACCOUNTANTS' REPORT (CONT'D)
24. Profit before tax

Profit before tax is determined after charging/(crediting) amongst other, the following items:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Auditors' remuneration	145,000	96,000	77,000	40,500
Allowance for ECLs on:				
- contract assets	60,845	-	335,027	-
- trade receivables	74,597	67,810	1,202,638	236,094
Depreciation of property, plant and equipment	1,754,074	1,507,022	964,074	668,118
Depreciation of investment property	11,329	11,331	11,332	11,332
Leases expenses relating to:				
- Low value asset (a)	-	4,467	15,036	119,713
- Short-term leases (b)	3,111,251	1,778,415	1,234,990	326,436
Reversal of ECLs on trade receivables	<u>(45,943)</u>	<u>(38,174)</u>	<u>(72,952)</u>	<u>-</u>

- a. The Group leases office equipments with small value. These leases are low value assets. The Group has elected not to recognise right-of-use assets and lease liability for this lease.
- b. The Group leases equipments, motor vehicles, machineries, meeting rooms, workshops and operations premises with credit terms of not more than one year. The leases are short-term leases. The Group has elected not to recognise right-of-use assets and lease liability for the leases.

25. Tax expenses

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Tax expenses recognised in profit or loss				
Current tax				
Current financial years provision	3,143,334	1,469,444	1,397,151	375,922
Under/(Over) provision in prior financial years	<u>105,250</u>	<u>(42,943)</u>	<u>(21,154)</u>	<u>(18,695)</u>
	<u>3,248,584</u>	<u>1,426,501</u>	<u>1,375,997</u>	<u>357,227</u>

13. ACCOUNTANTS' REPORT (CONT'D)**25. Tax expenses (Cont'd)**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Tax expenses recognised in profit or loss (Cont'd)				
Deferred tax				
Originating and reversal of temporary differences	49,700	208,796	(311,064)	(22,260)
Under/(Over) provision in prior financial year	121,202	(24,218)	-	-
	<u>170,902</u>	<u>184,578</u>	<u>(311,064)</u>	<u>(22,260)</u>
Total tax expenses	<u>3,419,486</u>	<u>1,611,079</u>	<u>1,064,933</u>	<u>334,967</u>

A reconciliation of income tax expenses applicable to profit before tax at the statutory tax rate to income tax expenses at the effective income tax of the Group is as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Profit before tax	<u>11,633,279</u>	<u>6,769,986</u>	<u>4,277,143</u>	<u>1,605,136</u>
At Malaysian statutory rate of 24% (31.3.2025: 24%, 31.3.2024: 24% and 31.3.2023: 24%)	2,791,987	1,624,797	1,026,514	385,233
Change in tax rate for the first and second tranche of chargeable income	(133,549)	(167,009)	(159,855)	(153,050)
Expenses not deductible for tax purposes	553,628	252,990	243,394	162,975
Income not subject to tax	(15,052)	(12,207)	(27,251)	(20,470)
Movement of deferred tax assets not recognised	(3,980)	(20,331)	3,285	(21,026)
Under/(Over) provision of current tax in prior financial year	105,250	(42,943)	(21,154)	(18,695)
Under/(Over) provision of deferred tax in prior financial year	121,202	(24,218)	-	-
	<u>3,419,486</u>	<u>1,611,079</u>	<u>1,064,933</u>	<u>334,967</u>

13. ACCOUNTANTS' REPORT (CONT'D)**25. Tax expenses (Cont'd)****Unrecognised deferred tax assets**

Deferred tax assets have not been recognised in respect of the following items (gross amount) due to their uncertainty of their recoverability:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Property, plant and equipment	<u>-</u>	<u>16,582</u>	<u>101,295</u>	<u>87,607</u>

26. Earnings per share**Basic earnings per share**

The basic earnings per share are calculated based on the profit for the financial years attributable to owners of the Company and the enlarged number of ordinary shares in issue during the financial years as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Profit attributable to owners of the Company	<u>8,213,793</u>	<u>4,729,871</u>	<u>3,025,607</u>	<u>1,264,316</u>
Enlarged number of ordinary shares (units)*	<u>346,900,000</u>	<u>346,900,000</u>	<u>346,900,000</u>	<u>346,900,000</u>
Basic earnings per share (sen)	<u>2.37</u>	<u>1.36</u>	<u>0.87</u>	<u>0.36</u>

* Based on existing issued and enlarged share capital upon completion of listing.

Diluted earnings per share

The diluted earnings per share is equivalent to the basic earnings per share as the Group does not have any dilutive potential ordinary shares outstanding as at the end of the reporting date.

13. ACCOUNTANTS' REPORT (CONT'D)**27. Dividends**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
PTSB:				
An interim single-tier dividend of RM0.57 per ordinary share in respect of the financial year ended 31 March 2024, declared on 8 September 2023 and paid on 15 September 2023	-	-	200,000	-
An interim single-tier dividend of RM1.86 per ordinary share in respect of the financial year ended 31 March 2024, declared on 31 March 2024 and paid on 5 November 2024	-	-	649,900	-
Dividends recognised as distribution to owners of the Company:				

PHH:

An interim single-tier dividend of RM9.55 per ordinary share in respect of the financial year ended 31 March 2025, declared on 7 March 2025 and paid on 14 March 2025	-	1,910,000	-	-
	-	1,910,000	849,900	-

28. Staff costs

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Directors' fee	10,000	-	-	-
Salaries, wages and other emoluments	31,487,086	12,586,374	10,283,131	5,748,563
Defined contribution plans	2,449,881	1,068,114	889,677	527,622
Social contribution plans	463,927	175,953	126,881	81,604
	<u>34,410,894</u>	<u>13,830,441</u>	<u>11,299,689</u>	<u>6,357,789</u>

13. ACCOUNTANTS' REPORT (CONT'D)**28. Staff costs (Cont'd)**

Included in staff costs is aggregate amount of remuneration received and receivable by the Directors of the Group are as below:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Directors' fee	10,000	-	-	-
Salaries and other emoluments	1,133,860	971,115	1,090,432	628,090
Defined contribution plans	132,600	112,840	139,006	74,365
Social contribution plans	7,085	7,196	4,991	4,923
	<u>1,283,545</u>	<u>1,091,151</u>	<u>1,234,429</u>	<u>707,378</u>

The estimated monetary value of benefits-in-kind provided by the Group to the Directors of the Company was RM52,000 (31.3.2025: RM41,500, 31.3.2024: RM17,400 and 31.3.2023: RMNil).

29. Related party disclosures**(a) Identifying related parties**

For the purposes of these consolidated financial statements, parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control or joint control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control. Related parties may be individuals or other entities.

Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel comprise the Directors and management personnel of the Group, having authority and responsibility for planning, directing and controlling the activities of the Group directly or indirectly.

13. ACCOUNTANTS' REPORT (CONT'D)**29. Related party disclosures (Cont'd)****(b) Significant related party transactions**

Related party transactions have been entered into in the normal course of business under negotiated terms. In addition to the related party balances disclosed elsewhere in the consolidated financial statements, there is no related party transactions of the Group during the financial year.

(c) Remuneration of key management personnel

The key management personnel of the Company include certain members of senior management of the Company. The remuneration of the Directors are disclosed in Note 28 to the consolidated financial statements and the remuneration paid to certain members of key management personnel are as follow:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Salaries and other emoluments	193,515	-	-	-
Defined contribution plans	25,142	-	-	-
Social contribution plans	1,857	-	-	-
	<u>220,514</u>	<u>-</u>	<u>-</u>	<u>-</u>

30. Segment information

The Group prepared the following segment information in accordance with MFRS 8 Operating Segments based on the internal reports of the Group's strategic business units which are regularly reviewed by directors for the purpose of making decisions about the resource allocation and performance assessment.

The three reportable segments are as follows:

Segments	Business activities
Mechanical and electrical	Provision of mechanical engineering services - piping system engineering and specialised services.
Infrastructure	Involved in civil engineering projects to construct industrial and ancillary facilities.
Others	Investment holding and dormant.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

13. ACCOUNTANTS' REPORT (CONT'D)

30. Segment information (Cont'd)

	Note	Mechanical and electrical RM	Infrastructure RM	Others RM	Total RM	Eliminations RM	Consolidated RM
31.3.2026							
Revenue		73,744,311	23,916,537	-	97,660,848	-	97,660,848
Inter-segment revenue	(i)	2,784,001	-	4,180,000	6,964,001	(6,964,001)	-
Total revenue		<u>76,528,312</u>	<u>23,916,537</u>	<u>4,180,000</u>	<u>104,624,849</u>	<u>(6,964,001)</u>	<u>97,660,848</u>
Results							
Depreciation		(1,507,738)	(31,338)	(226,327)	(1,765,403)	-	(1,765,403)
Finance income		9,043	211	81	9,335	-	9,335
Finance costs		(779,877)	(101,678)	(109,795)	(991,350)	-	(991,350)
Tax expenses		(2,354,417)	(946,848)	(118,221)	(3,419,486)	-	(3,419,486)
Other non-cash expenses	(ii)	(119,428)	(71,712)	-	(191,140)	-	(191,140)
Segment profit	(iii)	<u>6,190,538</u>	<u>3,185,975</u>	<u>2,199,295</u>	<u>11,575,808</u>	<u>(2,380,000)</u>	<u>9,195,808</u>
Assets							
Additions to non-current assets	(iv)	2,053,336	5,162	581,881	2,640,379	-	2,640,379
Segment assets	(v)	<u>34,511,192</u>	<u>12,408,262</u>	<u>8,149,619</u>	<u>55,069,073</u>	<u>(7,118,788)</u>	<u>47,950,285</u>
Liabilities							
Segment liabilities	(vi)	<u>9,156,654</u>	<u>3,408,810</u>	<u>990,939</u>	<u>13,556,403</u>	<u>(4,526,624)</u>	<u>9,029,779</u>

13. ACCOUNTANTS' REPORT (CONT'D)

30. Segment information (Cont'd)

	Note	Mechanical and electrical RM	Infrastructure RM	Others RM	Total RM	Eliminations RM	Consolidated RM
31.3.2025							
Revenue		27,585,625	15,380,501	-	42,966,126	-	42,966,126
Inter-segment revenue	(i)	2,170,067	-	2,650,000	4,820,067	(4,820,067)	-
Total revenue		<u>29,755,692</u>	<u>15,380,501</u>	<u>2,650,000</u>	<u>47,786,193</u>	<u>(4,820,067)</u>	<u>42,966,126</u>
Results							
Depreciation		(1,308,963)	(62,998)	(146,392)	(1,518,353)	-	(1,518,353)
Finance income		14,008	21	55,049	69,078	-	69,078
Finance costs		(551,472)	(17,612)	(54,821)	(623,905)	-	(623,905)
Tax expenses		(1,000,316)	(432,225)	(178,538)	(1,611,079)	-	(1,611,079)
Other non-cash expenses	(ii)	(31,139)	-	(5,889)	(37,028)	-	(37,028)
Segment profit	(iii)	<u>3,439,849</u>	<u>1,761,789</u>	<u>1,321,164</u>	<u>6,522,802</u>	<u>(809,068)</u>	<u>5,713,734</u>
Assets							
Additions to non-current assets	(iv)	5,149,858	71,396	1,708,655	6,929,909	-	6,929,909
Segment assets	(v)	<u>23,470,420</u>	<u>6,666,875</u>	<u>5,845,616</u>	<u>35,982,911</u>	<u>(5,977,787)</u>	<u>30,005,124</u>
Liabilities							
Segment liabilities	(vi)	<u>6,697,507</u>	<u>2,993,955</u>	<u>698,888</u>	<u>10,390,350</u>	<u>(3,953,321)</u>	<u>6,437,029</u>

13. ACCOUNTANTS' REPORT (CONT'D)

30. Segment information (Cont'd)

	Note	Mechanical and electrical RM	Infrastructure RM	Others RM	Total RM	Eliminations RM	Consolidated RM
31.3.2024							
Revenue		18,889,765	12,578,582	-	31,468,347	-	31,468,347
Inter-segment revenue	(i)	4,230,878	-	4,006,100	8,236,978	(8,236,978)	-
Total revenue		<u>23,120,643</u>	<u>12,578,582</u>	<u>4,006,100</u>	<u>39,705,325</u>	<u>(8,236,978)</u>	<u>31,468,347</u>
Results							
Depreciation		(654,626)	(215,986)	(104,794)	(975,406)	-	(975,406)
Finance income		1,921	-	50,002	51,923	-	51,923
Finance costs		(314,875)	(122,592)	(18,583)	(456,050)	-	(456,050)
Tax expenses		(793,555)	(252,785)	(18,593)	(1,064,933)	-	(1,064,933)
Other non-cash expenses	(ii)	79,032	(1,506,530)	(25,470)	(1,452,968)	-	(1,452,968)
Segment profit	(iii)	<u>4,524,726</u>	<u>(897,122)</u>	<u>2,868,733</u>	<u>6,496,337</u>	<u>(2,880,000)</u>	<u>3,616,337</u>
Assets							
Additions to non-current assets	(iv)	809,341	233,771	1,048,003	2,091,115	-	2,091,115
Segment assets	(v)	<u>18,967,719</u>	<u>3,217,707</u>	<u>4,529,295</u>	<u>26,714,721</u>	<u>(5,612,488)</u>	<u>21,102,233</u>
Liabilities							
Segment liabilities	(vi)	<u>5,432,851</u>	<u>1,823,872</u>	<u>358,627</u>	<u>7,615,350</u>	<u>(3,774,643)</u>	<u>3,840,707</u>

13. ACCOUNTANTS' REPORT (CONT'D)

30. Segment information (Cont'd)

	Note	Mechanical and electrical RM	Infrastructure RM	Others RM	Total RM	Eliminations RM	Consolidated RM
31.3.2023							
Revenue		15,329,570	705,130	-	16,034,700	-	16,034,700
Inter-segment revenue	(i)	1,911,324	-	978,000	2,889,324	(2,889,324)	-
Total revenue		17,240,894	705,130	978,000	18,924,024	(2,889,324)	16,034,700
Results							
Depreciation		(655,287)	(24,163)	-	(679,450)	-	(679,450)
Finance income		411	-	30,017	30,428	-	30,428
Finance costs		(261,914)	(21,478)	-	(283,392)	-	(283,392)
Tax expenses		(257,441)	(7,831)	(69,695)	(334,967)	-	(334,967)
Other non-cash (expenses)/income	(ii)	(417,052)	-	85,291	(331,761)	-	(331,761)
Segment profit	(iii)	1,387,274	(213,196)	349,055	1,523,133	-	1,523,133
Assets							
Additions to non-current assets	(iv)	930,520	-	-	930,520	-	930,520
Segment assets	(v)	20,017,858	80,496	1,900,495	21,998,849	(6,339,096)	15,659,753
Liabilities							
Segment liabilities	(vi)	5,337,589	41,486	1,368,604	6,747,679	(5,038,776)	1,708,903

13. ACCOUNTANTS' REPORT (CONT'D)
30. Segment information (Cont'd)
(a) Business segments

Notes to the nature of adjustments and eliminations to arrive at amounts reported in the consolidated financial statements:

- (i) Inter-segment revenues are eliminated on consolidation.
- (ii) Other material non-cash (expenses)/income consist of the following items as presented in the respective notes to the consolidated financial statements:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Allowance for expected credit loss on:				
- Contract asset	(60,845)	-	(335,027)	-
- Trade receivables	(74,597)	(67,810)	(1,202,638)	(236,094)
Bad debts written off	-	-	(15,475)	(131,864)
Deposit forfeited	-	(24,100)	-	-
Fair value (loss)/gain of other investment	-	(59,821)	(25,470)	85,291
Gain on disposal of a subsidiary	-	53,932	-	-
Gain/(Loss) on disposal of property, plant and equipment	-	1,536	-	(49,094)
Gain on early termination of lease contracts	16,774	11,155	-	-
Property, plant and equipment written off	(118,415)	(7)	-	-
Rent concession	-	3,500	-	-
Reversal of ECL on trade receivables	45,943	38,174	72,952	-
Trade payable written off	-	6,413	52,690	-
	<u>(191,140)</u>	<u>(37,028)</u>	<u>(1,452,968)</u>	<u>(331,761)</u>

13. ACCOUNTANTS' REPORT (CONT'D)**30. Segment information (Cont'd)****(a) Business segments (Cont'd)**

- (iii) The following items are added to/(deducted from) segment profit to arrive at "profit after tax" presented in the consolidated statements of profit or loss and other comprehensive income:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Segment profit	9,195,808	5,713,734	3,616,337	1,523,133
Finance income	9,335	69,078	51,923	30,428
Finance costs	(991,350)	(623,905)	(456,050)	(283,392)
Profit after tax	<u>8,213,793</u>	<u>5,158,907</u>	<u>3,212,210</u>	<u>1,270,169</u>

- (iv) Additions to non-current assets other than financial instruments consist of:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Property, plant and equipment	<u>2,640,379</u>	<u>6,929,909</u>	<u>2,091,115</u>	<u>930,520</u>

- (v) The following items are added to segment assets to arrive at total assets reported in the consolidated statements of financial position.

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Segment assets	47,950,285	30,005,124	21,102,233	15,659,753
Deferred tax assets	101,460	156,664	296,242	-
Tax recoverable	372,138	660,034	327,479	369,691
Total assets	<u>48,423,883</u>	<u>30,821,822</u>	<u>21,725,954</u>	<u>16,029,444</u>

- (vi) The following items are added to segment liabilities to arrive at total liabilities reported in the consolidated statements of financial position.

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Segment liabilities	9,029,779	6,437,029	3,840,707	1,708,903
Deferred tax liabilities	217,698	102,000	57,000	71,822
Lease liabilities	2,647,167	2,799,802	1,920,402	1,404,314
Borrowings	12,990,514	7,881,766	5,573,715	4,920,645
Tax payable	2,246,385	522,678	415,526	78,240
Total liabilities	<u>27,131,543</u>	<u>17,743,275</u>	<u>11,807,350</u>	<u>8,183,924</u>

13. ACCOUNTANTS' REPORT (CONT'D)**30. Segment information (Cont'd)****(b) Geographical information**

Revenue by geographical location is disclosed in Note 20 to the consolidated financial statements.

Non-current assets information based on the geographical location of the assets are not presented, as all non-current assets are located in Malaysia.

(c) Information about major customers

The following is the major customers contributing revenue which equals to ten percent (10%) or more of the total revenue of the Group:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Customer A	20,673,200	9,286,898	-	-
Customer B	21,621,980	5,168,012	8,037,121	-
Customer C	*	3,051,321	*	*
Customer D	*	8,970,241	6,423,579	-
Customer E	16,239,124	5,421,024	-	-
Customer F	-	-	5,978,542	*
Customer G	*	*	3,328,101	2,328,724
Customer H	-	-	2,260,287	*
Customer I	-	-	-	5,000,000
Customer J	9,898,353	*	*	2,929,088
Customer K	-	-	-	1,321,965
Customer L	-	-	-	902,504
	<u>68,432,657</u>	<u>31,897,496</u>	<u>26,027,630</u>	<u>12,482,281</u>

* The revenue for these customers did not equate to or more than 10% of the Group's total revenue for the respective financial year.

31. Financial instruments**(a) Categories of financial instruments**

Financial assets and financial liabilities are measured on an ongoing basis either at fair value or at amortised cost.

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(a) Categories of financial instruments (Cont'd)**

The following table analyses the financial assets and liabilities in the consolidated statements of financial position by the class of financial instruments to which they are assigned, and therefore by the measurement basis:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
At FVTPL				
Financial asset				
Other investment	-	-	559,821	585,291
At amortised costs				
Financial assets				
Trade receivables	14,403,248	7,840,160	7,980,601	6,051,161
Other receivables	292,912	298,547	745,753	155,199
Amount due from a shareholder	-	-	1,029,086	-
Fixed deposit with a licensed bank	-	60,000	60,000	60,000
Cash and bank balances	7,068,980	2,813,921	1,010,811	850,995
	<u>21,765,140</u>	<u>11,012,628</u>	<u>10,826,251</u>	<u>7,117,355</u>
At amortised costs				
Financial liabilities				
Loans and borrowings	12,990,514	7,881,766	5,573,715	4,920,645
Lease liabilities	2,392,043	2,057,466	1,654,942	940,082
Trade payables	4,287,600	3,293,578	1,537,951	657,121
Other payables	4,609,248	1,397,956	1,946,579	694,604
Amount due to shareholders	-	112,170	105,030	43,972
Amount due to Directors	-	1,086,201	251,147	313,206
	<u>24,279,405</u>	<u>15,829,137</u>	<u>11,069,364</u>	<u>7,569,630</u>

(b) Financial risk management objectives and policies

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing their credit, liquidity and market risks. The Group operates within clearly defined guidelines that are approved by the Board and the Group's policy is not to engage in speculative transactions.

13. ACCOUNTANTS' REPORT (CONT'D)

31. Financial instruments (Cont'd)

(b) Financial risk management objectives and policies (Cont'd)

The following sections provide details regarding the Group's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

(i) Credit risk

Credit risk is the risk of a financial loss to the Group if a customer or counterparty to a financial instrument fails to meet their contractual obligations. The Group's exposure to credit risk arises principally from trade and other receivables, amount due from a shareholder, fixed deposit with a licensed bank and cash and bank balances. There are no significant changes as compared to previous financial years.

The Group has adopted a policy of only dealing with creditworthy counterparties. Management has a credit policy in place to control credit risk by dealing with creditworthy counterparties and deposit with banks and financial institutions with good credit rating. The exposure to credit risk is monitored on an ongoing basis and action will be taken for long outstanding debts.

At each reporting date, the Group assesses whether any of the receivables are credit impaired. The Group also provided secured financial guarantee for the purpose of a project contract. At the end of the reporting period, no events have arisen which may cause the financial guarantee provided by the Group to be called upon or claimed by any counterparty pursuant to the relevant contract by the Group.

The gross carrying amounts of credit impaired trade receivables and contract assets are written off (either partial or full) when there is no realistic prospect of recovery. This is generally the case when Group determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. Nevertheless, trade receivables and contract assets that are written off could still be subject to enforcement activities.

The carrying amounts of the financial assets recorded on the consolidated statements of financial position as at the reporting date represent the Group's maximum exposure to credit risk except for financial guarantees provided to banks for banking facilities.

The Group obtained bank guarantee from financial institution in favour of third party amounting to RM1,000,000 (31.3.2025: RM1,000,000, 31.3.2024: Nil and 31.3.2023: Nil).

There are no significant changes as compared to previous financial years.

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(b) Financial risk management objectives and policies (Cont'd)****(i) Credit risk (Cont'd)***Credit risk concentration*

As at the end of the financial years, the Group has 3 (31.3.2025: 4, 31.3.2024: 4 and 31.3.2023: 3) major customers and accounted for approximately 70% (31.3.2025: 70%, 31.3.2024: 60% and 31.3.2023: 76%) of the Group's trade receivables outstanding.

(ii) Liquidity risk

Liquidity risk refers to the risk that the Group will encounter difficulty in meeting their financial obligations as they fall due. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities.

The Group's funding requirements and liquidity risk are managed with the objective of meeting business obligations on a timely basis. The Group finances their liquidity through internally generated cash flows and minimise liquidity risk by keeping committed credit lines available.

The following table analyses the remaining contractual maturity for non-derivative financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay.

	On demand or within 1 year RM	1 to 5 years RM	More than 5 years RM	Total contractual cash flows RM	Total carrying amount RM
31.3.2026					
<u>Non-derivative</u>					
<u>financial liabilities</u>					
Loans and borrowings	6,166,355	4,955,489	4,535,941	15,657,785	12,990,514
Lease liabilities	1,036,548	1,906,364	-	2,942,912	2,647,167
Trade payables	4,287,600	-	-	4,287,600	4,287,600
Other payables	4,609,248	-	-	4,609,248	4,609,248
	<u>16,099,751</u>	<u>6,861,853</u>	<u>4,535,941</u>	<u>27,497,545</u>	<u>24,534,529</u>
Financial guarantee *	1,000,000	-	-	1,000,000	-

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(b) Financial risk management objectives and policies (Cont'd)****(ii) Liquidity risk (Cont'd)**

The following table analyses the remaining contractual maturity for non-derivative financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. (Cont'd)

	On demand or within 1 year RM	1 to 5 years RM	More than 5 years RM	Total contractual cash flows RM	Total carrying amount RM
31.3.2025					
<u>Non-derivative</u>					
<u>financial liabilities</u>					
Loans and					
borrowings	2,755,077	2,749,362	4,706,650	10,211,089	7,881,766
Lease liabilities	1,128,676	2,019,480	2,062	3,150,218	2,799,802
Trade payables	3,293,578	-	-	3,293,578	3,293,578
Other payables	1,397,956	-	-	1,397,956	1,397,956
Amount due to a shareholder	112,170	-	-	112,170	112,170
Amount due to Directors	1,086,201	-	-	1,086,201	1,086,201
	<u>9,773,658</u>	<u>4,768,842</u>	<u>4,708,712</u>	<u>19,251,212</u>	<u>16,571,473</u>
Financial guarantee *	<u>1,000,000</u>	<u>-</u>	<u>-</u>	<u>1,000,000</u>	<u>-</u>

31.3.2024Non-derivativefinancial liabilities

Loans and					
borrowings	2,209,841	1,958,188	2,722,388	6,890,417	5,573,715
Lease liabilities	771,788	1,333,728	25,808	2,131,324	1,920,402
Trade payables	1,537,951	-	-	1,537,951	1,537,951
Other payables	1,946,579	-	-	1,946,579	1,946,579
Amount due to shareholders	105,030	-	-	105,030	105,030
Amount due to Directors	251,147	-	-	251,147	251,147
	<u>6,822,336</u>	<u>3,291,916</u>	<u>2,748,196</u>	<u>12,862,448</u>	<u>11,334,824</u>

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(b) Financial risk management objectives and policies (Cont'd)****(ii) Liquidity risk (Cont'd)**

The following table analyses the remaining contractual maturity for non-derivative financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. (Cont'd)

	On demand or within 1 year RM	1 to 5 years RM	More than 5 years RM	Total contractual cash flows RM	Total carrying amount RM
31.3.2023					
<u>Non-derivative financial liabilities</u>					
Loans and borrowings	1,433,262	1,790,600	3,103,616	6,327,478	4,920,645
Lease liabilities	627,308	867,604	52,294	1,547,206	1,404,314
Trade payables	657,121	-	-	657,121	657,121
Other payables	694,604	-	-	694,604	694,604
Amount due to a shareholder	43,972	-	-	43,972	43,972
Amount due to Directors	313,206	-	-	313,206	313,206
	<u>3,769,473</u>	<u>2,658,204</u>	<u>3,155,910</u>	<u>9,583,587</u>	<u>8,033,862</u>

* Based on the maximum amount that can be called for under the financial guarantee.

(iii) Market risk**(a) Interest rate risk**

The Group's borrowings are exposed to a risk of change in their fair value due to changes in interest rates. The Group's variable rate borrowings are exposed to a risk of change in cash flows due to changes in interest rates.

The Group manages their interest rate risk of their deposit with a licensed bank by placing them at the most competitive interest rates obtainable, which yield better returns than cash at bank and maintaining a prudent mix of short and long-term deposits.

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(b) Financial risk management objectives and policies (Cont'd)****(iii) Market risk (Cont'd)****(a) Interest rate risk (Cont'd)**

The Group manages their interest rate risk exposure from interest bearing borrowings by obtaining financing with the most favourable interest rates in the market. The Group constantly monitors their interest rate risk by reviewing their debts portfolio to ensure favourable rates are obtained. The Group does not utilise interest swap contracts or other derivative instruments for trading or speculative purposes.

The interest rate profile of the Group's significant interest-bearing financial instruments, based on carrying amounts as at the end of the reporting period was:

	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Fixed rate instruments				
<u>Financial asset</u>				
Fixed deposit with a licensed bank	-	60,000	60,000	60,000
<u>Financial liabilities</u>				
Term loans	(272,216)	-	(253,403)	(450,000)
Banker's acceptance	-	-	-	(360,388)
Invoice financing	(1,955,366)	(1,522,450)	-	-
Lease liabilities	(2,392,043)	(2,057,466)	(1,654,942)	(940,082)
Amount due to Directors	-	-	-	(40,000)
	<u>(4,619,625)</u>	<u>(3,579,916)</u>	<u>(1,908,345)</u>	<u>(1,790,470)</u>
Net financial liabilities	<u>(4,619,625)</u>	<u>(3,519,916)</u>	<u>(1,848,345)</u>	<u>(1,730,470)</u>

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(b) Financial risk management objectives and policies (Cont'd)****(iii) Market risk (Cont'd)****(a) Interest rate risk (Cont'd)**

The interest rate profile of the Group's significant interest-bearing financial instruments, based on carrying amounts as at the end of the reporting period was: (Cont'd)

	31.3.2026 RM	31.3.2025 RM	31.3.2024 RM	31.3.2023 RM
Floating rate instruments				
<u>Financial liabilities</u>				
Term loans	(8,032,107)	(5,858,273)	(3,857,780)	(3,643,423)
Bank overdrafts	<u>(2,730,825)</u>	<u>(501,043)</u>	<u>(1,462,532)</u>	<u>(466,834)</u>
Net financial liabilities	<u><u>(10,762,932)</u></u>	<u><u>(6,359,316)</u></u>	<u><u>(5,320,312)</u></u>	<u><u>(4,110,257)</u></u>

Interest rate risk sensitivity analysisFair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial asset and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the reporting period would not affect profit or loss.

Cash flows sensitivity analysis for floating rate instruments

A change in 1% interest rate at the end of the reporting period would have increased/(decreased) the Group's profit before tax by RM107,629 (31.3.2025: RM63,593, 31.3.2024: RM53,203 and 31.3.2023: RM41,103), arising mainly as a result of lower/higher interest expense on floating rate borrowings. This analysis assumed that all other variables remain constant. The assumed movement in basis points for the interest rate sensitivity analysis based on the currently observable market environment.

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(c) Fair value of financial instruments**

The table below analyses financial instruments carried at fair value, together with their fair values and carrying amounts shown in the consolidated statements of financial position.

	Fair value of financial instruments carried at fair value			Total fair value	Carrying amount
	Level 1	Level 2	Level 3		
	RM	RM	RM	RM	RM
31.3.2024					
<u>Financial asset</u>					
Other investment	-	-	559,821	559,821	559,821
31.3.2023					
<u>Financial asset</u>					
Other investment	-	-	585,291	585,291	585,291

The following table shows the valuation techniques used in the determination of fair values within Level 3, as well as the key unobservable inputs used in the valuation models.

Valuation method and key inputs	Significant unobservable inputs	Relationship of unobservable inputs and fair value
Fair value of preference share shall based on the expected amount and timing of cash flow to be received by the Group at maturity date.	Base lending rate of Malaysia	The higher the base lending rate, the lower the fair value.

13. ACCOUNTANTS' REPORT (CONT'D)**31. Financial instruments (Cont'd)****(c) Fair value of financial instruments (Cont'd)**

The carrying amounts of short-term receivables, payables, cash and cash equivalents approximate their fair value due to the relatively short-term nature of these financial instruments and insignificant impact of discounting.

(i) Policy on transfer between levels

The fair value of an asset to be transferred between levels is determined as of the date of the event or change in circumstances that caused the transfer.

There were no transfers between levels during current and previous financial year.

(ii) Level 1 fair value

Level 1 fair value is derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

(iii) Level 2 fair value

Level 2 fair value is estimated using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Non-derivative financial instruments

Fair value, which is determined for disclosure purposes, is calculated based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the end of the reporting period.

(iv) Level 3 fair value

Level 3 fair value for the financial assets and liabilities are estimated using unobservable inputs.

32. Capital commitment

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Approved but not contracted for:				
Construction of factory building	7,843,685	7,890,100	-	-
Purchase of machinery and equipment	4,005,000	4,005,000	-	-
	<u>11,848,685</u>	<u>11,895,100</u>	<u>-</u>	<u>-</u>

13. ACCOUNTANTS' REPORT (CONT'D)**33. Financial guarantee**

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Secured:				
Bank guarantee for the purpose of a project contract	<u>1,000,000</u>	<u>1,000,000</u>	<u>-</u>	<u>-</u>

34. Capital management

The overall capital management objectives of the Group are to safeguard its ability to continue as a going concern so as to provide returns to owners and benefits to other stakeholders. In order to meet its objective, the Group always strive to maintain an optimal capital structure to reduce the cost of capital and sustain its business development.

The Group considers its total equity and total interest-bearing debts to be the key components of its capital structure and may, from time to time, adjust the dividend payouts, issue new shares, sell assets, raise or redeem debts, where necessary, to maintain an optimal capital structure. The Group monitors capital using a debt-to-equity ratio, which is calculated as total interest-bearing debts divided by total equity as follows:

	31.3.2026	31.3.2025	31.3.2024	31.3.2023
	RM	RM	RM	RM
Loans and borrowings	12,990,514	7,881,766	5,573,715	4,920,645
Lease liabilities	2,392,043	2,057,466	1,654,942	940,082
Less: Fixed deposit with a licensed bank	-	(60,000)	(60,000)	(60,000)
Less: Cash and bank balances	<u>(7,068,980)</u>	<u>(2,813,921)</u>	<u>(1,010,811)</u>	<u>(850,995)</u>
Net debts	<u>8,313,577</u>	<u>7,065,311</u>	<u>6,157,846</u>	<u>4,949,732</u>
Owners' equity	<u>21,292,340</u>	<u>13,078,547</u>	<u>9,667,835</u>	<u>7,843,508</u>
Gearing ratio (times)	<u>0.39</u>	<u>0.54</u>	<u>0.64</u>	<u>0.63</u>

There were no changes in the Group's approach to capital management during the financial years under review.

The Group is not subject to any externally imposed capital requirements.

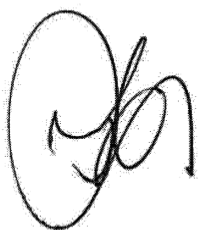
13. ACCOUNTANTS' REPORT (CONT'D)

PIONEER HEAT HOLDINGS BERHAD
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

We, the undersigned, being two of the Directors of the Group, do hereby state that, in the opinion of the Directors, the consolidated financial statements set out on pages 5 to 77 are drawn up in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the consolidated financial position of the Group as at 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023 and of their consolidated financial performance and cash flows for the financial years ended 31 March 2026, 31 March 2025, 31 March 2024 and 31 March 2023.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors dated 21 July 2026.



WONG WEI KEN



WONG WEI LIEH

KUALA LUMPUR

14. STATUTORY AND OTHER INFORMATION

14.1 SHARE CAPITAL

- (i) As at the LPD, our Company has only 1 class of shares, namely ordinary shares, all of which rank equally with one another. There are no special rights attached to our Shares.
- (ii) None of the share capital of our Company or our subsidiaries are under any option or agreed conditionally or unconditionally to be put under any option as at the date of this Prospectus.
- (iii) Save for the Pink Form Allocations as disclosed in Section 4.3.1(ii) of this Prospectus,
 - (a) no Director or employee of our Group has been or is entitled to be given or has exercised any options to subscribe for any share of our Company or our subsidiaries; and
 - (b) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiaries.
- (iv) Save as disclosed in Sections 4.5 and 6.1 of this Prospectus, no shares, debentures, outstanding warrants, options, convertible securities or uncalled capital of our Company have been or are proposed to be issued as fully or partly paid-up, in cash or otherwise than in cash, within the past 2 years immediately preceding the date of this Prospectus.
- (v) As at the LPD, our Company does not have any outstanding convertible debt securities, options, warrants or uncalled capital.

14.2 EXTRACTS OF OUR CONSTITUTION

The following provisions are extracted from our Constitution and are qualified in its entirety by the remainder of the provisions of our Constitution and by applicable law. Terms defined in our Constitution shall have the same meaning when used here unless they are otherwise defined here or the context otherwise requires.

(i) Remuneration, voting and borrowing powers of Directors

The provisions of our Constitution dealing with remuneration, voting and borrowing power of Director are as follows:

Clause 93 - Remuneration of Directors

“The Company may from time to time by an ordinary resolution passed at a General Meeting, approve the remuneration of the Directors, who hold non-executive office with the Company, for their services as non-executive Directors.

Subject to Clause 84, the fees of the Directors and any allowance and benefits payable to the Directors shall be subject to annual shareholders’ approval at a General Meeting.

If the fee, allowance and benefits of each such non-executive Director is not specifically fixed by the Members, then the quantum of fees, allowance and benefit to be paid to each non-executive Director within the overall limits fixed by the Members, shall be decided by resolution of the Board. In default of any decision being made in this respect by the Board, the fees, allowance and benefit payable to the non-executive Directors shall be divided equally amongst themselves and such a Director holding office for only part of a year shall be entitled to a proportionate part of a full year’s fees, allowance and benefit. The non-executive Directors shall be paid by a fixed sum and not by a commission on or percentage of profits or turnover.

14. STATUTORY AND OTHER INFORMATION (CONT'D)

The following expenses shall be determined by the Directors:

- (a) traveling, hotel and other expenses properly incurred by the Directors in attending and returning from meetings of the Directors or any committee of the Directors or General Meetings of the Company or in connection with the business of the Company; and
- (b) other expenses properly incurred by the Directors arising from the requirements imposed by the authorities to enable the Directors to effectively discharge their duties.

Executive Directors of the Company shall be remunerated in the manner referred to in Clause 84 but such remuneration shall not include a commission on or percentage of turnover.”

Clause 67 and 68 – Voting Restriction

“If a Member is of unsound mind or is a person whose person or estate is liable to be dealt with in any way under the law relating to mental health, the relevant committee or trustee or such other person as properly appointed under the applicable law to manage his estate may exercise any rights of the Member in relation to a meeting of the Company’s Members as if the committee, trustee or other person were the Member.

No member is entitled to attend to vote at any General Meeting unless all calls or other sums presently payable by the Member in respect of shares in the Company have been paid.”

Clause 95 – Power of Directors

“Without limiting the generality of Clause 94(1) and (2), the Directors may, subject to the Act and the Listing Requirements, exercise all the powers of the Company to do all or any of the following for any debt, liability, or obligation of the Company or of any third party:

- (a) borrow money;
- (b) mortgage or charge its undertaking, property, and uncalled capital, or any part of the undertaking, property and uncalled capital;
- (c) issue debentures and other Securities whether outright or as security;
- (d) lend and advance money or give credit to any person or Company;
- (e) guarantee and give guarantees or indemnities for the payment of money or the performance of contracts or obligations by any person or Company;
- (f) secure or undertake in any way of repayment of moneys lent or advanced to or the liabilities incurred by any person or Company;

and otherwise to assist any person or Company.”

Clause 99(1) – Delegation of Powers

“Subject to the applicable law and/or the Listing Requirements, the Directors may delegate any of their powers to a committee or committees consisting of such their number as they think fit.”

14. STATUTORY AND OTHER INFORMATION (CONT'D)

Clause 118 – Voting at Board Meeting

“Subject to this Constitution, questions arising at a Board Meeting shall be decided by a majority of votes of Directors present and voting and any such decision shall for all purposes be deemed a decision of the Directors.

Each Director is entitled to cast one (1) vote on each matter for determination.”

Clause 119 – Casting Vote

“In the case of an equality of votes, the chairperson of the Board Meeting is entitled to a second or casting vote, except where two (2) Directors form a quorum and only such a quorum is present at the meeting, or at which only two (2) Directors are competent to vote on the question at issue at which the chairperson of a meeting shall not have a casting vote.”

(ii) Changes to share capital and variation of class rights

The provisions in our Constitution dealing with changes to share capital and variation of class rights are as follows:

Clause 12(1) – Issue of Securities

“Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares but subject always to the Act, the Listing Requirements and this Constitution, the Directors have the right to:

- (a) issue and allot shares in the Company; and
- (b) grant rights to subscribe for shares or options over unissued shares in the Company.”

Clause 46(1) – Alteration of Capital (Consolidation and Sub-division of Shares)

“The Company may from time to time by ordinary resolution and subject to other applicable laws or requirements:

- (a) consolidate and divide all or any of its share capital, the proportion between the amount paid and the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived; or
- (b) subdivide its shares or any of them into shares, whichever is in the subdivision; the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived.”

Clause 46(2) – Alteration of Capital (Cancellation of Shares and Reduction of Share Capital)

“The Company may from time to time by special resolution and subject to other applicable requirements:

- (a) cancel shares which, at the date of the passing of the resolution in that regard, have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled or in such other manner allowed by law; or

14. STATUTORY AND OTHER INFORMATION (CONT'D)

- (b) reduce its share capital in such manner permitted by law, and (where applicable) subject to the relevant required approvals being obtained.”

(iii) Transfer of Securities

Clause 14 – Transfer of Securities

“The transfer of any Deposited Security or class of Deposited Security of the Company, shall be by way of book entry by the Depository in accordance with the Rules and, notwithstanding Section 105, 106 or 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of the Deposited Securities.”

Clause 15 – Transmission of Securities

“Where:

- (a) the Securities of the Company are listed on another stock exchange; and
- (b) the Company is exempted from compliance with Section 14 of the Central Depositories Act or Section 29 of the Securities Industry (Central Depositories) (Amendment) Act 1988, as the case may be, under the Rules in respect of such Securities,

the Company shall, upon request of a Securities holder, permit a transmission of Securities held by such Securities holder from the register of holders maintained by the register of the Company in the jurisdiction of the other stock exchange, to the register of holders maintained by the register of the Company in Malaysia and vice versa provided that there shall be no change in the ownership of such Securities.”

(iv) Rights, preferences and restrictions attached to each class of shares relating to voting, dividend, liquidation and any special rights

The provisions in our Constitution dealing with rights, preferences and restrictions attached to each class of securities relating to voting, dividend, liquidation, and any special rights are as follows:

Clause 7(3) – Rights of Preference Shareholders

“Subject to the Act and any applicable laws and any other requirements of Bursa Securities and the SC, any preference shares may with the sanction of an ordinary resolution be issued on the terms that they are liable, or at the option of the Company are liable to be redeemed and the Company shall not issue preference shares ranking in priority over preference shares already issued but may issue preference shares ranking equally therewith.”

Clause 8 – Variation of Rights

“Subject to Section 91 of the Act, if at any time the share capital is divided into different classes of shares, the rights attached to each class of shares (unless otherwise provided by the terms of issued of the shares of that class) may only, whether or not the Company is being wound up, be varied:

14. STATUTORY AND OTHER INFORMATION (*CONT'D*)

- (a) with the consent in writing of the holders holding not less than seventy-five percent (75.0%) of the total voting rights of the holders of that class of shares; or
- (b) by a special resolution passed by a separate meeting of the holders of that class of shares sanctioning the variation.

The provisions of this Constitution relating to General Meetings apply with the necessary modifications to every separate meeting of the holders of the shares of the class referred to in Clause 8(1), except that:

- (a) for a meeting other than an adjourned meeting, a quorum is constituted by two (2) persons present in person or by proxy and/or by Representative of Member holding at least one-third (1/3) of the number of issued shares of such class, excluding any shares of that class held as treasury shares;
- (b) if that class of shares only has one holder, a quorum is constituted by one (1) person present holding shares of such class; and
- (c) for an adjourned meeting, a quorum is constituted by one (1) person present holding share(s) of such class.

The rights attached to an existing class of preference shares shall be deemed to be varied by the issue of new preference shares that rank equally with existing class of preference shares unless such issuance was authorised by:

- (a) the terms of the issue of the existing preference shares; or
- (b) this Constitution of the Company as in force at the time when the existing preference shares were issued."

14.3 DEPOSITED SECURITIES AND RIGHTS OF DEPOSITORS

As our Shares are proposed for quotation on the Official List, such Shares must be prescribed as shares required to be deposited with Bursa Depository. Upon such prescription, a holder of our Shares must deposit his Shares with Bursa Depository on or before the date fixed, failing which our Share Registrar will be required to transfer his Shares to the Minister of Finance, Inc. and such Shares may not be traded on Bursa Securities. Dealing in our Shares deposited with Bursa Depository may only be effected by a person having a securities account with Bursa Depository ("**Depositor**") by means of entries in the securities account of that Depositor. A Depositor whose name appears in the Record of Depositors maintained by Bursa Depository in respect of our Shares will be deemed to be a shareholder of our Company and will be entitled to all rights, benefits, powers and privileges and be subject to all liabilities, duties and obligations in respect of, arising from, such Shares.

14.4 LIMITATION ON THE RIGHT TO HOLD SECURITIES AND/OR EXERCISE VOTING RIGHTS

Subject to Section 14.3 of this Prospectus, there is no limitation on the right to own our Shares, including any limitation on the right of a non-resident or non-Malaysian shareholder to hold or exercise voting rights on our Shares, which is imposed by Malaysian law or by our Constitution.

14. STATUTORY AND OTHER INFORMATION (CONT'D)

14.5 PUBLIC TAKE-OVERS

During the last financial year and up to the LPD, there were no:

- (i) public take-over offers by third parties in respect of our Shares; and
- (ii) public take-over offers by our Group in respect of other companies' securities.

14.6 MATERIAL CONTRACTS

Save as disclosed below, we have not entered into any contracts which are material (not being contracts entered into in the ordinary course of business) within the Financial Years Under Review up to the date of this Prospectus:

- (i) Sale and purchase agreement dated 13 November 2024 entered into by Pioneer (as purchaser) with Harvest Land Development Sdn Bhd (as developer) for the purchase of a property bearing postal address No. 8, Jalan Senangin 5, Taman Pasir Putih, 81700 Pasir Gudang, Johor (our Pasir Gudang warehouse) for a total cash consideration of RM1,700,000.00. The sale and purchase agreement was completed on 22 December 2024.
- (ii) Share sale agreement dated 31 March 2025, entered into by Pioneer (as purchaser) with Ng Chin Kiat (as vendor), in relation to the acquisition of 25.0% equity interest in PHCDSB for a total cash consideration of RM254,564.00. The share sale agreement was completed on 31 March 2025.
- (iii) the Underwriting Agreement.

14.7 CONSENTS

- (i) The written consent of our Principal Adviser, Sponsor, Underwriter, Placement Agent, Solicitors, Share Registrar, Issuing House and Company Secretaries as set out in the Corporate Directory of this Prospectus to the inclusion in this Prospectus of their names in the form and context in which such names appear, have been given before the issuance of this Prospectus and have not been subsequently withdrawn.
- (ii) The written consent of our Auditors and Reporting Accountants for the inclusion of its name, the Accountants' Report and the Reporting Accountants' Report on Pro forma Consolidated Statements of Financial Position, and all references thereto in the form and context in which they are included in this Prospectus, have been given before the issuance of this Prospectus and have not been subsequently withdrawn.
- (iii) The written consent of our IMR for the inclusion of its name, the IMR Report and all references thereto in the form and context in which they are included in this Prospectus, have been given before the issuance of this Prospectus and have not been subsequently withdrawn.

14. STATUTORY AND OTHER INFORMATION (CONT'D)

14.8 DOCUMENTS AVAILABLE FOR INSPECTION

Copies of the following documents may be inspected at our registered office during office hours for a period of 6 months from the date of this Prospectus:

- (i) our Constitution;
- (ii) the IMR Report referred to in Section 8 of this Prospectus;
- (iii) the Accountants' Report as included in Section 13 of this Prospectus;
- (iv) the Reporting Accountants' Report on the Compilation of Pro Forma Consolidated Statements of Financial Position as at 31 March 2026 as included in Section 12.18 of this Prospectus;
- (v) the audited financial statements of Pioneer for the FYEs 2023, 2024, 2025 and 2026;
- (vi) the audited financial statements of BESB for the FYEs 2023, 2024, 2025 and 2026;
- (vii) the audited financial statements of PHCDSB for the financial period from 26 April 2022 to 31 March 2023, FYEs 2024, 2025 and 2026;
- (viii) the audited financial statements of PHTSB for the FYEs 2023, 2024, 2025 and 2026;
- (ix) the audited financial statements of PTSB for the FYEs 2023, 2024, 2025 and 2026;
- (x) material contracts referred to in Section 14.6 of this Prospectus; and
- (xi) the letters of consent referred to in Section 14.7 of this Prospectus.

14.9 RESPONSIBILITY STATEMENTS

This Prospectus has been seen and approved by our Directors, Promoters and Selling Shareholders. They collectively and individually accept full responsibility for the accuracy of the information contained in this Prospectus. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm that there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

Malacca Securities, being our Principal Adviser, Sponsor, Underwriter and Placement Agent acknowledges that, based on all available information and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO.

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15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR ISSUE SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE “DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE” ACCOMPANYING THE ELECTRONIC COPY OF OUR PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

15.1 OPENING AND CLOSING OF APPLICATIONS

OPENING OF THE APPLICATION PERIOD: 10:00 A.M., 12 AUGUST 2026

CLOSING OF THE APPLICATION PERIOD: 5:00 P.M., 3 SEPTEMBER 2026

Applications for our Issue Shares will open and close at the dates stated above.

In the event there is any change to the dates stated above, we will advertise the notice of the changes in a widely circulated daily English and Bahasa Malaysia newspaper in Malaysia, and make an announcement on Bursa Securities' website.

Late Applications will not be accepted.

15.2 METHODS OF APPLICATIONS**15.2.1 Application for our Issue Shares by the Malaysian Public and the Eligible Persons**

Applications must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that your Application will succeed.

Types of Application and category of investors		Application Method
Applications by the Eligible Persons		Pink Application Form only
Applications by the Malaysian Public:		
(i)	Individuals	White Application Form or Electronic Share Application or Internet Share Application
(ii)	Non-Individuals	White Application Form only

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)**15.2.2 Application by selected investors via placement**

Types of Application	Application Method
Applications by:	
Selected investors	The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.

The Eligible Persons and selected investors may still apply for our Issue Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

15.3 ELIGIBILITY**15.3.1 General**

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the electronic copy of our Prospectus on the website of Bursa Securities. The CDS Account must be in your own name. **Invalid, nominee or third party CDS Accounts will not be accepted** for the Applications.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 ISSUE SHARES OR MULTIPLES OF 100 ISSUE SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000.00 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

APPLICANTS WHO WISH TO SUBMIT APPLICATIONS USING A JOINT BANK ACCOUNT MUST ENSURE THAT THE DETAILS PROVIDED BY THE FINANCIAL INSTITUTION TO THE ISSUING HOUSE MATCH THE INFORMATION REGISTERED UNDER THEIR CDS ACCOUNT. ANY DISCREPANCY BETWEEN THE INFORMATION PROVIDED BY YOUR FINANCIAL INSTITUTION AND THE CDS ACCOUNT RECORDS WILL RESULT IN THE REJECTION OF YOUR IPO APPLICATIONS. TO AVOID SUCH REJECTIONS, APPLICANTS ARE STRONGLY ADVISED TO CONTACT THEIR FINANCIAL INSTITUTION IN ADVANCE TO VERIFY AND CONFIRM THE DETAILS. PLEASE NOTE THAT OUR COMPANY, PRINCIPAL ADVISER AND ISSUING HOUSE WILL NOT BE HELD RESPONSIBLE FOR ANY ISSUES OR LOSSES ARISING FROM DISCREPANCIES IN THE INFORMATION SUBMITTED.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)

15.3.2 Application by the Malaysian Public

You can only apply for our Issue Shares if you fulfill all of the following:

- (i) You must be one of the following:
 - (a) a Malaysian citizen who is at least 18 years old as at the date of the application for our Issue Shares; or
 - (b) a corporation/institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or
 - (c) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.
- (ii) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and
- (iii) You must submit Applications by using only one of the following methods:
 - (a) White Application Form;
 - (b) Electronic Share Application; or
 - (c) Internet Share Application.

15.3.3 Application by the Eligible Persons

The Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation.

The Eligible Persons may request for a copy of the printed Prospectus from our Company at no cost and are given an option to have the printed Prospectus delivered to them free of charge, or to obtain the printed Prospectus from our Company, the Issuing House, Malacca Securities, Participating organisations of Bursa Securities and Members of the Association of Banks in Malaysia or Malaysian Investment Banking Association.

15.4 PROCEDURES FOR APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The FULL amount payable is RM0.25 for each Issue Share.

Payment must be made out in favour of “**ACM SHARE ISSUE ACCOUNT NO. 110**” and crossed “**A/C PAYEE ONLY**” and endorsed on the reverse side with your name and address.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

- (i) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

AscendServ Capital Markets Services Sdn Bhd
(Registration No. 202401031272 (1577121-P))
Office Suite No. 603 Block C
Pusat Dagangan Phileo Damansara 1
No. 9, Jalan 16/11, Off Jalan Damansara
46350 Petaling Jaya, Selangor

- (ii) **DELIVER BY HAND AND DEPOSIT** in the Issuing House's drop-in box provided in front of AscendServ Capital Markets Services Sdn Bhd's office, Office Suite No. 603 Block C, Pusat Dagangan Phileo Damansara 1, No. 9, Jalan 16/11, Off Jalan Damansara, 46350 Petaling Jaya, Selangor,

so as to arrive not later than 5:00 p.m. on 3 September 2026 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

15.5 PROCEDURES FOR APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATIONS

Only Malaysian individuals may apply for our Issue Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Institutions and their branches, namely Alliance Bank Malaysia Berhad, Malayan Banking Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

15.6 PROCEDURES FOR APPLICATION BY WAY OF INTERNET SHARE APPLICATIONS

Only Malaysian individuals may use the Internet Share Application to apply for our Issue Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Alliance Bank Malaysia Berhad, CGS International Securities Malaysia Sdn Bhd, Hong Leong Investment Bank Berhad, iFast Capital Sdn Bhd, Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd, Public Bank Berhad, RHB Bank Berhad, UOB Kay Hian (M) Sdn Bhd (formerly known UOB Kay Hian Securities (M) Sdn Bhd). A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)

15.7 AUTHORITY OF OUR BOARD AND OUR ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

- (i) reject Applications which:
 - (a) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or
 - (b) are illegible, incomplete or inaccurate; or
 - (c) are accompanied by an improperly drawn up, or improper form of, remittance; or
- (ii) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and
- (iii) bank in all Application monies (including those from unsuccessful/partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 15.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

15.8 OVER/UNDER-SUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our Issue Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of Issue Shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on the Issuing House's website at <https://www.ascendserv.com> within 1 business day after the balloting event.

Pursuant to the Listing Requirements we are required to have a minimum of 25.0% of our Company's issued share capital to be held by at least 200 public shareholders holding not less than 100 Shares each upon Listing and completion of our IPO. We expect to achieve this at the point of Listing. In the event the above requirement is not met, we may not be allowed to proceed with our Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an under-subscription of our Issue Shares by the Malaysian Public and/or Eligible Persons, subject to the clawback and reallocation provisions as set out in Section 4.3.3 of this Prospectus, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)

15.9 UNSUCCESSFUL/PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/partially successful in your Application, your Application monies (without interest) will be refunded to you in the following manner.

15.9.1 For applications by way of Application Form

- (i) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/registered post to your registered or correspondence address last maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.
- (ii) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary/registered post to your address as stated in the NRIC or any official valid temporary identity documents issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (i) and (ii) above (as the case may be).
- (iv) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/distribution) or by issuance of banker's draft sent by ordinary/registered post to your registered or correspondence address last maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (ii) above (as the case may be).

15.9.2 For applications by way of Electronic Share Application and Internet Share Application

- (i) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited (without interest) into your account with the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.
- (ii) You may check your account on the 5th Market Day from the balloting date.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (CONT'D)

- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institutions will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institutions will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

15.10 SUCCESSFUL APPLICANTS

If you are successful in your Application:

- (i) Our Issue Shares allotted to you will be credited into your CDS Account.
- (ii) A notice of allotment will be despatched to you at your last registered or correspondence address last maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.
- (iii) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as prescribed securities. As such, our Issue Shares issued/offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the SICDA and Rules of Bursa Depository.
- (iv) In accordance with Section 29 of the SICDA, all dealings in our Shares will be by book entries through CDS Accounts. No share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

15.11 ENQUIRIES

Enquiries in respect of the Applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services Telephone at 03-7890 0238
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution, Participating Securities Firms and Authorised Financial Institution

The results of the IPO share allocation, based on successful balloting, will be published on the Issuing House's website at <https://www.ascendserv.com>. Applicants can also check the status of their application on the same website after 5:00 p.m. on the allotment date. Alternatively, you may contact the Authorised Depository Agents (ADAs) listed in the Detailed Procedures for Application and Acceptance, which is available in the Electronic Prospectus on the Bursa Securities website.